

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

2024 ONSC 4045 (CanLII)

- 2024 ONSC 4045 (CanLII)

with the child and spousal support issues. He directed that for the period from January 1, 2013 until March 31, 2014, Shakeel was to pay Shagufta spousal support in the amount of \$998.00 per month, and Shagufta was to pay Shakeel child support for Sabaa in the amount of \$203.00 per month. Commencing April 1, 2014 and on an ongoing basis, Shakeel was ordered to pay Shagufta spousal support in the amount of \$886.00 per month, and Shagufta was to pay Shakeel child support in the sum of \$270.00 per month. The set-off amount payable by Shakeel to Shagufta commencing April 1, 2014 was therefore \$616.00 per month. Harper J. further stipulated that there could be a review of spousal support after December 2015 to include consideration of Shagufta's ongoing entitlement to spousal support and the extent to which she was contributing to her own support.

- [3] The proceeding currently before the court is Shakeel's Motion to Change Final Order dated September 9, 2022. The relief which the parties requested in their respective pleadings differed considerably from that which they ultimately pursued at trial. Both parties were granted leave to amend their pleadings at the outset of trial. As of the closing of trial, Shakeel requested an order terminating his obligation to pay Shagufta spousal support effective May 1, 2024. In addition, he requested a retroactive order requiring Shagufta to contribute on a proportionate-to-income basis to Sabaa's historic orthodontic, swimming, martial arts and cell phone expenses, the total amount of which he estimated to be \$38,040.00. Finally, he sought an order requiring Shagufta to contribute on a proportionate-to-income basis to Sabaa's post-secondary expenses commencing September 2022, which he estimated to be in the amount of \$10,000.00 per year after Sabaa's contribution. For her part, Shagufta requested an order retroactively increasing the amount of spousal support payable to her commencing January 1, 2016 and fixing spousal support arrears in the amount of \$45,618.00 up to December 31, 2023. She also sought an order requiring Shakeel to pay her ongoing spousal support in the amount of \$2,450.00 per month commencing January 1, 2024 and on an indefinite basis.
- [4] The parties agreed at trial that the spousal support claims should be analyzed as a review of spousal support pursuant to the review provision of the November 25, 2014 order, whereas Shakeel's claims for contribution to Sabaa's historical and ongoing section 7 expenses must be addressed as a request to vary the child support terms of that order. The issues to be determined are therefore as follows:
1. Have there been any material changes in circumstances relevant to child support since November 25, 2014 which satisfy the threshold test for varying the child support terms of that order?
 2. If the answer to question #1 is yes:
 - a) What is the appropriate commencement date for Shakeel's retroactive claim for contribution to Sabaa's section 7 expenses?
 - b) Should Shagufta be required to contribute to the section 7 expenses from that date onward, and if yes;

- c) What amount should Shagufta be required to contribute?
- 3. Should Shagufta be permitted to pursue a retroactive increase in spousal support?
- 4. If the answer to question #3 is yes, what is the appropriate commencement date for her claim for retroactive relief?
- 5. If Shagufta is permitted to advance her claim for a retroactive increase in spousal support:
 - a) Has she established an ongoing entitlement to spousal support since January 2016?
 - b) If yes, should spousal support be increased on a retroactive basis, and if yes;
 - c) What is the appropriate quantum of any such retroactive increase?
- 6. Should the spousal support payable by Shakeel to Shagufta be increased on an ongoing basis?
- 7. If the answer to question 6 is yes, what are the appropriate quantum and duration of ongoing spousal support?
- 8. If the answer to question #6 is no:
 - a) Should spousal support terminate as of May 1, 2024 or as of the date of this order;
 - b) Alternatively, should the quantum of spousal support remain the same or be reduced as of May 1, 2024 or another date; and
 - c) Should an order issue terminating spousal support as of a fixed date in the future?

[5] For the reasons that follow, I am dismissing Shakeel's claim for retroactive and ongoing contribution from Shagufta for Sabaa's section 7 expenses. However, I am requiring that the parties and Sabaa take all necessary steps forthwith to close out the Registered Educational Savings Plan (the "RESP") in Shagufta's name with the National Bank and to have the outstanding balance in the account paid out to Shakeel to apply towards Sabaa's post-secondary education expenses. I am also dismissing Shagufta's claims for a retroactive and ongoing increase in spousal support from Shakeel. I am varying the November 25, 2014 order to reduce the spousal support payable by Shakeel to Shagufta to \$270.00 per month commencing August 1, 2024. Shagufta's child support obligation will continue at the rate of \$270.00 per month. The parties' respective support obligations will be set off against each other, with the result that no monies will flow to either party on account of support as of August 1, 2024. I am terminating Shakeel's obligation to pay Shagufta spousal support effective April 30, 2026, which is when Sabaa is expected to

complete her first post-secondary degree. At that point, the parties will need to address whether Sabaa continues to be entitled to child support and deal with child support either through a Consent Motion to Change Final order or by way of further Motion to Change proceedings to address the issue.

PART 2: CREDIBILITY AND RELIABILITY ASSESSMENT

[6] This was a lengthy and difficult trial due to the high emotions of both parties and the need to redirect both of them on many occasions. There were major discrepancies in their evidence on most important issues, and both contended that there were serious concerns about the other's credibility and reliability. I discuss my impressions of the parties and their credibility and reliability in much more detail in these Reasons for Judgment. However, I will summarize some of my general impressions at this point.

[7] I turn first to the law respecting the assessment of credibility and reliability, which I reviewed in detail in *M.A.B. v. M.G.C.*, 2022 ONSC 7207 (S.C.J.), at paras. 48 to 49. The concepts of credibility and reliability are related but distinct. Shergill J. provided an excellent description of the differences in *Lawson v. Hartt*, 2022 BCSC 2087 (S.C.), as follows:

9 Credibility and reliability are related but distinct concepts. Reliability relates to the accuracy of the testimony of a witness. It engages consideration of the ability of a witness to accurately observe, recall, and recount the events in issue. Credibility centers on the honesty of the witness. It involves an assessment of the trustworthiness of their evidence, based on their veracity or sincerity: *Bradshaw v. Stenner*, 2010 BCSC 1398 at para. 186, aff'd 2012 BCCA 296, leave to appeal to SCC ref'd, [2012] S.C.C.A. No. 392 (7 March 2013).

10 A witness who is not telling the truth is not providing reliable evidence. However, the reverse is not the case - a credible witness may still give unreliable evidence: *R. v. H.C.*, 2009 ONCA 56 at para. 41, referencing *R. v. Morrissey*, [1995] O.J. No. 639 (QL) at para. 33, 1995 CanLII 3498 (O.N.C.A.).

11 Sometimes an honest witness will be trying their best to tell the truth, and will believe the truth of what they are relating, but nevertheless be mistaken in their recollection: *H.C.* at para. 43.

[8] Assessing the credibility and reliability of witnesses is not an exact science; rather, it is a challenging and holistic undertaking, the outcome of which is often difficult to explain in precise terms (*R. v. Gagnon*, 2006 SCC 17 (S.C.C.), at para. 20). The complexity of the task is heightened by the fact that the judge is not required by law to believe or disbelieve a witness' testimony in its entirety. On the contrary, they may accept none, part or all of a witness' evidence, and may also attach different weight to different parts of a witness' evidence (see *R. v. D.R.*, [1996] 2 S.C.R. 291 (S.C.C.), at para. 93; *R. v. Boutros*, 2018

ONCA 275 (C.A.)). Notwithstanding these challenges, the caselaw has identified numerous factors as being helpful in weighing and assessing the credibility and reliability of witnesses. These considerations include the following:

1. Were there inconsistencies in the witness' evidence at trial, or between what the witness stated at trial and what they said on other occasions, whether under oath or not? Inconsistencies on minor matters are normal and generally do not affect the credibility of the witness, but where the inconsistency involves a material matter about which an honest witness is unlikely to be mistaken, the inconsistency can demonstrate carelessness with the truth (*R. v. G.(M.)* (1994), 93 C.C.C. (3d) 347 (C.A.), at para. 23; *R. v. D.A.*, 2018 ONCA 612 (C.A.), at paras. 11-21).
2. Was there a logical flow to the evidence?
3. Were there inconsistencies between the witness' testimony and the documentary evidence?
4. Were there inconsistencies between the witness' evidence and that of other credible witnesses?
5. Is there other independent evidence that confirms or contradicts the witness' testimony?
6. Did the witness have an interest in the outcome, or were they personally connected to either party?
7. Did the witness have a motive to deceive, fabricate evidence or embellish upon it?
8. Did the witness have the opportunity and ability to observe the factual matters about which they testified?
9. Did they have a sufficient power of recollection to provide the court with an accurate account?
10. Were there any external suggestions made at any time that may have altered the witness' memory?
11. Did the evidence appear to be inherently improbable and implausible? In this regard, the question is whether the testimony is in harmony with "the preponderance of the probabilities which a practical and informed person would readily recognize as reasonable in that place and in those conditions" (*Faryna v. Chorny*, 1951 CarswellBC 133 (B.C.C.A.), at para 9).
12. Was the evidence provided in a candid and straightforward manner, or was the witness evasive, strategic, hesitant, or biased?

13. Where appropriate, was the witness capable of making concessions not favourable to their position, or were they generally self-serving?

14. Consideration may also be given to the demeanor of the witness, including their sincerity and use of language. However, this should be done with caution. As the Ontario Court of Appeal emphasized in *R. v. Norman*, (1993), 16 O.R. (3d) 295 (C.A.), at para. 55, an assessment of credibility based on demeanour alone is insufficient where there are many significant inconsistencies in a witness' evidence (see also *R. v. Mah*, 2002 NSCA 99 (C.A.), at paras. 70-75). The courts have also cautioned against preferring the testimony of the better actor in court, and conversely, misinterpreting an honest witness' poor presentation as deceptive (*R. v. Jeng*, 2004 BCCA 464 (C.A.), at paras. 53-54).

[9] Focussing first on my impressions of Shagufta, I had serious concerns about her overall credibility and reliability. I discuss the details of these concerns in much greater detail in these Reasons, particularly in my analysis of her income and overall financial means since 2014. Her lack of credibility regarding those issues has led me to impute income to her because of her failure to disclose the financial information required for the court to determine the support issues. The problems with her credibility and reliability permeated all aspects of her evidence. She demonstrated a general resistance to telling the truth and a lack of concern about her general honesty. For instance, when Shakeel questioned her about the contents of her LinkedIn profile, she claimed that many of the details that she had posted were inaccurate and stated with a sense of impunity that she could make whatever representations she wished on the site, regardless of their truth. When she was questioned on points that were not supportive of her narrative, she often became angry and evasive. It was necessary to redirect her on many occasions when she responded in this manner. Her oral evidence was inconsistent in many respects, and there were numerous discrepancies between her statements in the court documents in this proceeding and her testimony at trial. Her evidence about her activities, employment and income was in many ways completely irreconcilable with the documentary evidence pertaining to these matters. In addition, there was a pattern of her having a very clear and detailed memory regarding events and issues that supported her case, but conveniently claiming a lack of recollection about basic issues when questioning was not going her way.

[10] I also have major concerns about Shagufta's ability to accurately perceive and process the meaning of statements, events and situations. As one example of this concern, she claimed that correspondence from Shakeel's former counsel dated March 30, 2022 was threatening, and that counsel falsely asserted in that letter that spousal support had already terminated. She made a complaint about this lawyer to the Law Society of Ontario based on these allegations, which was dismissed. A review of the March 30, 2022 letter reveals that her allegations were completely baseless. Furthermore, the evidence indicates that her report about Shakeel's counsel to the Law Society was part of a longstanding pattern of vindictive behaviour on her part since the date of separation aimed at inflicting harm upon Shakeel, his parents and his current wife Ms. Nazia Habib. Harper J. found in his Reasons for Judgment dated December 17, 2013 that Shagufta had sent an email to Shakeel's father in May 2012 telling him that she would make Shakeel's and his family members' lives "hell."

Harper J. also concluded that Shagufta “conducted herself in such a manner that was continuously dedicated to wreaking havoc on Shakeel’s life” (at para. 25). I concur with this conclusion. As I discuss in further detail in these Reasons, Shagufta made numerous grave allegations against Shakeel during the latter years of the parties’ marriage and following the separation that both Harper J. and I have concluded were unfounded. She also revealed to the police in the United Arab Emirates (the “UAE”), where the parties resided at the time of separation, and Shakeel’s employer in the UAE that Shakeel was a member of the Ahmadiyya religious community, which forced him to leave the UAE in January 2011 to avoid criminal prosecution and religious persecution. She then launched unsubstantiated complaints with the Ahmadiyya community leadership in Canada about Shakeel and his parents which resulted in their expulsion from membership in the religious community. She continued upon this vindictive course by making unsubstantiated allegations to the Ahmadiyya community about Shakeel’s current wife Ms. Habib. This longstanding pattern of unfounded allegations and vindictive behaviour towards Shakeel and his family members raised serious red flags in regard for Shagufta’s general credibility and reliability in this Family Law proceeding.

- [11] Turning to my general impressions respecting Shakeel, I found him to be overall a very reliable and credible witness. Although Shagufta’s counsel exposed some inaccuracies in Shakeel’s Financial Statements during cross examination, I conclude that they were attributable either to errors by his former counsel that Shakeel did not catch or genuine misunderstandings on Shakeel’s part as to how the Financial Statements should be properly completed. Shakeel had no difficulty acknowledging points that did not necessarily support his case. There were no concerning inconsistencies in his testimony at trial, or between his testimony and his previous oral or written statements and the documentary evidence adduced at trial. He was somewhat resistant to answering some questions on cross examination, but my overall impression was that he was generally respectful, honest and responsive when difficult questions were put to him. Finally, despite the history of vindictive behaviour by Shagufta towards him and his family members, there was no evidence of any retaliatory behaviour on his part that would cast a shadow over the general credibility and reliability of his evidence. Shakeel truly presented as an honest, reliable and genuine person whose sole motivation was to speak the truth and achieve a just and fair result in this case.
- [12] Based on these overall impressions of the parties, I found Shakeel to be a much more reliable and credible witness than Shagufta. Accordingly, where there were discrepancies between their evidence, I have favoured Shakeel’s evidence over that of Shagufta, unless otherwise specified in these Reasons.

PART 3: BACKGROUND AND OVERVIEW OF COURT PROCEEDINGS

I. PERSONAL BACKGROUNDS

- [13] The findings of fact outlined in this part are based on both the findings of Harper J. outlined in his Reasons for Judgment dated December 17, 2013 and November 25, 2014 and my assessment of the evidence that I heard during this trial. Given that this was a review

proceeding respecting spousal support, I gave the parties considerable leeway in testifying about historical facts which were relevant to the issues of ongoing entitlement to spousal support and the appropriate quantum and duration of support. However, my overall conclusions respecting historical events were for the most part consistent with those of Harper J., as outlined in his Reasons for Judgment dated December 17, 2013 and November 25, 2014.

- [14] Shagufta was born in Pakistan on January 29, 1958. She was therefore 53 years of age when the parties separated on January 29, 2011 and she is now 66 years old. She immigrated to Canada with her mother and younger sisters in 1974. Shagufta has a large family that includes 5 brothers and 6 sisters. Many of her extended family members continue to reside in Pakistan. She was previously married from 1983 until approximately 1992. There are no children from her first marriage.
- [15] Shakeel was born on December 21, 1971 in Pakistan. He was therefore 39 years of age when the parties separated and is now 52 years old. He immigrated with his family to Ottawa, Canada in January 1988 at the age of 16. He has a brother and two sisters.

II. RELATIONSHIP, EDUCATION AND EMPLOYMENT BACKGROUNDS

A. 1992 to 2003

- [16] Shagufta completed her high school studies following her arrival in Canada. She speaks Hindi, Urdu, Punjabi and English. After completing high school, she worked at several jobs, including an Indian clothing boutique, in a factory, and then at an agency distributing news articles to various businesses. She held a seasonal retail position with Freeman Formal from 1981 until 1986, working from April to October each year. In 1986, she obtained a full-time year around senior retail position with the company. She continued to work for Freeman Formal during her first marriage until 1989, when she and her first husband moved to Ottawa.
- [17] Shakeel completed his high school studies in Ottawa and then began his post-secondary studies in Business Administration at Carleton University in Ottawa. Shagufta and Shakeel met in Ottawa in or around 1992, when Shagufta was still married to her first husband and Shakeel was studying at Carleton University. Their friendship developed because of their shared connection with the Ahmadiyya Community. Shakeel testified that this religious movement believes in many of the core tenets of Islam, but that it also has several distinctive beliefs which other followers of the Islamic faith do not share. He explained that Ahmadis have faced persecution and discrimination in many Muslim-majority countries due to their distinctive religious beliefs.
- [18] Shagufta separated from her first husband in or around early 1992. The parties' relationship began after the separation. Shagufta moved from Ottawa to Toronto soon after the separation, and Shakeel subsequently decided to follow her to Toronto. The parties began to cohabit in or around June 1992. Shakeel transferred his studies to Ryerson Polytechnical Institute ("Ryerson") at that time.

- [19] Shakeel and Shagufta were married on June 11, 1993 and began living in Scarborough. Shakeel transferred to Centennial College to complete his studies following the marriage to avoid the lengthy commute to Toronto. He obtained a degree in Accounting and Computer Network Programming from Centennial College in approximately 1998. During his studies, he worked evening night shifts and on weekends to pay for household and personal expenses. He initially worked as a parking lot attendant and later took a more lucrative job as a security guard at Meadowvale Security Guards.
- [20] Shakeel secured a one-year contract position as a Business Analyst at General Motors Canada after the completion of his studies in 1997, and the parties purchased a home in Pickering around the same time. Unfortunately, General Motors did not keep him on at the end of the contract and he had to file for bankruptcy due to the parties' financial difficulties in or around 1999. Around the same time, the parties sold their house and downsized to an apartment in Whitby to make ends meet. The parties eventually purchased a condominium unit in Whitby.
- [21] In approximately 1999, Shakeel commenced a one-year diploma to expand upon his Information Technology computer skills and began working with One-On-One Software. In or around 2001, he moved to a position at Canada Sportswear Inc., where he worked for only two years before being laid off following a major corporate reorganization. The parties had to sell their condominium in Whitby due to the financial fallout from Shakeel's layoff and they moved to a rental apartment in Mississauga.
- [22] During the early period of the parties' cohabitation in Toronto, Shagufta worked at Goodwill Industries at the cash and handling customer service matters. She took some time off work in late 1993 as the parties were having difficulty conceiving a child and she underwent in-vitro fertilization. From approximately 1994 to 1996, she held a retail job at a clothing boutique in Toronto. In or around 1997, she began to work at Freeman Formal again. She also had a part-time weekend retail position at Goodwill Industries. The Freeman Formal job was seasonal in nature. She worked from April until October and would then be laid off and collect employment insurance benefits for 4 months. I find that she typically went to Pakistan for extended periods of time to visit with her family during her lay-off periods from Freeman Formal.
- [23] Shagufta quit her job at Freeman Formal in 1999 after the parties moved to Whitby due to the length and cost of the commute to Toronto, but she continued to work for Goodwill Industries for approximately one year. She stopped working altogether in 2000 after her mother died due to the stress and depression associated with her mother's death. She spent an extended period of time in Pakistan in 2001, and in the spring of 2001, she began a two semester educational program at Centennial College in Call Centre Operations. After completing this program in the spring of 2002, she took two additional courses in Business and Computer Information Technology.

B. The Move to the UAE

- [24] As of 2003, Shakeel was out of work and the parties had no property or other assets to draw from to support themselves. Shakeel began to explore employment opportunities in the UAE to improve the parties' financial situation. He secured a position as an Information Technology Purchasing Officer at the Union National Bank in the UAE in 2003, and the parties moved the UAE that year. They continued to reside in an apartment in the UAE until they separated on January 29, 2011.
- [25] In 2007, Shakeel left the Union National Bank and assumed a similar position with the federal government of the UAE, where he continued to work until the parties' separation. From 2007 to 2009, Shakeel completed a Masters in Business Administration Degree at the American University in the UAE. He attended courses in the evening from 7:00 p.m. to 10:00 p.m. twice per week, and Shagufta would accompany him with Sabaa. On other days, his work hours while in the UAE were typically from early morning until 3:00 or 4:00 p.m.
- [26] Shagufta did not work following the parties' move to the UAE in 2003. She testified that she did not have a work visa in that country, and that she was therefore unable to stay in the UAE for more than two months at a time. Shakeel testified that Shagufta was out of the country for significant periods of time each year visiting Canada and her relatives in Pakistan. I find that Shagufta was typically away from the UAE for at least 5 months each year from 2003 to 2011.

C. The Birth of Sabaa and the Parties' Roles and Responsibilities While in the UAE

- [27] Sabaa was born in Pakistan in February 2004. When Shagufta and Sabaa were in the UAE, Shagufta was the primary caregiver for Sabaa during Shakeel's work hours. However, I find based on the evidence of both parties that Shakeel had primary responsibility for Sabaa's care before leaving for work in the mornings and throughout the evening and night, apart from the evenings when he attended his courses once a week from 2007 to 2009. I also accept Shakeel's evidence that Shagufta was often unreliable in caring for Sabaa during his work hours, and that she would frequently simply drop the child off at his work stating that she had errands to run. This caused Shakeel serious problems at his workplace, and led to several warnings from his superiors that his employment could be at risk if he did not arrange for reliable child-care for Sabaa during his work hours. When Shagufta was in the UAE, she carried out some home management tasks, but the parties also had maids who attended the home regularly to clean and assist with many home management matters.
- [28] Until 2010, Shagufta took Sabaa with her when she travelled to Canada and Pakistan every year. Shakeel would meet her and Sabaa in Canada for one month during the summer each year, during his vacation period. Shakeel's parents, Fazal and Maryam Khan, assisted Shagufta in caring for Sabaa during her visits to Canada, and Shakeel would share fully in Sabaa's care when he was in Canada for the month during his vacation.

D. Events Leading to the Parties' Separation

- [29] The circumstances leading to and following the parties' separation are important, because Shagufta has claimed that they caused her severe emotional distress which have had long-term effects on her ability to achieve self-sufficiency. Shakeel, on the other hand, claims that Shagufta engaged in vindictive behaviour leading up to and following the separation which had negative long-term repercussions for his employment and income-earning potential.
- [30] The parties began to experience difficulties in their relationship in 2009. Shagufta testified that when she returned from her summer trip to Canada in 2009, Shakeel announced that he had entered into an Islamic nikah marriage with another woman. Shagufta claimed during the previous and current trial that Shakeel became emotionally and verbally abusive towards her after disclosing this information, and that she eventually discovered that the other alleged wife was her cousin, Ms. Nazia Habib. Shakeel has consistently denied having ever abused Shagufta, or that he had an extramarital affair or entered into a nikah union with Ms. Habib during his marriage with Shagufta. He acknowledged that he had a friendship with Ms. Habib during the marriage and sought her assistance in caring for Sabaa in early 2010, when Shagufta went to Canada for an extended period without Sabaa. Shagufta claimed that she left Sabaa behind during that trip because Shakeel did not permit her to bring her. However, Shakeel stated that Sabaa's frequent school absences due to her trips with Shagufta had negatively impacted her education, that he implored Shagufta to remain in the UAE in 2010 to take Sabaa to school, but that Shagufta chose instead to leave Sabaa with him and travel to Canada on her own. This further jeopardized Shakeel's employment, as he lost time from work to care for Sabaa until he obtained child-care assistance from Ms. Habib. He testified during the trial in 2013 that Shagufta returned early from her trip in June 2010, and Ms. Habib was residing in the home at the time to assist with Sabaa's care. Shagufta claimed during both trials that Shakeel treated Ms. Habib as his wife until Ms. Habib finally left the apartment, and that he spent most nights with Ms. Habib at her residence after that point, all of which Shakeel denied.
- [31] Harper J. accepted Shakeel's evidence over Shagufta's on all of these issues in 2013, and there was no evidence adduced during the trial before me to support any different conclusions. In fact, the numerous concerns about Shagufta's overall credibility during the current trial further support Shakeel's version of all of these events. Much of the mother's evidence regarding these issues seemed highly implausible, including her claim that a casual acquaintance who she had met through her volunteer activities had assisted her in identifying Ms. Habib as Shakeel's alleged second wife by surreptitiously accessing Shakeel's cell phone records as a favour to her. I note that Shakeel and Ms. Habib did eventually become involved in a relationship, but this did not develop until many years later and they did not marry until 2017.
- [32] The conflict between the parties came to a head on Shagufta's birthday on January 29, 2011. As Harper J. noted in his December 17, 2013 Reasons for Judgment, Shagufta accused Shakeel of "violently beating her" in Sabaa's presence on that date. Shakeel denied having assaulted Shagufta. He claimed that Shagufta threw flowers that he had

purchased for her and screamed at him in front of Sabaa. Harper J. accepted Shakeel's version of these events. Having heard from both parties about the events of January 29, 2011 during the trial before me, I agree with Harper J. that Shakeel was the more credible party and I accept his version of what occurred on that day. In this regard, I note in particular that during this trial, Shagufta spoke about Shakeel pushing her but made no mention of a violent beating, which was a significant inconsistency. The UAE police subsequently charged Shakeel with assault. Shagufta claims that he was convicted of this offence in the UAE *in absentia*, but she did not adduce any admissible evidence during either trial to support this assertion. Any such evidence of a conviction would not have in any event altered my finding that Shakeel did not assault Shagufta on January 29, 2011.

E. Shakeel's Departure From the UAE With Sabaa

- [33] Shakeel and Sabaa returned to the family residence following the events of January 29, 2011. Shakeel asked Shagufta to return to the home and resume their life together, but she refused. He decided soon thereafter to return to Canada with Sabaa. He and Sabaa spent some time in the United States with a close family friend, Naveed Ashraf, before going to live with Shakeel's parents in Hamilton, Ontario.
- [34] Shagufta alleged that Shakeel abducted Sabaa from the UAE, stole Shagufta's passport so that she could not leave that country and follow them, did not advise her of their whereabouts and abandoned her with insufficient financial support. I do not accept Shagufta's evidence on these issues. With respect to the abduction allegation, I conclude that Shagufta's actions from January 29, 2011 onward left Shakeel with no reasonable choice but to leave the UAE for the safety and security of himself and Sabaa. Specifically, in addition to reporting the alleged assault to the UAE police, she informed Shakeel's employer that Shakeel was a member of the Ahmadiyya community and that he had assaulted her. I accept Shakeel's evidence that this report left him and his family members highly vulnerable to serious religious persecution in the UAE as Ahmadi followers, rendered the termination of his employment with the federal government of the UAE inevitable and eliminated the possibility of him finding any suitable employment in the UAE. I also find that Shagufta was fully aware that her report would lead to all of these serious repercussions. In addition, I accept Shakeel's evidence that he advised Shagufta that he was going to Canada with Sabaa, and that he facilitated communications between Shagufta and Sabaa after he left. Furthermore, Shagufta testified herself that the parties always intended to return to Canada and that this was her wish. Finally, when Shagufta returned to Ontario in June 2011, she reported her abduction allegation to the police. A full investigation ensued, and the police concluded that there was insufficient evidence to lay any charges against Shakeel.
- [35] I also reject Shagufta's allegations that Shakeel stole her passport and left her destitute in the UAE. There is no evidence that she raised the passport allegation during the previous court proceedings or that she reported a stolen passport to the police or any passport authorities. With respect to her claim that Shakeel left her destitute in the UAE, I found Shakeel to be highly credible in his evidence that he had pre-paid the rent on the UAE apartment a year in advance, that all household expenses continued to come out of his bank

account after January 2011, that he left funds for Shagufta before he left, which Shagufta admitted at trial, and that he provided ongoing financial assistance to her on a monthly basis.

F. Significant Events Following Shagufta's Return to Canada

- [36] Shagufta returned to Canada in May 2011. Upon her return, in addition to making the unsubstantiated child abduction allegation against Shakeel to the police, she contacted the leadership of the parties' Ahmadiyya Community to report that Shakeel had assaulted her and had committed bigotry by entering into a nikah marriage with Ms. Habib while married to her. Shakeel's parents provided evidence in support of Shakeel in response to these allegations, but the community leadership expelled Shakeel and his parents from the community due to Shagufta's allegations. The community leadership eventually readmitted them to the community in approximately 2015.
- [37] As further evidence of Shagufta's intention to inflict personal harm upon Shakeel and his family, I find that in early 2019, Shagufta took active steps to impede Ms. Habib's attempts to remain in Canada through the refugee claimant process based on her membership in the Ahmadiyya community. Specifically, Shagufta wrote to the Ahmadiyya Community once again, this time alleging that Ms. Habib was not in fact an Ahmadi, and that she was falsely seeking asylum as a single Ahmadi adherent. These claims were forwarded to Canadian immigration authorities. They led to a protracted immigration investigation during which Shakeel incurred approximately \$25,000.00 to protect Ms. Habib's reputation and advance her refugee claim so that she could remain in Canada with Shakeel and their one-year-old son.

III. OVERVIEW OF THE ORIGINAL COURT PROCEEDINGS

- [38] Shagufta commenced the original application in this court on June 18, 2011. She sought decision-making responsibility and primary residence of Sabaa, and spousal support from Shakeel. In his Answer and Claim dated June 29, 2011, Shakeel sought decision-making responsibility and primary residence of Sabaa, liberal and generous parenting time for Shagufta, child support from Shagufta and an order that Shagufta not sell or otherwise deal with a property that she had purchased in her sole name in 2009 located at 780 Bolingbroke Drive in Milton, Ontario ("the Milton property") pending final disposition of the application. Neither party claimed a divorce at that time. Despite receiving notice of Shakeel's claim respecting the Milton property, Shagufta proceeded to sell the property without his knowledge or consent four days later, on August 2, 2011, and she received the net sale proceeds of \$78,576.64 on August 4, 2011.
- [39] On June 29, 2011 Mazza J. made a temporary without prejudice order granting Shagufta primary residence of Sabaa. However, on the return of the motion on July 11, 2011, Mazza J. made a temporary order granting the parties equal parenting time with Sabaa on a week-about basis. Subsequently, on September 6, 2011, Steinberg J. granted Shagufta primary residence of Sabaa and Shakeel parenting time on alternate weekends from Friday after school until Sunday at 8:00 p.m. and every Wednesday evening.

- [40] An Office of the Children's Lawyer clinician, Mr. Gregory Michell, completed a section 112 assessment in the summer of 2012. He recommended that Shakeel be granted decision-making responsibility and primary residence of Sabaa, and that Shagufta have parenting time. Sabaa began to reside primarily with Shakeel as of early August 2012. On October 5, 2012, Pazaratz J. heard a motion brought by the father seeking a temporary order granting him decision-making responsibility and primary residence of Sabaa. Shagufta did not respond to or appear at the hearing of the motion. Pazaratz J. made an order on October 5, 2012 granting Shakeel sole decision-making responsibility and primary residence of Sabaa and permitting him to enroll her in school in Hamilton. Shagufta did not request or exercise any parenting time after Sabaa went to her father's care in August 2012 and did not bring a motion for parenting time until over a year later, on September 13, 2013. On October 18, 2013, Mazza J. made a temporary without prejudice order granting her alternate weekend parenting time with Sabaa.
- [41] As I have indicated, the case proceeded to trial before Harper J. on December 9, 2013. Shagufta was self-represented for this portion of the trial. On December 17, 2013, Harper J. made a final order granting Shakeel sole decision-making responsibility and primary residence of Sabaa. Shagufta was granted parenting time on alternate weekends and for specified holiday periods during the summer, the Christmas school break and March break. She was also ordered to seek out and attend counselling to deal with her anger and other negative feelings about Shakeel. There is no evidence that she ever complied with this aspect of the order.
- [42] Harper J. concluded that Shagufta was entitled to spousal support on a needs basis. He did not address the issues of child support or the appropriate quantum and duration of spousal support in his December 17, 2013 Reasons for Judgment, apart from making an order that Shakeel provide and pay for a cell phone for Sabaa so that she could communicate privately with her mother. He held that he could not make a proper spousal or child support order because of Shagufta's failure to provide basic information about her income and financial resources. His decision on these issues was based on the following:
1. The marriage had lasted almost 18 years, and Shagufta had not worked outside of the home for several years.
 2. Prior to Sabaa's birth, Shagufta had only worked in retail and other lower paying jobs.
 3. Since the separation, Shagufta had only worked for six months delivering packages for a courier company.
 4. Shagufta was not able as of that point to achieve self-sufficiency to any degree that would allow her a standard of living commensurate with what she had been accustomed to during the marriage.
 5. However, Harper J. concluded that Shagufta had not maximized her ability to earn income as she was required to do, and that she had not even attempted to find work

in the field of Call Centre operations, despite having obtained a certificate in this area.

6. Shagufta had failed to comply with an order of Pazaratz J. dated October 28, 2013 requiring her to produce an updated Financial Statement, copies of her complete Income Tax Returns and Notices of Assessment for 2010 to 2012, proof of total 2013 income and evidence respecting her income producing efforts by no later than November 1, 2013.
7. Shagufta had also failed to disclose important details about the purchase of the Milton property, including how she had obtained a mortgage on it in her sole name.

[43] Harper J. adjourned the trial of the support issues to a later date and made an order requiring Shagufta to produce copies of her complete Income Tax Returns and Notices of Assessment for 2010 to 2012 and the disclosure referred to above regarding the Milton property.

[44] The trial before Harper J. resumed for one day on February 19, 2014, and Harper J. reserved judgment. Soon afterward, on February 27, 2014, Shakeel served and filed a Simple Divorce application in this court. This proceeding was never consolidated with the original application. Shagufta opposed the divorce, and therefore the issue had to proceed to a hearing. On July 2, 2014, I granted the divorce order, which Shagufta continued to oppose.

[45] Harper J. released his Reasons for Judgment respecting the child and spousal support issues on November 25, 2014. He ordered that for the period from January 1, 2013 until March 31, 2014, Shakeel was to pay Shagufta spousal support in the amount of \$998.00 per month, and Shagufta was to pay Shakeel child support for Sabaa in the amount of \$203.00 per month. This resulted in Shakeel paying Shagufta a set-off amount of \$795.00 per month. Commencing April 1, 2014 and on an ongoing basis, Shakeel was to pay Shagufta spousal support in the amount of \$886.00 per month, and Shagufta was to pay Shakeel child support in the sum of \$270.00 per month, resulting in Shakeel paying Shagufta a set-off amount of \$616.00 per month commencing April 1, 2014. Harper J. directed that there could be a review of spousal support after December 2015, to include a consideration of ongoing entitlement to spousal support and the extent to which Shagufta was contributing to her own support at that time. The order required the parties to exchange copies of their Income Tax Returns, Notices of Assessment and if self-employed, copies of business income and expense statements by no later than June 30th each year. It also stipulated that child and spousal support could be adjusted annually, if appropriate given the parties' incomes. Harper J.'s Reasons in support of this order were as follows:

1. Shagufta did not make any substantial efforts to earn income for 3 years following the separation on January 29, 2011. She testified that she had only held one job, delivering courier packages, which she had only had from January until June 2013.

2. Shagufta had adduced inconsistent and confusing evidence about her educational and employment background. For example, she had provided 2 versions of her resumé which reflected many discrepancies respecting her employment history.
3. Shagufta was vague and inconsistent generally in her evidence about her financial affairs. She did not provide a Financial Statement and information about the purchase and sale of the Milton property until Harper J. ordered her to do so on December 17, 2013.
4. Although she had provided some documentation respecting the purchase and sale of the Milton property, she had not complied with the December 17, 2013 order that she produce the information that she had given to the bank to obtain the mortgage on the property, including the mortgage application and her net worth statement. She testified that she told the bank that she was not working and had no income, but that the bank had nonetheless granted her the mortgage, which Harper J. found was highly implausible.
5. Shagufta had failed to disclose to Shakeel and the court that she had received the net proceeds from the sale of the Milton property until she was ordered to do so. She had also failed to disclose her ownership and sale of the property to Legal Aid, which had led to the termination of her Legal Aid certificate.
6. Harper J. concluded that Shagufta's disclosure shortcomings and lack of credibility left him with no choice but to impute income to her. He determined that she should be imputed an annual income of \$24,000.00 as of January 2013 based on the income that she was earning at that time with the courier company. Shagufta testified that she had started a job selling herbal products in February 2014, with a starting income of \$24,000.00 per year, and that she expected her income to increase as she continued with the job. Based on this information Harper J. imputed an annual income of \$30,000.00 to her commencing April 1, 2014.
7. He found that Shakeel's income for the purposes of the spousal support analysis was \$80,000.00.
8. He considered the ranges generated by the *Spousal Support Advisory Guidelines*, (Professor Carol Rogerson and Professor Rollie Thompson, *Spousal Support Advisory Guidelines* (Toronto and Halifax: 2008) ("the SSAG"), and he concluded that they suggested spousal support for a period of 8 years. He ordered spousal support at the low range pursuant to the SSAG. It is apparent from a review of his Reasons for Judgment in their entirety that his choice of the low range flowed from his previous finding on December 17, 2013 that Shagufta's entitlement was needs-based rather than compensatory in nature, Shagufta's failure to provide full and credible evidence respecting her overall financial circumstances, and her failure to take reasonable steps to achieve self-sufficiency.

9. Harper J. did not make an order for child or spousal support for the period from February 2011 until December 31, 2014. It is apparent from his Reasons for Judgment that no order was appropriate since there would have been a set-off of child support against any spousal support owing from at least August 2012 onward, and because Shagufta had received the entire net proceeds from the sale of the Milton property despite Shakeel's contribution of \$59,000.00 towards the downpayment. Harper J. found that Shagufta had not contributed financially to the purchase of the property.

[46] I note that I could not reconcile Harper J.'s conclusions respecting duration of spousal support with the outcome generated by the SSAG. As I will address in my review of the relevant legal principles respecting spousal support, the "rule of 65" as articulated in the SSAG comes into play on the facts of this case, since Shagufta's age at the date of separation plus the years of cohabitation totalled more than 65. In these circumstances, the SSAG provide that duration should be "indefinite (unspecified), subject to variation or possibly review." It appears that the parties did not inform Harper J. during the original trial that they cohabited for a year prior to their marriage.

IV. OVERVIEW OF THE MOTION TO CHANGE PROCEEDINGS

[47] Shakeel commenced the current Motion to Change Final Order on September 9, 2022. At that time, he requested an order terminating his obligation pursuant to the November 25, 2014 order to pay Shagufta spousal support effective April 1, 2022, and terminating the provisions of paragraph 2 of that order requiring the parties to exchange income disclosure annually and permitting annual adjustments of child and spousal support.

[48] A review of the disclosure orders made throughout this proceeding is important for the purposes of the income determination issues. An Automatic Order was issued in the Motion to Change proceeding on October 18, 2022. Pursuant to that order, the parties were required within 30 days to serve and file a Financial Statement attaching specified financial information. For the purposes of this proceeding, the relevant information was as follows:

1. Copies of their complete Income Tax Returns with all materials that were filed with the returns, and their Notices of Assessment and Notices of Reassessment for 2019 to 2021;
2. Confirmation of their year-to-date earnings in 2022, including overtime; and
3. Documentary proof of any income they had received in 2022 from employment insurance, social assistance, a pension, workers compensation, disability payments or any other source including the Canada Emergency Response Benefit ("CERB") and other similar benefits.

[49] Shagufta served and filed a Response to Motion to Change Final Order on December 3, 2022. At that time, the sole relief that she sought was an order dismissing Shakeel's Motion to Change Final Order.

[50] The parties attended a case conference on January 28, 2023. Subsequently, Kril J. conducted a settlement conference on March 27, 2023. On that date, the parties raised new claims that they wished to pursue. Shagufta indicated that she was seeking a retroactive and ongoing increase in spousal support, and Shakeel advised that he sought contribution from Shagufta for Sabaa's section 7 expenses. Shagufta requested an Urdu interpreter to assist her with the court proceeding due to alleged difficulties with the English language, and therefore Kril J. directed that an Urdu interpreter was required for all future proceedings. The court has covered the cost of all Urdu interpretation services for the case. Kril J. made a comprehensive disclosure order on March 27, 2023. Shagufta was directed to provide the following disclosure within 45 days:

1. Documentary proof of all efforts she had made to find full-time employment, including applications made to various employers with full particulars, as well as responses received;
2. Proof of any and all upgrading courses she had taken to improve her employment opportunities, as well as any certificates or other designations that she had obtained;
3. Copies of any applications she had made for Canada Pension Plan ("CPP"), Old Age Security ("OAS") and Guaranteed Income Supplement ("GIS") Benefits, as well as any responses she may have received from the government. In addition, she was to produce information with the amount to be received by her with respect to each of these government programs;
4. A copy of all passports used by her during the period from January 1, 2014 to present with copies of all pages;
5. Copies of all medical documentation outlining the medical issue that resulted in her going to Pakistan for treatment, and the amount that she paid for such treatment. In addition, information respecting the reason for any other trips to Pakistan or the UAE apart from the trip that she had taken from November 2021 until about April 2022;
6. Copies of her complete Income Tax Returns and Notices of Assessment for 2019 to 2022; and
7. A current statement for the RESP for Sabaa that was in her sole name.

[51] Shakeel was directed to produce the following disclosure within 45 days:

1. Copies of his complete Income Tax Returns and Notices of Assessment for 2019 to 2022;
2. He was to use his best efforts to produce the Notices of Assessment for 2019 to 2021 for his wife Ms. Habib and his parents Fazal and Maryam Khan; and

3. All disclosure relevant to his claim for a contribution to Sabaa's post-secondary expenses, including without limitation Sabaa's Income Tax Returns and Notices of Assessment for 2020 to 2023, her applications to OSAP if any and the responses received showing the breakdown between grant and loan, her tuition statement from Brock University, evidence of her travel and parking costs, and evidence of her textbook and other education-related expenses.

- [52] A further settlement conference was scheduled for May 18, 2023, but the conference could not proceed because there was no Urdu interpreter available. A combined settlement conference and trial scheduling conference was set for June 6, 2023, but that conference had to be adjourned as well because the Urdu interpreter appeared virtually rather than in person at the courthouse. However, Walters J. emphasized to both parties on that date the importance of complying with the court orders for disclosure and exchanging necessary productions.
- [53] Bale J. conducted a combined settlement conference and trial scheduling conference on August 1, 2023. She noted that neither party had complied fully with the March 27, 2023 disclosure order, and that the trial judge would likely draw adverse inferences against each of them in areas impacted by this failure to comply with the order. She endorsed that "[b]oth parties have been strongly urged to bring themselves into full compliance with their disclosure obligations." The only issues identified for trial were Shagufta's claim for ongoing spousal support and Shakeel's request for a termination of his spousal support obligation. Neither party indicated an intention to rely on any medical reports. Bale J. directed that both parties were to serve and file updated Financial Statements and Exhibit Briefs containing copies of all documents they intended to rely upon at trial by no later than September 29, 2023.
- [54] The trial commenced before me on November 27, 2023. The first three days were consumed with resolving serious deficiencies regarding the Trial Record and pretrial motions. Shagufta's counsel indicated in Opening Submissions that Shagufta was pursuing a retroactive and ongoing increase in spousal support. Shakeel advised that in that case, he would pursue a claim for retroactive and ongoing contribution from Shagufta toward Sabaa's section 7 expenses. I heard a contested motion to amend the parties' respective pleadings. On November 29, 2023, I made an order amending Shakeel's Motion to Change Final Order to include a claim for contribution from Shagufta to Sabaa's section 7 expenses commencing January 1, 2015. I also permitted an amendment to Shagufta's Response to Motion to Change Final Order to include a claim for an increase in spousal support effective January 1, 2016 and on an ongoing basis.
- [55] Another preliminary issue that was addressed at the outset of trial was whether the *Divorce Act*, R.S.C. 1985, c. 3 (2nd Supp.), as amended, or the provincial *Family Law Act*, R.S.O. 1990, c. F-3, as amended, applied to the support issues to be determined in the current proceeding. After much discussion and submissions from both parties, I made an order on consent of both parties on November 30, 2023 on a *nunc pro tunc* basis effective February 27, 2014 consolidating the original application with the divorce application dated February 27, 2014, amending the original application to reflect that the claims respecting spousal

and child support were being advanced pursuant to the *Divorce Act*, and that the spousal and child support terms of the November 25, 2014 were deemed to have been made under the *Divorce Act*.

V. FINAL POSITIONS OF THE PARTIES RESPECTING THE CHILD SUPPORT ISSUES

[56] Both parties submitted extensive caselaw in support of the positions they took on all issues at trial. I have carefully considered that caselaw and incorporated the portions which I found to be helpful in my review of the law on the issues below. I also provided guidance to Shakeel throughout the proceedings given his self-represented status respecting caselaw relevant to the child and spousal support issues to be addressed.

[57] With respect to the child support issues, neither party seeks to vary paragraph 1 of the November 25, 2014 order requiring Shagufta to pay Shakeel the *Table* amount of child support for Sabaa in the amount of \$270.00 per month. Shakeel filed a proposed final draft order in which he set out a request at paragraph 2 that there be no child support payable by either party. However, he clarified that he intended this to mean that there should be no retroactive *Table* amount of child support owed by either party. Shakeel requests an order requiring Shagufta to contribute to the following historical and ongoing section 7 expenses respecting Sabaa on a proportionate-to-income basis:

Post-secondary education expenses: \$10,000.00/year for the years 2022 to 2025

Historical orthodontic expenses: \$15,000.00

Twelve years of cell phone expenses: \$ 8,640.00

Four years of swimming lesson expenses: \$ 7,200.00

Four years of martial arts expenses: \$ 7,200.00

[58] Both parties acknowledged that there have been material changes in circumstances since November 2014 which satisfy the threshold test for a variation of the child support terms of the November 25, 2014 order. Shakeel submitted that Sabaa remains entitled to child support as she began her post-secondary studies on a full-time basis at Brock University in September 2022, and she has continued those studies since that time. With respect to the retroactive component of his claim, Shakeel claimed in his Closing Submissions that he had raised the issue of contribution to the section 7 expenses with Shagufta many times over the years, but he acknowledged that he did not have any documentary proof to support this point. His explanation for the delay in requesting contribution to the expenses was that he did not realize that he could ask for this relief until he met with his former counsel when he commenced the current Motion to Change Final Order proceeding. He acknowledged that his counsel advised him at that point of his right to seek contribution from Shagufta for section 7 expenses, but that he did not make the claim at the outset of these proceedings. With respect to his claim for contribution to post-secondary education expenses, he noted that Sabaa has covered the cost of her books, GO bus travel expenses, computer and other

personal expenses through an Ontario Student Assistance Program (“OSAP”) loan in 2022 and earnings from a part-time job commencing in 2023, and that he has paid for her tuition and other university school fees. His position is that Shagufta should be imputed a reasonable income level, and that she should be required to contribute to all of the expenses set out above on a *pro rata* basis.

- [59] Shagufta opposes the request that she contribute to Sabaa’s historical and ongoing section 7 expenses. With respect to the retroactive claims, her counsel Mr. Nanda submitted that Shakeel did not raise this issue until part-way through this proceeding, and that he did not adduce any compelling evidence to explain the reasons for this delay. He argued that Shagufta has not engaged in any blameworthy conduct in relation to child support, and that she would suffer significant economic hardship if the court required her to make the large contribution which Shakeel seeks to Sabaa’s historical section 7 expenses. He argued that in any event, Shakeel failed to adduce adequate evidence in support of the total amounts of the section 7 expenses in question, or the net amounts after any applicable tax credits or reimbursement from benefits insurance providers. With respect to Sabaa’s post-secondary expenses, Mr. Nanda suggested in Closing Submissions that Sabaa may have lost entitlement to child support as of September 2023, as she took fewer courses during her second year. I highlighted that this was the first time the issue of ongoing child support entitlement had been raised, and that this position was inconsistent with the position that Shagufta took throughout the trial that she was not seeking a variation of her current monthly child support obligation. However, out of an abundance of caution, I will address the issue of Sabaa’s ongoing entitlement to child support in these Reasons for Judgment. Finally, Mr. Nanda contended that Shagufta’s financial circumstances are such that she simply cannot afford to pay any additional expenses over and above the sum of \$270.00 per month and her own daily living expenses.

VI. FINAL POSITIONS OF THE PARTIES RESPECTING THE SPOUSAL SUPPORT ISSUES

- [60] Shakeel seeks a termination of his spousal support obligation in relation to Shagufta effective May 1, 2024. He submitted that Shagufta has had 13 years since the parties separated to capitalize upon her historical education and employment skills, upgrade her education and training and diversify her competencies to achieve self-sufficiency. He highlighted the numerous deficiencies respecting Shagufta’s disclosure about her income and overall financial circumstances over the years and argued that the court should infer from these disclosure problems that Shagufta’s financial situation is better than she represents. In this regard, he argued that there is extensive evidence of Shagufta being dishonest about her financial affairs, including failure to report her spousal support and capital gains that she earned on the Milton property for income tax purposes and claiming tuition credits in relation to post-secondary expenses that she never incurred. In addition, he noted that Shagufta is eligible to receive CPP retirement benefits, OAS payments, and the “GIS”, and that these amounts should be imputed into her income if she has chosen not to claim them. He maintained that Shagufta had a pattern during the marriage of spending extended periods of time in Pakistan each year, and that she has continued to do so since

the separation rather than focussing on increasing her income and working towards financial independence.

- [61] Shakeel also opposes Shagufta's claim for a retroactive increase in spousal support, which is based largely on post-separation increases in his income. He maintained that she did not raise this issue until part-way through this proceeding, and that there is no understandable reason for her delay in advancing this claim. He highlighted that the November 25, 2014 order specifically provided that she could request a review of spousal support as of December 2015. He emphasized that he has paid the spousal support owed to Shagufta regularly, and while he acknowledged that he did not produce his income disclosure to Shagufta annually, he noted that she also failed to provide her income disclosure. He argued that any financial hardship that Shagufta may have experienced over the years was attributable to her inadequate efforts to achieve self-sufficiency. Furthermore, he contended that he would simply be unable to pay a retroactive spousal support award or increased spousal support on an ongoing basis, as he is in dire financial straits due to his expenses and responsibilities towards his parents, his new wife Ms. Habib, Sabaa and his two young children with Ms. Habib. His view is that his post-separation income increases should not be considered as part of the spousal support analysis, given that Shagufta's spousal support entitlement does not have a compensatory element and his perspective that her conduct impeded rather than supported his employment prospects and income earning potential.
- [62] Shagufta seeks an order increasing her spousal support commencing January 1, 2016, the month after she was entitled to seek a spousal support review pursuant to the November 25, 2014 order. She submits that she should receive spousal support in the mid range under the SSAG based on the parties' line 150 incomes as reported in their Income Tax Returns since 2016. With respect to the retroactive aspect of her claim, her counsel Mr. Nanda submitted that Shakeel was clearly on notice from the review term of the November 25, 2014 order that spousal support could be adjusted at any time after December 2015, and that this term constituted both effective and formal notice of her claim for increased support. Mr. Nanda stated that Shagufta's delay in seeking increased spousal support was attributable to her inability to afford legal counsel. He argued that Shagufta has not been able to achieve a reasonable standard of self-sufficiency since 2014 and that she has lived a survival existence, struggling to make ends meet even with spousal support. With respect to the impact of a retroactive award on Shakeel, he contended that his expenses listed in his most recent Financial Statement are inflated, that the incomes of his wife and parents should be considered in the analysis and that Shakeel should have no difficulty paying a retroactive award provided that a payment plan is implemented.
- [63] Shagufta opposes income being imputed to her for the purposes of the spousal support analysis. She submits that she has made reasonable attempts to increase her earnings and achieve self-sufficiency, but that her efforts in this regard were significantly impeded by the long-term emotional stress associated with the events surrounding the breakdown of the marriage, the COVID-19 pandemic, her involvement in car accidents, various injuries that she sustained over the years and her need for dental treatment which required her to spend a significant period of time in Pakistan from the fall of 2021 until the spring of 2022.

Notwithstanding Harper J.'s conclusion in his December 7, 2013 Reasons for Judgment that her spousal support entitlement is needs-based only, she claims that there is also a strong compensatory aspect to her claim based on the contributions and sacrifices that she made through her child-care and home management responsibilities during the marriage, and the long-term disadvantage that these caused her in her efforts to achieve financial independence. She asserts that Shakeel was able to leverage the skills, experience and connections that he developed through his employment in the UAE, with her support on the home-front, to significantly increase his income and standard of living following the separation. Her position is that a retroactive and ongoing quantum of support in the mid-range pursuant to the SAAG is appropriate based on the compensatory and strong needs-based nature of her entitlement, the length of the marriage and her ongoing high need. In terms of duration, her counsel maintained that the spousal support award should be indefinite, based on the "rule of 65" under the SSAG, Shagufta's age at the time of the separation, her current age of 66 and the fact that she has insufficient resources to support herself throughout her retirement. Her position based on these arguments is that she is owed retroactive spousal support in the sum of \$45,618.00 up to and including December 31, 2023, and that her spousal support should be increased to \$2,450.00 per month effective January 1, 2024.

**PART 4: THE PARTIES' INCOMES AND OVERALL CONDITION, MEANS
NEEDS AND FINANCIAL CIRCUMSTANCES SINCE THEIR SEPARATION**

I. THE LAW RESPECTING INCOME DETERMINATION FOR SUPPORT PURPOSES

A. Relevant Legislative Provisions and General Principles

- [64] The parties' incomes, their capacity to earn income and their overall financial circumstances since their separation are critical factors in addressing all aspects of the child and spousal support issues in this case. Accordingly, I turn to these matters at this stage as an essential foundation for the remainder of my analysis of the parties' claims.
- [65] The *Divorce Act* and the *Federal Child Support Guidelines*, SOR/97-175, as amended ("*the Guidelines*") govern the child and spousal support issues in this case. The *Guidelines* establish the framework for determining income for child support purposes. The caselaw has established that the starting point for determining income for spousal support purposes and under the SSAG is also the definition of "income" under the *Guidelines* (*Mason v. Mason*, 2016 ONCA 725 (C.A.), at para. 120; *Slongo v. Slongo*, 2017 ONCA 272 (C.A.), at para. 30; *Jonas v. Pacitto*, 2021 ONCA 727 (C.A.), at para. 47).
- [66] Section 2(1) of the *Guidelines* defines "income" for child support purposes as the annual income determined under sections 15 to 20. Section 15(1) of the *Guidelines* provides that subject to section 15(2), a spouse's annual income is determined by the court in accordance with sections 16 to 20 of the *Guidelines*.

- [67] Section 16 of the *Guidelines* is the starting point for determining a party's income. It stipulates that subject to sections 17 to 20, a spouse's annual income is determined using the sources of income set out under the heading "total income" (line 150) in the T1 General Form issued by the Canada Revenue Agency and by then making the adjustments provided for in Schedule III to the *Guidelines*. Federal child-related tax benefits and Goods and Services tax credits attributable to children are not included in the calculation of income for the purposes of child support (*Guidelines*, Schedule I, para. 6). By virtue of section 2(3) of the *Guidelines*, the court is required to determine issues relating to income based on the most current information available. This requires the court to ascertain, if possible, the payor's estimated actual annual income in each year for which the quantum of support is being determined, and to make support decisions based on that income (*Vanos v. Vanos*, 2010 ONCA 876 (C.A.), at paras. 13 and 14; *Morrissey v. Morrissey*, 2015 PECA 16 (C.A.), at paras. 17-22).
- [68] The determination of income for the purposes of the SSAG differs from the calculation of income for child support cases in two significant ways. First, government child-related benefits and credits relating to children in relation to whom there is a child support obligation as between the parties, and the child's portion of the benefits, are included in income under the *With Child Support* formula, which encompasses the *Custodial Payor* formula (SSAG, at p. 47; *Professor Carol Rogerson and Professor Rollie Thompson, Spousal Support Advisory Guidelines: The Revised User's Guide* (Ottawa: Department of Justice Canada, 2016) (the "*Revised User's Guide*"), at pp. 18-19). Second, social assistance of any kind, including Ontario Works benefits and Ontario Disability Support Plan benefits, is not treated as income for the purposes of the SSAG for the recipient or the payor (*The Revised User's Guide*, section 6(a); *Naegels v. Robillard*, 2020 ONSC 3918 (Div. Ct.), at para. 12).
- [69] CPP retirement and CPP disability benefits are income for the purposes of both child support and the SSAG (*Revised User's Guide*, at p. 18; *Professor Rollie Thompson, SSAG FAQs 2022: Your Frequently (or Occasionally) Asked Questions About the SSAG and Some "Answers"*). OAS amounts and GIS payments are also income for both child and spousal support. OAS and GIS payments may be clawed back depending on the party's other sources of income, and if this is the case, they should be adjusted to back out the amount of the claw-back.
- [70] Schedule III to the *Guidelines* must also be carefully considered in determining the parties' incomes for support purposes, as it sets out a number of adjustments that must be made to income as directed by section 16 of the *Guidelines*. Section 1 of Schedule III stipulates that the employment expenses listed in the section must be deducted from a party's *Guidelines* income. Of relevance to this case, the list includes dues and other expenses of performing duties.
- [71] Section 3 of Schedule III provides that in calculating income for the purpose of determining an amount under an applicable *Table*, the court must deduct any spousal support received from the other spouse from the spousal support recipient's income. Section 3.1 of Schedule III directs that to calculate income for the purpose of determining an amount under section

7 of the *Guidelines*, the court must deduct the amount of spousal support paid by a spousal support payor to the other spouse from the payor's income. The spousal support received is included in the recipient spouse's income for s. 7 purposes (*Zilic v. Zilic*, 2021 BCCA 107 (C.A.), at para. 212).

- [72] Where income is non-taxable for any reason, a gross-up needs to be applied to the income to account for the tax advantage that the party derived. The purpose of such a gross-up is to place the party on the same footing as a salaried employee. The rationale for this is that *Guidelines* income is based on the parties' gross annual income before tax, and section 1 of the *Guidelines* stipulates that one of the objectives of the *Guidelines* is to ensure consistent treatment of spouses and children in similar circumstances (*Gonabady-Namadon v. Mohammadzadeh*, 2009 BCCA 448 (C.A.), at para. 33).

B. Imputation of Income

1. General Principles and Onus of Proof Issues

- [73] In this case, the operative child and spousal support terms of the November 25, 2014 order are based on an imputed income to Shagufta of \$30,000.00 as of April 1, 2014. Shagufta alleges that she did not earn this much for most years since 2014, and she relies in part on this claim in support of her request for retroactive increases in spousal support. Shakeel argues that income should be imputed to her at a higher amount than \$30,000.00. Accordingly, it is necessary to address the relevant legal principles respecting imputation of income.
- [74] The *Guidelines* provide that the court may impute income to a party in appropriate circumstances. The relevant section is section 19, which provides as follows:

Imputing income

19(1) The court may impute such amount of income to a spouse as it considers appropriate in the circumstances, which circumstances include the following:

- a) the spouse is intentionally under-employed or unemployed, other than where the under-employment or unemployment is required by the needs of a child of the marriage or any child under the age of majority or by the reasonable educational or health needs of the spouse;
- b) the spouse is exempt from paying federal or provincial income tax;
- c) the spouse lives in a country that has effective rates of income tax that are significantly lower than those in Canada;

- d) it appears that income has been diverted which would affect the level of child support to be determined under these Guidelines;
- e) the spouse's property is not reasonably utilized to generate income;
- f) the spouse has failed to provide income information when under a legal obligation to do so;
- g) the spouse unreasonably deducts expenses from income;
- h) the spouse derives a significant portion of income from dividends, capital gains or other sources that are taxed at a lower rate than employment or business income or that are exempt from tax; and
- i) the spouse is a beneficiary under a trust and is or will be in receipt of income or other benefits from the trust.

Reasonableness of Expenses

(2) For the purpose of paragraph (1)(g), the reasonableness of an expense deduction is not solely governed by whether the deduction is permitted under the *Income Tax Act*.

- [75] The courts have held that the principles that apply in determining whether to impute income are the same in both child support and spousal support cases (*Marrello v. Marrello*, 2016 ONSC 835 (S.C.J.), at para. 146; *Kinsella v. Theophille*, 2018 ONSC 5047 (S.C.J.), at para. 48).
- [76] The court's authority to impute income to a party reinforces that parties must act responsibly when making financial decisions that may affect the level of income available from them for the support of their dependants or themselves (*Duffy v. Duffy*, 2009 NLCA 48 (NLCA); *A.E. v. A.E.*, 2021 ONSC 8189 (S.C.J.), at para. 256). The list of circumstances set out in section 19 of the *Guidelines* in which the court may impute income is not exhaustive, and therefore it does not circumscribe the court's general discretion to impute income in other situations where it considers it appropriate to do so. These other situations need not be analogous to the circumstances listed in section 19 (*Bak v. Dobell*, 2007 ONCA 304 (C.A.); *Korman v. Korman*, 2015 ONCA 578 (C.A.), at para 48; *Madi v. King*, 2023 ONCA 443 (C.A.), at para. 41). However, any new category should be consistent with the rationale for section 19(1) and the general objectives of the *Guidelines*.
- [77] The onus is on the party requesting the court to impute income pursuant to section 19(1) to establish that imputation is appropriate (*Homs v. Zaya*, 2009 CarswellOnt 2068 (C.A.), additional reasons 2009 CarswellOnt 3112 (C.A.); *Morrissey*). However, this onus does not relieve the other party from their basic obligation to provide timely and full disclosure

of all relevant information required to reach an accurate finding respecting their income. If the evidence adduced at trial raises a *prima facie* case for imputation of income, the onus shifts to the other party to defend their position respecting their income and to show that income should not be imputed to them (*Drover v. Drover*, 2018 NLSC 15 (S.C.), at para. 35, *aff'd* 2020 NLCA 9 (C.A.), at paras. 27-28, leave to appeal dismissed 2020 CarswellNfld 296 (S.C.C.); *Horbas v. Horbas*, 2020 MBCA 34 (C.A.), at para. 34).

- [78] The imputation of income to a party is a fact-driven exercise that turns on the unique circumstances of the case before the court (*Bak*, at para. 73; *Korman*, at para. 49). Regardless of the basis upon which imputation occurs, the amount of income that the court imputes to a party is a matter of discretion. In carrying out the exercise, the court must take into consideration the purposes of the *Guidelines* and arrive at a figure that is rational and reasonable based on the evidence before the court (*Drygala v. Pauli* (2002), 61 O.R. (3d) 711 (Ont. C.A.), at para. 44; *Cheng v. Sze*, 2021 ONCA 346 (C.A.), at para. 10). The process of imputing income is not an exact science, particularly when the evidence before the court is imprecise or incomplete (*Valley v. Hay*, 2019 ONCA 70 (C.A.), at para. 10). In *Korman*, at para 51, the Ontario Court of Appeal held that the court may impute income to a spouse in excess of their presumptive section 16 income where the imputed amount is supported by the evidence and is consistent with the *Guidelines* objectives of establishing fair support based on the financial means of the parties “in an objective manner that reduces conflict, ensures consistency and encourages resolution.” (See also *Valley*, at para. 10 *Mason*; *Ludmer v. Ludmer*, 2014 ONCA 827 (C.A.)).
- [79] In this case, Shakeel seeks to impute income to Shagufta based on her failure to provide income information when under a legal obligation to do so, her lack of credibility regarding her income and her deliberate under-employment. I therefore turn to a review of the basic principles respecting these grounds for income imputation.

2. Imputation of Income on the Basis of Failure to Provide Income Information: Section 19(1)(f) of the Guidelines

- [80] Section 19(1)(f) of the *Guidelines* gives the court a broad discretion to impute income where a party fails to disclose income information when under a legal obligation to do so. This encompasses failing to produce all relevant income information to the other party and the court as required pursuant to the *Guidelines*, the relevant Family Law legislation and caselaw, the *Family Law Rules*, O. Reg. 114/99, orders, or to the Canada Revenue Agency for income tax purposes as required pursuant to the *Income Tax Act*, R.S.C. 1985, c. 1 (5th Supp.) (*A.E. v. A.E.*, at para. 264). However, a party’s legal obligation to disclose income information in support cases may be far broader than that which is specifically required by statute, the *Guidelines*, court orders and the *Family Law Rules*. It is a fundamental principle of evidence that litigants have a basic legal obligation to disclose all information that is relevant and material to the case (*R. v. Candir* (2009), 250 C.C.C. (3d) 139 (Ont. C.A.); *R. c. J. (J.-L.)*, [2000] 2 S.C.R. 600 (S.C.C.); *Kinsella v. Mills*, 2020 ONSC 4785 (S.C.J.), at para. 166; *Colucci v. Colucci*, 2021 SCC 24 (S.C.C.), at para. 192). The caselaw has firmly established that particularly in the Family Law context, parties have a strict general duty to proactively provide full, honest and transparent disclosure of all information that is

relevant to the issues in the case, subject to concerns about proportionality (*Michel v. Graydon*, 2020 SCC 24 (S.C.C.), at para. 33, *Colucci*, at para. 552; *Roberts v. Roberts*, 2015 ONCA 450 (C.A.), at paras. 11-12; *Mullin v. Sherlock*, 2018 ONCA 1063 (C.A.), at para. 32). In *Leitch v. Novac*, 2020 ONCA 257 (C.A.), the Ontario Court of Appeal emphasized that non-disclosure is “antithetical to the policy animating the family law regime and to the processes that have been carefully designed to achieve those policy goals” (at para. 44). Similarly, in *Michel* and *Colucci*, the Supreme Court of Canada highlighted the pernicious impact of inadequate or delayed disclosure in child support cases. It stressed that proactive, fulsome financial disclosure is “the linchpin of a just and effective family law system” (*Colucci*, at para. 4). Flowing from this principle, it held that the exercise of judicial discretion, the setting of legal standards and tests and the general interpretation of the law must encourage timely disclosure of all necessary information and in no way reward those who improperly withhold, hide or misrepresent information they ought to have shared (*Colucci*, at para. 54). Subsequently, in *Hevey v. Hevey*, 2021 ONCA 740 (C.A.), the Ontario Court of Appeal emphasized that Family Law litigants should not be required to launch into full investigative mode and “ferret out” information about income and assets from the other party (at paras. 26, 30 and 34). The court reiterated that in exercising their discretion in Family Law cases, judges must encourage proactive financial disclosure and in no way reward those who fall short of their disclosure obligations. Based on this caselaw, it is appropriate to give section 19(1)(f) of the *Guidelines* a broad interpretation that furthers the overall purposes of the *Guidelines* and the foundational principles underlying the law of child and spousal support.

- [81] It flows from the principles set out above that a party cannot ask the court to make income findings that are favourable to them and contrary to another party’s interests while at the same time shielding information that is relevant to the determination of their income behind a protective wall. Every party in a support case must proactively disclose and adduce all relevant evidence required to allow the other party and the court to undertake an accurate assessment of their income for support purposes, including but not limited to their reported earnings, their income earning potential, efforts which they have made to maximize their earnings, and the appropriateness of any deductions that they seek to claim against their self-employment income. This obligation is immediate and ongoing, and court orders should not be required to ensure compliance with it (*Roberts*, at para. 11; *Aslezova v. Khanine*, 2023 ONCA 153 (C.A.), at para. 12). Failure to comply with this broad, general obligation may support an imputation of income pursuant to section 19(1)(f) of the *Guidelines*. Further to this broad disclosure obligation, if a party identifies issues and raises questions respecting the other party’s income, the party whose income is in question cannot simply make bald assertions regarding their financial circumstances and hope that the other party will not uncover evidence that is prejudicial to their position. Rather, that party has a positive obligation to respond to reasonable requests for additional information about their income, and to proactively disclose information and evidence in support of their position, including why income should not be imputed to them. The nature and extent of the disclosure required in response to such requests will depend on the questions and concerns raised by the other party and the facts of each case (*A.E. v. A.E.*, at para. 259). However, given the fundamental importance of financial disclosure in Family Law cases, the party whose income is in dispute should err on the side of more fulsome rather than

restrictive disclosure. If the party whose income in dispute fails to disclose all relevant information or respond to reasonable concerns and questions raised by the other party, the trial judge may draw an adverse inference against them (*Meade v. Meade*, 2002 CarswellOnt 2670 (S.C.J.), at para. 81; *Colucci*, at para. 114), and they may impute income to them pursuant to section 19(1)(f) of the *Guidelines*.

3. **Imputation of Income Based on Evidence that the Reported Income is Not Credible**

[82] As part of its general discretionary authority pursuant to section 19(1) of the *Guidelines*, the court may impute income to a party if the evidence indicates that their position respecting their income is not credible for any reasons (*Heard v. Heard*, 2014 ONCA 196 (C.A.), at paras. 33-35; *A.E. v. A.E.*; *M.A.B. v. M.B.C.*, at para. 482). The situations in which imputation pursuant to this broad discretionary authority may be appropriate include the following:

1. Where there is evidence that the party has earned income that they have not declared for income tax purposes or disclosed in the court proceeding. Income may also be imputed in these circumstances on the basis of the party's failure to disclose income information that they are required by law to disclose (*Sorya v. Parmar*, 2012 BCSC 192 (S.C.J.); *Sidhu v. Sidhu*, 2015 ABQB 661 (Q.B.); *Sobiegraj v. Sobiegraj*, 2014 ONSC 2030 (S.C.J.); *Lu v. Zhao*, 2012 ONSC 5354 (S.C.J.), at para. 26, aff'd 2014 ONCA 12 (C.A.), at para. 5; *A.E. v. A.E.*, at para. 264).
2. Where the party's deposits into their personal or business accounts suggest that their income was greater than reported in their Income Tax Returns and they fail to provide a reasonable explanation (*Lazarevic v. Lazarevic*, 2014 ONSC 7348 (S.C.J.), *Kinsella v. Mills*, at para. 175; *A.E. v. A.E.*, at para. 266).
3. Where a party has made representations outside of the court context that their income is higher than they have stated in the court proceedings (*Kinsella v. Mills*; *McKenna*, at para. 146), or that they have engaged in income earning activities that they did not discuss in their testimony.
4. Where there are inconsistencies respecting their income on the one hand and their expenses and debts on the other which indicate that they are being dishonest about their true income (*Perino v. Perino*, 2007 CarswellOnt 7171 (S.C.J.), at paras. 333-337; *A.E. v. A.E.*, at para. 266).
5. Where the party fails to provide the other party and the court with relevant information respecting the causes of income changes during the relevant years.
6. Finally, where the party's lifestyle and/or spending habits are such that a reasonable inference can be drawn that they have undisclosed income (*Riel v. Holland*, 2003 CarswellOnt 3828, 67 O.R. (3d) 417 (C.A.); *Bak*, at paras. 41 and 43; *Heard*, at paras. 33-35; *Mahtani v. Mistry*, 2019 ONSC 5260 (S.C.J.), aff'd 2021 ONCA 492 (C.A.), at para. 8).

4. **Imputation of Income for Intentional Under-Employment or Unemployment:
Section 19(1)(a) of the Guidelines**

[83] The Ontario Court of Appeal addressed the issue of imputation of income pursuant to section 19(1)(a) of the *Guidelines* based on intentional unemployment or under-employment in *Drygala* and in *Lavie v. Lavie*, 2018 ONCA 10 (C.A.). Further to those cases and others that have considered section 19(1)(a), the relevant principles for the purposes of this case are as follows:

1. Section 19(1)(a) reflects the principle that parties have a duty in support cases to maintain or actively seek out reasonable income-earning opportunities that will maximize their earning potential so as to meet the needs of their dependants (*Drygala*; *Lavie*).
2. The analysis required under section 19(1)(a) is threefold:
 - a) First, the court must determine if the party in question has been deliberately under-employed or unemployed. If the answer is no, then the inquiry is at an end.
 - b) Second, if the court finds that the party has been deliberately under-employed or unemployed, it must then determine whether this has been required by the reasons set out in section 19(1)(a), specifically the needs of any child or by the reasonable educational or health needs of the party. If the court is satisfied that one of these reasons has been established, it cannot impute income to the party.
 - c) Third, even if the reasons specifically set out in section 19(1)(a) are not satisfied, the court must then determine if there is any other reasonable basis for declining to impute income to a deliberately under-employed or unemployed party. Section 19(1)(a) is not mandatory; it provides that the court *may* impute income in a case of deliberate under-employment or unemployment. The court has a wide discretion with respect to imputation of income, and in the context of deliberate under-employment or unemployment, the exercise of that discretion will turn on the overall reasonableness of the payor's decisions and actions in relation to their income, taking into consideration all relevant circumstances (*Riel*; *Horbas*, at para. 28; *Abumatar v. Hamda*, 2021 ONSC 2165 (S.C.J.), at para. 28(o); *M.A.B. v. M.G.C.*, at para. 483). The assessment of reasonableness in this context must be undertaken under the umbrella of the legislative and policy objectives of support, including the obligation of spouses to maintain their dependants, the importance in the spousal support context of encouraging self-sufficiency where it is reasonable to do so and the importance of ensuring a fair standard of support (*Donovan v. Donovan* (2000), 190 D.L.R. (4th) 696 (Man. C.A.), at para. 20; *Horbas*, at paras. 25, 30-31). In assessing the reasonableness of the

party's decisions, the court must also be guided by the principle that parties should not be permitted to arrange their financial affairs to prefer their own interests over those of their dependants (*D.B.S. v. S.R.G.*; *L.J.W. v. T.A.R.*; *Henry v. Henry*; *Hiemstra v. Hiemstra*, 2006 SCC 37 (S.C.C.) ("*D.B.S.*"); *Colucci*). A mere desire to have more self-satisfying work may not be considered an acceptable reason for under-employment, but the prospect that less remunerative work may lead to greater opportunities for advancement and financial security in the future may be accepted as a reasonable explanation (*Mwenda v. Madituka*, 2018 ONCJ 503 (O.C.J.); *Gibson v. Gibson*, 2011 ONSC 4406 (S.C.J.); *A.E. v. A.E.* at para. 262).

3. The onus is on the party seeking to impute income pursuant to section 19(1)(a) to establish a *prima facie* case that the other party has been deliberately unemployed or under-employed. However, once this hurdle is crossed, the onus at that point shifts to the other spouse to satisfy the court that their situation falls within one of the exceptions set out in section 19(1)(a), or that their under-employment or unemployment is otherwise reasonable and justified (*Drygala*; *Crowe v. McIntyre*, 2014 ONSC 7106 (S.C.J.), at para. 31(f)).
4. A party is intentionally under-employed within the meaning of this section if they earn less than they are capable of earning having regard for all of the circumstances. The party is intentionally unemployed when they choose not to work when capable of earning an income (*Drygala*; *Lavie*; *Duffy*, at para. 35).
5. A finding of deliberate under-employment or unemployment does not require evidence of bad faith or an attempt to evade support obligations (*Drygala*; *Lavie*; *Duffy*, at para. 35).
6. The use of the word "intentionally" in section 19(1)(a) highlights that the provision does not apply to situations that are beyond the party's control (*Duffy*, at para. 35).
7. In determining whether a party is intentionally under-employed or unemployed, the court should consider the party's capacity to earn income in light of their age, education, health, work history, the availability of work that is within the scope of the party's capabilities and the amount of income that the party could reasonably earn if they worked to capacity (*Marquez v. Zapiola*, 2013 BCCA 433 (C.A.); *Lawson v. Lawson*, 2006 CarswellOnt 4789 (C.A.); *Drygala*; *King v. King*, 2019 ONCA 950 (C.A.); *Willms v. Willms*, 2020 BCCA 51 (C.A.)). A party who is well educated and skilled and has no compelling reasons for not working risks being found to be intentionally unemployed (*Korwin v. Potworowski*, 2007 ONCA 739 (C.A.); *Bemrose v. Fetter*, 2007 ONCA 637 (C.A.)).
8. The fact that a party is receiving social assistance or disability benefits does not bind the court in determining a party's income for support purposes. The court

must carry out its own assessment of the party's income based on all of the evidence to determine whether an imputation of income is appropriate (*Pontius v. Murray*, 2011 CarswellSask 679 (C.A.); *Poursadeghian v. Hashemi-Dahaj*, 2010 CarswellBC 2740 (C.A.); *Coad v. Coad*, 2017 ONCA 173 (C.A.), at para. 11; *Kinsella v. Mills*).

9. Where a party alleges that their under-employment or unemployment has been attributable to their reasonable health needs, the court's analysis of this claim should include consideration of the following principles and considerations:
 - a) The party must adduce credible evidence of both the health-related challenges and the impact of same on their ability to earn income (*Coad*, at para. 11; *Kinsella v. Mills*, at para. 171).
 - b) Although medical evidence is not necessarily required to support a health-related explanation for a reduction in income, it is helpful. In the absence of medical evidence, the party should adduce independent and credible evidence respecting the nature and extent of their health issues and the extent to which they impacted upon their capacity to earn income.
 - c) The court should also consider whether the party has taken active steps to address and diminish any health-related factors that have contributed to their under-employment or unemployment, and whether those steps have led to an improvement in their capacity to earn income (*Cherry-Francey v. Francey*, 2012 ONSC 2109 (S.C.J.), at para. 129; *Kandola v. Kandola*, 2016 BCSC 1443 (S.C.), aff'd 2017 BCCA 235 (C.A.); *Moody v. Holden*, 2015 NLTD(F) 45, 2015 CarswellNfld 525 (S.C.), at para. 56; *Kinsella v. Mills*, at para. 171).
 - d) Even if the court accepts that the party has health-related challenges that may impact their income earning capacity, it must consider the nature and extent of the impact and whether the party could work on a part-time basis or in a less demanding position (*Bentley v. Bentley*, 2009 CarswellOnt 562 (S.C.J.); *Mintz v. Mintz*, 2013 ONCJ 382 (O.C.J.) *Kinsella v. Mills*, at para. 171).
10. A self-induced lack of income or reduction of income with no realistic prospect of future financial advancement may constitute grounds to impute income to a party because of deliberate under-employment. Accordingly, the court may find the party to be intentionally under-employed or unemployed and impute income where the party has persisted in unreasonable un-remunerative income-earning activities, or where they have pursued unrealistic or unproductive career aspirations (*Hanson v. Hanson*, 1999 CarswellBC 2545 (S.C.); *Drygala; Donovan; Lawson; Abballe v. Abballe*, 2014 ONSC 4244 (S.C.J.), at para. 39).

11. The court may also impute income to a party under section 19(1)(a) if the party ceases their employment or other income-earning activities for self-focussed or bad faith reasons (*Ronan v. Douglas Walsh* (1994), 5 R.F.L. (4th) 235 (Ont. Prov. Div.)).

[84] If the court determines that income should be imputed based on a party's intentional under-employment or unemployment, it must then determine the appropriate level of income to impute to the party. In carrying out this task, the court must consider all of the evidence adduced by both parties and determine what is reasonable and fair having regard for the objectives of the applicable legislation, the particular facts of the case and the circumstances of the party (*Van Gool v. Van Gool* (1998), 166 D.L.R. (4th) 528 (B.C.C.A.); *Duffy*; *Horbas*, at para. 38; *Drygala*). The onus on the party seeking to impute income does not extend to proving the appropriate quantification of the imputed amount (*Dunne v. McNeil*, 2020 ONSC 1217 (Div. Ct.), at para. 9). Relevant factors in quantifying the imputed income include the age, education, experience, skills and health of the party, their historical income when they were earning a higher income, their ability to resume an income commensurate with their past income, the availability of work and any other obligations which they may have (*Horbas*, at para. 38; *Dunne*, at paras. 7-9).

II. SHAGUFTA'S INCOME AND FINANCIAL CIRCUMSTANCES SINCE 2014

A. General Findings Supporting an Imputation of Income to Shagufta

- [85] As I elaborate upon below, I have concluded that income should continue to be imputed to Shagufta from 2014 onward for various reasons. Before embarking upon a year-by-year analysis of her income and financial circumstances since that time, I highlight at this stage several general points which have led me to conclude that imputation of income continues to be appropriate.
- [86] Unfortunately, like during the trial proceedings before Harper J. in 2013 and 2014, Shagufta's evidence regarding her income and financial situation in this proceeding was highly problematic for several reasons, which I expand upon in more detail below. First, there were significant problems with Shagufta's reporting of her income and deductions from income in her income tax documents. Second, Shagufta failed to disclose critical information and documentation about her income sources and overall financial circumstances during the court proceeding and in her examination in chief at trial. As a result, extensive cross examination on these matters was necessary to obtain a fulsome picture of her true overall financial means and circumstances. Third, Shagufta's testimony regarding her income was in many respects inconsistent with the documentary evidence respecting her earnings. Finally, Shagufta was unable to recall or explain several sources of income noted in the income tax documentation that she did produce.
- [87] Another factor that has informed my decision to impute income to Shagufta is her longstanding pattern dating from 2011 of failing to comply with court orders for disclosure. Pursuant to my order dated August 31, 2011, she was required to serve and file an updating affidavit attaching her complete Income Tax Returns for 2008 to 2010 as well as

documentation setting out proof of all sources of her income for 2008 to 2011 by September 30, 2011, which she did not do. That order also required her to produce a detailed summary of all efforts that she had made to seek employment and/or upgrade her skills since January 2011, which she failed to do.

- [88] Paragraph 5 of my August 31, 2011 order also compelled Shagufta to produce all of the mortgage documentation regarding the Milton property that she had purchased in 2009 by no later than September 20, 2011. By way of background on this issue, the circumstances respecting the purchase, financing and sale of this property have been a major source of discord between the parties and consumed a considerable amount of time during the previous and current trial proceedings. The parties saw the property together in 2008 and decided to purchase it at that time, and the closing occurred on May 14, 2009. Shakeel was in the UAE at the time, and Shagufta attended to the closing in Ontario. Harper J. found in his November 25, 2014 Reasons for Judgment that Shakeel paid the downpayment for the property in the amount of \$59,000.00, and that the balance of the purchase price was financed by way of a mortgage. Title to the property and the mortgage were registered in Shagufta's name only. As I have indicated, Shagufta sold this property without Shakeel's knowledge or consent on August 2, 2011 and retained the net sale proceeds of \$78,576.64. for her sole benefit.
- [89] Shakeel claims that the intention was always for both parties to be named jointly on title to the Milton property and on the mortgage, but that Shagufta underhandedly circumvented that intention. Shagufta claims that Shakeel wanted her and Sabaa to hold title jointly, that the lawyer advised against this and that Shakeel then insisted that title be put in her sole name. I accept Shakeel's version of events regarding this issue. The funds that Shakeel transferred to Shagufta for the downpayment represented his entire life savings at the time, and both parties acknowledged that they intended this home to be their family residence when they eventually returned to Canada. Shakeel was genuine and credible in testifying about his shock upon learning that the property and mortgage had in fact been registered in Shagufta's sole name. He pursued investigations following Shagufta's sale of the property which support his version regarding the parties' intentions regarding the property. Specifically, he made inquiries of the Bank of Nova Scotia's Ombudsman's Office about how the bank had approved a mortgage in Shagufta's sole name when she apparently had no income or other financial means at the time, and with the Real Estate Council of Ontario about how Shagufta's realtor had carried out the sale of the property without his spousal consent. Harper J. appears to have accepted Shakeel's evidence on this issue as well, as he did not make an order for spousal support for the period from the date of separation on January 29, 2011 until December 31, 2012 based primarily on the fact that Shagufta had retained the proceeds from the sale of the property for her sole benefit. Harper J.'s decision of November 25, 2014 respecting the spousal support claim fully addressed the consequences of Shagufta retaining the sale proceeds from a spousal support perspective. However, disclosure of the financial information that Shagufta provided to the Bank of Nova Scotia in support of the mortgage application remains highly relevant in this proceeding, because Shagufta somehow obtained the mortgage in her sole name for \$330,000.00, despite her claim that she was not earning any income and had no significant

assets at that time. Shagufta breached the term of the August 31, 2011 order requiring her to produce the mortgage documentation relating to the property.

[90] On December 17, 2013, Harper J. ordered Shagufta to produce her complete Income Tax Returns for 2010 to 2012, which she has never done. He also made another order directing her to produce all financial documents pertaining to the purchase of the Milton property, including any financing applications for mortgages or other loans to purchase the property and any financial statement and net worth statements that she provided to any lending institution. She has never complied with that order either. Shakeel has continued to request copies of all documentation that Shagufta submitted in support of her mortgage application respecting the Milton property and relating to the mortgage generally since the outset of the current proceedings, but Shagufta has persisted in refusing to disclose this information. The circumstances surrounding the purchase of the Milton property remain shrouded in mystery due to Shagufta's disobedience of these disclosure orders and reasonable requests for relevant disclosure. I draw an adverse inference against Shagufta based on her non-compliance and conclude that she wishes to conceal important information about her financial means which allowed her to obtain the mortgage on the property in her sole name.

[91] Shagufta continued to breach orders respecting financial disclosure during the current proceedings. She did not produce her complete Income Tax Returns for 2019 to 2021, in contravention of the Automatic Order dated October 18, 2022. Her failure to do so also breached section 21(2) of the *Guidelines* and Rule 13 of the *Family Law Rules*. She also breached all of the disclosure terms of Kril J.'s order dated March 27, 2023. Following the settlement conference of that date, she filed a Notice Disputing Approval of Order dated April 5, 2023 ("the Notice") detailing the reasons for her failure to comply with the disclosure order as follows:

1. Respecting proof of efforts to find employment, she noted that she had been involved in two car accidents in the previous 3 years which had "disabled" her ability to work, and that she did not keep records of all applications sent and responses received. However, she did not provide any further details about these car accidents or documentary proof that she had sustained injuries that impacted her ability to work.
2. Regarding proof of all upgrading courses she had taken to improve her employment opportunities and any certificates or other designations obtained, she simply stated that she had spent her entire married life assisting Shakeel, and that there was no reason for her to improve her employment opportunities.
3. As for disclosure respecting CPP retirement benefits, OAS benefits and GIS benefits, she refused to produce this information on the basis that she had just turned 65 years of age and did not intend to retire any time soon, and that this information was in any event irrelevant to the issues in the case.
4. Paragraph 1(d) compelled her to produce copies of all passports used by her in the period from January 1, 2014 to present with copies of all pages. This order was

made in response to Shakeel's argument that Shagufta was choosing to spend significant periods of time every year outside of the country, including Pakistan, rather than focussing on working or upgrading her knowledge and skills. Shagufta claimed that she could not comply with this term because she had lost her passport during a residential move the previous year. This claim was not credible. There is no evidence that she raised this concern during the settlement conference when the order was made, and she testified at trial that she moved in 2021 and 2023, not in 2022.

5. Respecting medical evidence of the reasons for her trip Pakistan for treatment, and the amount she paid for such treatment, she asserted that she was willing to provide medical records to the court but not to Shakeel, as she feared that Shakeel would use it against her, and it was "privileged information that has nothing to do with the current dispute."
6. In fact, Shagufta bluntly stated in this Notice that none of the items of disclosure that had been ordered would assist either party in determining her eligibility to receive spousal support.

[92] Shagufta's resistance to producing critical financial disclosure persisted during the trial before me. In response to her inability to clarify some of the income sources noted in her Notices of Assessment, I specifically requested that she produce and file her complete Income Tax Returns with all supporting documentation for the years 2016 onward. She initially claimed that she could not do so because her brother had them and he was out of the country. Later during the trial, she noted that her brother had returned to Canada, but she nonetheless still failed to adduce the complete Income Tax Returns despite a further request from the court that she do so. Neither Shagufta nor her counsel provided any reasonable explanation for withholding her complete Income Tax Returns with attachments, and I draw an adverse inference that Shagufta declined to produce them because they contained information that was unhelpful to her case.

B. Shagufta's Attitude Regarding Self-Sufficiency and her Allegation of Long-Term Depression Flowing from Shakeel's Alleged Misconduct

[93] Another factor that has informed my decision to impute income to Shagufta is her general resistant attitude towards the notion that she should make reasonable attempts to improve her financial situation. Harper J. clearly indicated in his November 25, 2014 Reasons for Judgment that Shagufta had not made sufficient efforts to earn income, and that any review of spousal support would include consideration of her ongoing support entitlement and efforts to achieve self-sufficiency. Shagufta was therefore put on clear notice that the court expected her to take active steps to attempt to improve her income-earning capacity and overall financial situation. However, her mindset as reflected in the Notice and her evidence during both trials has been that she should not be expected to upgrade her knowledge and skills and attempt to increase her income, based on the role that she assumed during the marriage and the trauma that she alleges she sustained from the events surrounding the parties' separation. She claims that Shakeel's alleged affair with Ms.

Habib, his assault against her, his abandonment of her in the UAE and his abduction of Sabaa to Canada left her mentally depressed and unable to earn meaningful income for years. However, two judges have now accepted Shakeel's version of all these events over Shagufta's. While the events leading up to the separation were certainly traumatic for both parties, it has been determined that they were largely attributable to Shagufta's own behaviour. Moreover, Shagufta has never adduced any medical or other evidence in support of her claim that she suffered long-term depression following the separation. Nor did she adduce any evidence during either trial of having accessed counselling, medical or other assistance to address mental health concerns, any recommendations that may have been made, and her follow-through with any such recommendations. For these Reasons, I give no weight to her claim that her income-earning capacity was impaired due to depression brought on by abusive conduct by Shakeel.

C. Shagufta's Proficiency with the English Language

- [94] In determining Shagufta's income and her capacity to improve her financial situation, I have considered her proficiency with the English language. Shagufta has represented to this court that she struggles with English, which if true could impede her ability to achieve self-sufficiency. She requested that the court provide Urdu translators for all court proceedings, including the trial, and this request was approved at the case conference based on her representations to the court. Shakeel objected throughout the trial to the proposition that Shagufta required translation services, arguing that she has no difficulty whatsoever understanding and speaking the English language.
- [95] Upon considering all the evidence relevant to Shagufta's proficiency with the English language, I find that while Urdu translation may have assisted Shagufta somewhat in advancing her case, she is nonetheless able to understand, write and communicate in the English language very well. Accordingly, I do not have concerns that her income-earning ability has been impaired by any language barriers or challenges. As a starting point, Shakeel adduced as evidence a copy of Shagufta's LinkedIn profile page, on which Shagufta noted that she has a "professional proficiency" in the English language. When Shakeel cross examined her on this statement in her profile, she responded in an angry and resistant tone, stating that people can put whatever they want on such websites without understanding what each word means.
- [96] My conclusions regarding Shagufta's competence and comfort level with the English language are also based on the following findings:
1. She has been living in Canada since she was 16 years of age, completed her high school studies here in English, and completed two English as a Second Language programs throughout the years.
 2. As discussed earlier in these Reasons, she held several jobs after completing her studies, most of which were in retail and required her to communicate with members of the public in English daily. In fact, she eventually obtained a senior retail position with Freeman Formal.

3. She completed the Call Centre diploma through Centennial College in 2003 in the English language, as well as a 3-month course in Excel and a one-month upgrading Call Centre course in English through Sheridan College in 2014. She also completed a two-week security guard course and wrote an examination to qualify as a security guard in 2015 in English, and she testified that she passed the test the first time around. There is no evidence that she struggled in completing the requirements of these programs due to language problems.
4. She represented herself in the original court proceedings up until the last day of evidence in February 2014, for which she retained counsel. She never asked for translation services in that proceeding, even after she retained counsel for the final day of trial. She also represented herself in the current proceedings until shortly before the commencement of trial. Her written materials filed in both proceedings reflect a strong degree of competence in the written language. There is no evidence that she obtained any assistance from third parties in preparing these materials.
5. As I will discuss in further detail below, Shagufta has held several jobs since the parties' separation, including security job positions which required her to communicate with members of the public on a regular basis. There is no evidence that her employers ever had concerns about her ability to understand or communicate in the English language.
6. Finally, although she had interpreters throughout the trial, she often slipped into speaking English rather than Urdu. This caused difficulties for the interpreters, and it was necessary to redirect her several times to choose one language or the other to avoid complications with respect to the translation process.

[97] I turn now to the analysis of Shagufta's overall financial circumstances since 2014. My findings set out below regarding her annual income each year are not inclusive of spousal support that she received from Shakeel.

D. Yearly Analysis of Shagufta's Income and Financial Circumstances Since 2014

2014

[98] Shagufta testified before Harper J. on February 19, 2014 that she had just commenced a job selling herbal products, with a starting salary of \$24,000.00. She advised that she expected her income from this job to increase as she continued in the role. Shagufta's Financial Statement sworn January 31, 2014 indicates that she was earning self-employment income of \$1,271.92 per month, which suggests that the herbal products sales position was an independent contractor arrangement. Based on this information, Harper J. attributed an annual income of \$24,000.00 to her up until March 31, 2014, and \$30,000.00 commencing April 1, 2014.

[99] Shagufta's evidence during the current trial regarding her income earning activities in 2014 was completely contradictory to her testimony in 2014. Her 2014 Notice of Assessment noted only social assistance income of \$2,274.00, which indicates that she was either not

truthful about the herbal sales position at trial or she did not report her income from that source in her Income Tax Return. She failed to report the spousal support that she received from Shakeel in her Income Tax Return, which is another factor relevant to her credibility respecting her income. She claimed that she was unable to find any type of employment or other income sources in 2014, and that she therefore enrolled in upgrading studies at Sheridan College in Brampton. She alleged that she moved from Scarborough to a one-bedroom basement apartment on Crystal View Crescent in 2014 so that she could undertake these studies. However, her evidence regarding this alleged educational programming was also inconsistent. In her examination in chief, she stated that she took one 3-month course in Intermediate Excel skills. However, on cross examination, she claimed that she also enrolled in a one-month program in Customer Service through Sheridan College in 2014. She claimed that she received a certificate of completion respecting these courses, but she did not produce any documentary proof of having completed them despite being ordered to do so on March 27, 2023. Moreover, although Shagufta claimed that she made numerous attempts to find employment in 2014, she did not provide any details or documentary proof of those efforts despite her obligation to do so pursuant to the March 27, 2023 order.

- [100] In short, Shagufta's evidence respecting her income, her income earning activities and her upgrading efforts in 2014 was contradictory and not credible. I conclude that there is no basis to alter Harper J.'s conclusion that she should have earned an annual income of at least \$30,000.00 as of April 2014, and that this imputation is appropriate based on her failure to provide full disclosure of information regarding her financial circumstances, her general lack of credibility about her efforts to improve her economic circumstances and her deliberate unemployment or under-employment.

2015

- [101] Shagufta's line 150 income on her 2015 Income Tax Return was only \$19,749.00. This consisted of employment income totalling \$18,875.00 and social assistance of \$874.00. She again failed to report the spousal support that she received in her Income Tax Return. In addition, she claimed tuition and education amounts transferred from a child totalling \$960.00, but acknowledged at trial that she never paid any tuition or post-secondary expenses for Sabaa or any other child that year. She became indignant and angry when Shakeel sought an explanation for this deduction claim on her tax return.
- [102] Shagufta testified that she began to work for Avex Flight Support in approximately February 2015. She stated that her position involved setting up the cabins of airplanes for flights leaving from Toronto Pearson International Airport to ensure that passenger needs were met. She claimed that she worked for this company from February 2015 until late September 2015. In addition, she relayed that she underwent a two-week training course to become a security guard, completed a lengthy examination and was successful in obtaining her security guard licence in 2015. She indicated that she obtained additional work as a security guard for three weeks during the Pan Am games during the summer of 2015. She testified that in late September 2015, she obtained a full-time position as a security guard with Garda Security ("Garda"), managing the front desk for Air Canada and

attending to employees' needs. She estimated that her income was approximately \$15.00 per hour in that role.

- [103] I was unable to reconcile Shagufta's testimony respecting her 2015 income with the income that she reported in her Income Tax Return. It was not possible to verify her evidence because she declined to produce her complete Income Tax Return with all schedules and attachments. By my calculations, even if she was earning the minimum wage at the time of \$11.40 in 2015 with Avex Flight Services from February until the end of September 2015, she should have been able to earn income of at least \$16,000.00 from that source alone. In addition, based on her evidence, she should have earned an additional amount of approximately \$8,000.00 from Garda from October to December 31, 2015. She earned additional income through her work during the Pan Am games, the specifics of which she did not provide. In addition, it appears that she did not work during the month of January 2015, and she failed to provide a satisfactory explanation for her inability to secure some form of employment during that period. The onus was on her to provide the documentary evidence to support her position regarding her income, and she failed to do so. Based on all of these considerations, I find that an imputation of income to her in the amount of \$30,000.00 remains appropriate for 2015 on the basis of her failure to provide relevant financial disclosure and deliberate under-employment.

2016

- [104] Shagufta's 2016 Notice of Reassessment reflects total line 150 income of \$43,425.00 for that year. This consisted of spousal support of \$18,166.00 and employment income of \$25,259.00. Once again, Shagufta's evidence respecting her income that year was inconsistent and not credible. In her examination in chief, she claimed that she continued to work for Garda until February 2016, but that one of Garda's contracts with Pearson International Airport ended at that point. She testified that she had the option of working fewer hours with Garda or accepting a layoff, and that she chose the layoff option, allegedly to look for new full-time work. Her evidence was inconsistent regarding her hourly wage with Garda in 2016, but when I sought clarification about this issue during my questioning, she stated she was earning \$16.65 an hour. She also relayed that she worked approximately one day of overtime each month for which she earned \$24.97 an hour. She stated that she secured another job with APS Security working at Pearson International Airport after her layoff from Garda, but that there was a two-month delay in commencing this position. She asserted that due to this delay, she decided to take a trip to Pakistan and the UAE. On cross examination, Shagufta stated that she was not in fact laid off by Garda in 2016.
- [105] Shagufta's evidence about the reasons for leaving Garda and the two-month delay before going to work with APS was vague and not credible in the least. Even if I accept her claim during her examination in chief that Garda lost a contract at the airport and could only offer her part-time work after February 2016, she did not explain why she did not accept that part-time work while she looked for alternative employment rather than accepting the alleged layoff. In any event, as I have noted, she denied that she had been laid off when she was cross examined on this issue. Regarding the two-month delay before commencing her position with APS, she made vague and unconvincing references to "documents having

to be changed” and a new card having to be issued to her for the airport. She mentioned that she had to go to the UAE to obtain documentation from Sabaa’s former school, but she provided no further explanation. Shagufta had an obligation to show that she maximized her reasonable income earning potential, and based on her own evidence, this obligation would entail providing proof that she was in fact laid off from Garda, the reasons for the delays in resuming work with APS Security, when precisely she began to work for APS Security and details regarding her wage and hours of work with that company. She failed to adduce any of this highly pertinent evidence. As I have indicated, she did not even produce her complete Income Tax Returns with all required schedules, income slips and other attachments, which would have provided some assistance to the court in making some sense of her income earning activities in 2016.

- [106] Shakeel testified that Shagufta missed parenting time with Sabaa for extended periods of time each year because she travelled to Pakistan to visit with family. Based on all of the evidence, I find that Shagufta decided to leave her employment with Garda in or around late February 2016 so that she could take an extended trip to Pakistan and the UAE, and that she assumed a new position with APS Security after her return from this trip. Her failure to comply with the March 27, 2023 order requiring her to produce copies of her passport pages reinforces this conclusion. For all these reasons, it is appropriate to impute income to her based on her failure to provide pertinent information regarding her income, deliberate under-employment and her overall lack of credibility about her income earning activities. Based on her evidence that she earned \$16.65 per hour with Garda in a full-time position during the early part of 2016, and that she worked on average one day of overtime per month at a wage of \$24.97 per hours, I find that she should have earned at least \$37,000.00 in 2016 and I impute this amount to her for that year.

2017

- [107] Shagufta’s 2017 Notice of Reassessment reflects total line 150 income of only \$16,359.00 for 2017. This consisted of employment income of \$13,054.00 and Workers Safety Insurance Board (“WSIB”) benefits of \$3,305.00. Once again, Shagufta failed to report the spousal support that she received from Shakeel in her Income Tax Return, which she should have known she had to declare as it had been included in her 2016 Notice of Reassessment.
- [108] Shagufta’s evidence respecting her 2017 income was confusing and inconsistent, and it did not correspond at all with the information contained in her Notice of Reassessment. In her examination in chief, she stated that she worked for APS Security at Pearson International Airport for the entire year, that this was a full-time job and that she believed her wage was \$15.00 an hour. In her cross examination, she presented as confused between her income earning activities in 2016 and 2017. With respect to the WSIB benefits, she testified that she had a work-related accident during one of her shifts with APS Security which caused an injury to her leg, and that she was therefore off work for a period of time. She did not provide any documentary evidence respecting this alleged injury and how long she was off work. As I have indicated, she refused to produce her complete Income Tax Return with all required attachments for 2017, which would have shed some light on her income earning

activities. Based on the serious deficiencies in her disclosure and the inconsistencies in her evidence, I draw an adverse inference and conclude that she was deliberately under-employed in 2017 and should have been able to earn income commensurate with the income of \$37,000.00 that I imputed to her for 2016. This imputation takes into consideration that the WSIB benefits which she received were non-taxable and would therefore be subject to a gross-up for the purposes of determining her *Guidelines* income.

2018

- [109] Shagufta reported total income of only \$15,846.00 in her 2018 Income Tax Return, consisting of employment income of \$11,365.00 and employment insurance benefits of \$4,481.00. Once again, she did not include the spousal support that she received from Shakeel. She also claimed a deduction of \$162.00 on account of union dues.
- [110] Again, Shagufta's testimony about her 2018 income was completely irreconcilable with her income tax reporting. She claimed that she continued to work full-time with APS Security until sometime in February 2018, but that her contract with that company ended so she applied again for a job with Garda. In her examination in chief, she was certain that she rejoined Garda in late March 2018, working on a full-time basis. She indicated that she obtained a security guard position working at the front desk of the Air Canada main office, where she also carried out customer service duties. She was again completely inconsistent about her hourly wage in 2018, but she was confident in saying during my questioning that her wage with Garda increased in 2018 to \$17.30 an hour, and \$25.95 an hour for overtime. On cross examination, she was questioned on the fact that her recent pay statements from 2023 indicated that she resumed working with Garda on April 23, 2018. At that point, she backtracked and suggested that she initially worked fewer than 40 hours a week and then began to take on full-time hours. Even if I were to accept that she worked only 35 hours a week from April to December 2018, this would translate into employment income from Garda of at least \$21,798.00, without any overtime. This does not include the income that she would have earned from APS Security in January and February. Clearly, this evidence is completely incompatible with the employment income that she reported in her Income Tax Return. Furthermore, despite the poverty level income that she reported, she claimed a tax deduction in her Income Tax Return for charitable contributions totalling \$501.00.
- [111] It was impossible to obtain a true picture of Shagufta's income and overall financial situation in 2018 due to her inadequate financial disclosure, the major discrepancies between her evidence about her income and her income tax reporting and the overall concerns about her credibility. Based on her income tax reporting, it appears that she was out of the work force for an extended period in 2018. Again, this corresponds with Shakeel's evidence that she typically visited Pakistan for several months every year and did not see Sabaa during those periods. This evidence coupled with her failure to produce copies of the pages in her passports leads me to conclude on a balance of probabilities that she left the country for an extended period of time again in 2018. For all of these reasons, I am imputing income to her for 2018 on the basis of deliberate under-employment, general lack of credibility and failure to disclose pertinent financial information. Relying on her

evidence that her wage with Garda increased to \$17.30 an hour, and \$25.95 overtime, and assuming that she could have worked full time as well as one overtime shift a month, this would have generated an annual income of approximately \$38,475.00.

- [112] Shagufta turned 60 years of age on January 29, 2018, and I find based on documentary evidence that Shakeel adduced at trial from the government of Canada website that she would have been eligible to begin receiving CPP benefits as of that time, even if she was still working. She would have also been eligible to collect OAS and GIS benefits as of January 29, 2023 when she turned 65 years of age. Shakeel argued that additional income should be imputed to her on the basis that she should have elected to start receiving these benefits as early as possible. At trial, Shagufta initially claimed that she did not know what CPP, OAS and GIS benefits referred to, which was not credible at all given that the issue of these benefits had been specifically discussed during the settlement conference on March 27, 2023. She acknowledged at trial that she had not applied for these benefits and had not submitted a request to the government for information about her entitlements.
- [113] I do not condone Shagufta's failure to comply with the March 27, 2023 order requiring her to submit a request about the amount of her CPP, OAS and GIS entitlements and to disclose the relevant information to Shakeel. On the other hand, however, I find that Shakeel had the onus of proving that income should be imputed to her on the basis that she should have begun collecting these benefits as early as possible, and that he did not provide full and accurate information to the court to allow for a fair determination of this issue. In *Jasiobedzki v. Jasiobedzka*, 2023 ONCA 482, the Ontario Court of Appeal noted that the amounts for CPP and OAS benefits increase if the commencement date is delayed until the age of 70. It also upheld the trial judge's decision not to impute income to the spousal support recipient wife based on her failure to claim the benefits earlier at a reduced amount. Having regard for Shagufta's age of 53 at the time of the parties' separation in 2011, her lack of income at that time, the limited number of years she has had since then to work towards self-sufficiency and plan for retirement and the fact that she intends to work for several more years, I conclude that it is reasonable for her to delay claiming these benefits so as to maximize the amounts that she receives. I therefore decline to impute income to her based on her failure to claim these benefits as soon as she became entitled to do so.
- [114] Based on the foregoing, I conclude that the sum of \$38,475.00 is a reasonable amount of income to impute to Shagufta for 2018. After deducting union dues of \$162.00, her Guidelines income would be \$38,313.00.

2019

- [115] Shagufta reported total line 150 income of \$29,588.00 in 2019, consisting of employment income of \$17,498.00, employment insurance and other benefits of \$4,698.00 and spousal support totalling \$7,392.00. The spousal support amount that she reported should have been \$10,632.00, but she reduced it by the set-off amount that she owed Shakeel for child support. Without spousal support, her total reported income was only \$22,196.00. Shagufta also claimed a deduction of \$283.00 for union dues.

- [116] Shagufta testified that she worked for Garda for the entire year in 2019, on a full-time basis for 40 hours a week. She had no recollection of why she received employment insurance benefits that year. When she was cross examined on this issue, she took a lengthy pause and suggested that she may have fractured her wrist and been off work for 4 or 5 months. Later in her cross examination, she suddenly became positive that she had fallen in the snow and fractured her wrist, resulting in her being off work for 5 months. Her evidence on this issue was not credible at all. She was resistant to answering the questions put to her, and only mentioned the alleged fracture to her wrist when she found herself in a corner on cross examination about the inconsistency between her evidence about her work activities and the low income that she had reported for tax purposes. She discussed the reasons for her alleged inability to increase her income in her Notice but did not mention having sustained a wrist fracture. Furthermore, she did not adduce any evidence in support of this alleged injury. Her evidence about her hourly wage with Garda in 2019 was not credible either. She claimed that she earned a much lower hourly wage than she had earned in 2018, but she could not recall the amount and did not provide any credible evidence explaining the reasons for the alleged decrease.
- [117] Shagufta's evidence about her housing situation in 2019 was also inconsistent and not credible. At one point in her testimony, she claimed that she moved from her apartment on Crystal View Crescent in Brampton to another apartment in Brampton because the rent at the Crystal View Crescent location was too high for her to afford. However, at a different point in her evidence she stated that she left the Crystal View Crescent apartment because the landlord was selling the house and gave her notice to vacate. Furthermore, her evidence was that the rent at Crystal View Crescent was \$800.00 per month when she left, whereas the rent at the new apartment was \$1,200.00 a month, which represented a \$400.00 a month increase rather than a decrease.
- [118] I find that Shagufta was once again out of the workforce for several months in 2019, and that she failed to adduce evidence providing a reasonable explanation for this. Upon weighing all the evidence respecting her 2019 income, I conclude that it is appropriate to impute income to her for 2019 based on inadequate financial disclosure, lack of credibility about her income earning activities and how much she worked and deliberate under-employment. I find that she could have reasonably earned \$38,475.00 again, making \$17.30 an hour on a full-time basis and one overtime shift per month, and I conclude that this is a reasonable amount to impute to her. After deducting her union dues of \$283.00, her *Guidelines* income would be \$38,192.00.

2020

- [119] Shagufta reported total line 150 income of \$29,901.00 in 2020. This consisted of employment income of only \$5,509.00, employment insurance and other benefits (line 119) of \$13,000.00, spousal support of \$7,392.00 and other income (line 130) of \$4,000.00. Again, she should have reported the full spousal support payable to her of \$10,632.00, but she deducted the set-off child support amount payable by her to Shakeel. Without spousal support, her total income reported in 2020 was only \$22,509.00.

[120] Shagufta's disclosure respecting her income and overall financial circumstances in 2020 both prior to and during the trial was seriously deficient. In addition, her statements about these matters were contradictory and created a cloud of confusion. The difficulties regarding her overall evidence about these issues included the following:

1. As I have already noted, she refused to produce her complete Income Tax Return with all income slips, schedules and other required attachments for this year, which would have assisted the court in piecing together an accurate picture of her income sources.
2. Moreover, the Notice of Assessment that she produced was incomplete. It included only information about her income sources. The inputs for the remaining items, including her deductions and net income, taxable income, refund or balance owing, federal tax and tax credits, schedules, donations and gifts and Ontario tax were all collapsed before printing the document for production purposes.
3. She was not forthcoming at all throughout these proceedings about the reasons for her reduced employment income starting in 2020 and the sources of her income. A true picture of her income sources in 2020 and 2021 only emerged after extensive cross examination, which her counsel tried many times without success to curtail.
4. In her Schedule "A" to her Response to Motion to Change dated December 8, 2022 and her Notice regarding the March 27, 2023 disclosure order, she claimed that her inability to increase her income since 2020 had been attributable to two major car accidents that she had been involved in. However, during her examination in chief, she only referenced one major car accident in recent years, which she stated had occurred on February 6, 2020, and she acknowledged on cross examination that the references to two recent major car accidents in her Schedule "A" and her Notice were "maybe a mistake."
5. She did not adduce any documentary evidence confirming that the alleged February 2020 accident had occurred or the nature of the accident, despite her claim that there was an accident report and that there was a court case relating to the incident. She referred to a finding in that court proceeding that the accident was weather-related and not attributable to negligence on her part, but she did not provide a copy of that court decision.
6. She claimed during her examination in chief that following her accident in February 2020, she was initially off work for six months so that she could undergo medical treatment and physiotherapy. She stated that she then began to experience heart problems and "other health issues" and had to undergo heart surgery. However, she did not reference any heart or other health issues when discussing her inability to earn or increase her income in her Response to Motion to Change, her Schedule "A" to that document or her Notice. On cross examination, she acknowledged that her heart procedure consisted of having a stent inserted and that she was only in hospital for two days for that treatment.

7. She did not produce any documentary evidence whatsoever respecting the injuries she claimed she sustained because of the car accident, the treatment and therapy that she supposedly received, her heart and other alleged health issues or her compliance with any treatment recommendations by the deadline for producing proposed trial exhibits or by the commencement of trial. Furthermore, she did not serve a Notice of Intention to Adduce Practitioners' Reports. Her counsel attempted to adduce a medical record regarding her heart procedure as evidence during her examination in chief, but he had not even produced the record to Shakeel that day so I did not allow the evidence to be admitted at that late stage.
8. She claimed that the \$5,509.00 in employment income that she reported in her Income Tax Return related solely to her work with Garda for the five-week period from January 1st to February 6th, 2020. This would translate into a weekly salary of \$1,101.80, or \$27.54 an hour. However, at a different point in her testimony, she claimed that her hourly wage with Garda was only \$17.30 an hour from 2018 until 2024. Accordingly, she either received a significant salary raise from Garda in 2020 that she failed to disclose, or she had another source of income in 2020 that she failed to disclose.
9. She claimed that she could not work again until the fall of 2021 due to her injuries from the car accident, her heart issues and other undisclosed health problems, and that she was then off work for several more months until August 2022 because of dental treatment, which I discuss in further detail below. However, this evidence regarding her situation from February 2020 until the fall of 2021 did not correspond with her other statements that she was only off work for six months following the car accident and was only hospitalized for two days for her heart procedure.
10. In her Schedule "A" to her Response to Motion to Change, she stated that her sole source of income after her two alleged car accidents had been "unemployment insurance and funds from the government," whereas in her Notice, she claimed that she received "disability payments" from the government. At other points in her testimony, she talked about having received "sick benefits." It was only after extensive cross examination that she acknowledged having also received bi-weekly income replacement payments of \$800.00 from her car insurance provider after her car accident in February 2020, which continued until early October 2021.
11. She could not recall having received any employment insurance benefits in 2020, even though her Notice of Assessment reflected employment insurance and other benefits totalling \$13,000.00. When she was questioned about this, she stated that she believed this was the amount of her car insurance payments, but those would not have been taxable.
12. With respect to the sum of \$4,000.00 noted as "other income" at line 130 in her Notice of Assessment, she could not confirm what that related to. She testified that she had received CERB benefits of \$2,000.00 per month for six months in 2020, which should have been included in line 130, but her evidence did not correspond

with the sum of \$4,000.00 reported at that line item. Moreover, if she did in fact receive CERB benefits, this was difficult to reconcile with her evidence that she was off work and receiving income replacement benefits in 2020 due to her injuries and illness.

13. She did not produce any documentary evidence confirming any sick leave that she took from work from 2020 onward, the amount of any car insurance income replacement benefits that she received or the length of time that she received any such payments.
14. On cross examination, she also disclosed that she had received another global settlement amount from the car insurance company in relation to the February 2020 car accident sometime in late 2022 or early 2023. When asked about the amount of the settlement, she presented as resistant to answering, paused for a long time, and finally claimed that it was in the range of approximately \$20,500.00. She never produced any documentary evidence respecting the amount of that settlement or the breakdown of the amounts that she was allegedly awarded, including whether any of the settlement was on account of income replacement. Given the serious concerns regarding her overall credibility, and her particularly evasive attitude and misleading evidence about her income from 2020 onward, I cannot accept her evidence about the amount of the lump sum insurance payout as being credible and trustworthy.

[121] In summary, the information that Shagufta provided about her 2020 income presented as a tangled web that required considerable time to unravel and decipher. Her failure to provide clear and fulsome evidence about this issue has led me to impute income to her based on her failure to provide pertinent financial disclosure. I find that her 2020 income for support purposes was \$47,383.00, which I conclude is a very conservative assessment of her true income. In reaching this conclusion, I am giving her the benefit of the doubt that she did in fact sustain a car accident and require a stent procedure for heart issues in 2020, despite the lack of documentary evidence confirming these events. My finding is based on the following:

1. She received employment income of \$5,509.00 from Garda and possibly from other undisclosed sources.
2. She received employment insurance sick benefits or other types of benefits that she could not recall in the amount of \$13,000.00.
3. She also received non-taxable income replacement benefits from her car insurance provider in the amount of \$800.00 on a bi-weekly basis following her accident. In the absence of evidence as to when those benefits commenced, I draw an adverse inference against Shagufta and conclude that her eligibility for these benefits would have commenced the week immediately following her accident, which would have resulted in her receiving 24 payments in 2020, totalling \$19,200.00.

4. She received other income of \$4,000.00, which she stated she could not explain. However, this is where CERB benefits should have been reported, so in the absence of clarification from Shagufta I conclude that this sum represents CERB benefits that she claimed in 2020. As I have indicated, she testified that she received CERB benefits of \$2,000.00 per month for six months in 2020, which suggests that she may not have reported the full amount of her benefits in her Income Tax Return. I note that she did not produce a Notice of Reassessment.
5. When the gross-up is applied in relation to the non-taxable income replacement benefits from her insurance provider, this yields a total income for support purposes of \$47,383.00.

2021

- [122] Shagufta claimed total line 150 income of \$20,631.00 for 2021. This sum comprised employment income of \$499.00, employment insurance and other benefits of \$9,500.00 and finally, the correct amount of spousal support that she received from Shakeel of \$10,632.00. Without spousal support, her total reported income was only \$9,999.00. She claimed a deduction for union dues of \$12.00.
- [123] As with other years, Shagufta's disclosure and evidence regarding her 2021 income was completely deficient, confusing and contradictory. She did not elaborate upon her income information in her examination in chief, apart from stating that she could not work for the entire year due to the injuries from her car accident and her heart and other health-related issues. As one glaring example of the inconsistency in her evidence, she claimed at one point during her examination in chief that she received treatment and physiotherapy for six months following the alleged accident in February 2020, whereas on cross examination, she alleged that this treatment and physiotherapy continued throughout 2021. She could not recall the source of the employment income of \$499.00 that she reported in her Income Tax Return or the employment insurance benefits of \$9,500.00. Again, she declined to produce her complete Income Tax Return with all income slips, schedules and other required attachments. On cross examination, she acknowledged having received non-taxable income replacements benefits in the amount of \$800.00 bi-weekly until the end of October 2021. In the absence of any evidence from Shagufta as to the precise amount that she received from this source in 2021, I estimate that she received 23 payments of \$800.00, for a total of \$18,400.00, which must be grossed up because it was non-taxable in her hands.
- [124] Shagufta did not touch upon her income earning efforts from October to December 2021 during her examination in chief. It was only through Shakeel's cross examination of her that I was able to obtain some understanding of her activities during that time. She claimed under cross examination that when her income replacement benefits ended in October 2021, she decided to go to Pakistan from October until March 2022, to obtain four dental implants. She alleged that the cost of obtaining this dental treatment in Ontario was prohibitive, and that the procedure was much less expensive in Pakistan. She also claimed

that the process required several stages, that complications arose due to an infection in her teeth, and that these complications resulted in her having to prolong her stay in Pakistan.

- [125] Shagufta's evidence regarding the reasons for her trip to Pakistan was not credible at all. As I have noted, she breached the term of the March 27, 2023 order requiring her to produce all medical documentation regarding any health issues that required her to go to Pakistan for treatment, and the cost of all such treatment. She did not adduce any documentary proof at trial regarding the estimate that she claimed to have obtained in Ontario for this alleged treatment, the amount that she supposedly paid in Pakistan, the details of the treatment that she states she received or the alleged complications that she asserted required a longer stay in Pakistan. Moreover, her evidence did not support her claim that the cost of having the treatment done in Canada was more expensive than having it done in Pakistan. She stated that she obtained an estimate of \$12,000.00 to have the procedures carried out in Ontario, and she acknowledged that her benefits through Garda would have covered 80% of the cost. The amount payable by her in Ontario would therefore have been in the range of approximately \$2,400.00. However, she acknowledged on cross examination that her total expenses from having the procedure done in Pakistan, including airfare, totalled between \$3,000.00 and \$3,500.00. Furthermore, I find that she left her apartment in Brampton just before she departed for Pakistan and placed all of her belongings in storage, which supports a finding that she had planned an extended trip well in advance of leaving for Pakistan. For these reasons, I draw a negative inference against Shagufta and conclude that she actually went to Pakistan from October 2021 until March 2022 for an extended visit with her family.
- [126] Although Shagufta claimed that she did not engage in any income earning activities in 2021, her LinkedIn profile notes her occupation directly under her profile name as being an "independent computer hardware professional." Shagufta acknowledged on cross examination that the photograph of her on her profile page was a recent one, indicating that her profile was up to date. When Shakeel questioned her about her listed vocation, she paused for a very long time and presented as extremely uncomfortable. She finally denied having worked as an independent computer hardware professional in recent years and claimed that this reference on her profile page related to work that she had done with Shakeel over 30 years ago. Shagufta's evidence on this issue was not believable. She could not provide a reasonable explanation for why she had updated her photograph without updating her primary occupation description. When she was pressed on the issue, she responded angrily stating once again that she was entitled to write whatever she wished on this type of social media app. For all of these reasons, I again draw an adverse inference against Shagufta and I find that she supplemented her income starting in at least 2021 with some form of self-employment activity.
- [127] Based on the foregoing, it is appropriate to impute income to Shagufta for 2021 on the grounds of either undeclared self-employment income, or alternatively deliberate unemployment for at least the months of November and December 2021. Relying on her evidence during my questioning of her that her wage with Garda was \$17.30 an hour commencing in 2018, and that there were 9 weeks from November 1, 2021 until December 31, 2021, I determine that she could reasonably have earned a regular wage of at least

\$6,228.00 during those two months. In addition, she could have reasonably earned overtime wages in the amount of \$415.20, which represents one overtime shift per month in November and December 2021 being paid 1.5 times the regular wage.

[128] Based on the foregoing, and again giving Shagufta the benefit of the doubt regarding her alleged inability to work until October 2021 due to injuries from a car accident and heart issues, I find that Shagufta's 2021 income was approximately \$40,551.00, calculated as follows:

1. Employment income of \$499.00 from either Garda or another undisclosed source;
2. Income replacement benefits from her car insurance provider estimated to be in the amount of \$18,400.00, which must be grossed up on account of their non-taxable status. This sum is based also on imputation of income due to Shagufta's failure to disclose the actual amount of the benefits that she received;
3. Employment insurance or other taxable benefits of an undisclosed source totalling \$9,500.00;
4. Imputed income of \$6,643.00 on account of deliberate unemployment or undeclared self-employment income; and
5. A deduction of \$12.00 for union dues.

2022

[129] Shagufta reported total line 150 income of \$21,629.00 in her Income Tax Return for 2022. This consisted of employment income of only \$10,997.00 and spousal support received from Shakeel of \$10,632.00. She did not offer any helpful insight into her income earning activities in 2022 during her examination in chief apart from stating that she could not work until March 2022. On cross examination, she stated that she lived with her sister for a period upon her return from Pakistan in March 2022, and that she moved into a new apartment on Peach Drive in Brampton a few months later. She also testified that she could not return to work for several months upon her return to Canada due to her ongoing health issues, which she claimed included mental health difficulties, and various medical appointments. At a later point during cross examination, she stated that she underwent several medical tests at the request of her vehicle insurance provider to determine whether she was entitled to any further benefits as a result of her accident, and that she later received the global settlement of \$20,500.00 based in part on those tests. However, she did not provide any specifics regarding her alleged ongoing health issues or any medical documentation to support these claims. She testified that she resumed working for Garda sometime in July 2022. However, this evidence was inconsistent with information in her pay statements from Garda that were attached to her Financial Statements sworn October 10, 2022 and September 29, 2023, which reflected an "employment date" of April 23, 2018 and a "re-employment date" of September 15, 2022. Shagufta was unable to provide a reasonable explanation for this discrepancy, apart from suggesting that she initially worked on a part-time basis only. A comparison of the amount of her deduction for union dues on

her pay statement for the period ending October 1, 2022 and the total amount that she claimed as a deduction for these dues for tax purposes in 2022 confirms that she only worked for approximately 10 weeks for Garda in 2022. In addition, her pay statement from Garda for the period ending October 1, 2022 indicates that her address at that time was 57 Vanderbrink Drive. Having considered and weighed all of the evidence, I conclude that Shagufta likely stayed in Pakistan much longer than she claimed, that she did not start working for Garda again until September 15, 2022 and that she was still living with her sister or with another unidentified person at that time.

- [130] Shagufta was unable to state with certainty her wage when she resumed working with Garda in 2022. As I have noted, she advised during my questioning of her that she earned \$17.30 an hour as of 2018. Her pay statement for the pay period ending October 1, 2022 indicates an hourly wage of only \$15.77 an hour, and her pay statements from 2023 which were attached to her September 28, 2023 Financial Statement reflect a regular wage of \$17.16 an hour, suggesting that her wage actually decreased upon her becoming re-employed. She testified on cross examination that when she returned to Garda in 2022, she worked the night shift at the Air Canada office. She acknowledged that she did not make any efforts to search for more lucrative employment in 2022, claiming that there was no reason for her to do so since she had been consistently employed by Garda since 2018 but on an “extended sick leave from work” since February 2020. Again, this was inconsistent with the notation on her 2023 pay statements attached to her October 10, 2022 and September 29, 2023 Financial Statements indicating that she had become re-employed on September 15, 2022. Having carefully considered all of the evidence and based on my serious concerns about Shagufta’s general credibility, I conclude that she decided to leave her position at Garda at some point following the February 2020 accident, and that she only took steps to become re-employed sometime in August 2022 after receiving correspondence from Shakeel’s former counsel on March 30, 2022 and July 26, 2022 indicating that Shakeel was seeking a termination of spousal support.
- [131] I conclude that Shagufta was deliberately unemployed from January 1, 2022 until September 9, 2022, and that she was deliberately under-employed from that point until the end of that year. Once again giving her the benefit of the doubt regarding her alleged car accident injuries and heart difficulties, she should have been actively searching for the most lucrative employment opportunities suitable to her background by October 2021 at the latest. Even if I accept that she required dental implant treatments commencing in the fall of 2021, I find that she could have obtained those in Ontario while also working, with any necessary periods off to undergo the procedures. Based on materials that Shakeel adduced into evidence at trial, I find that there were several types of positions that Shagufta could have pursued at Garda over the years which paid more than the positions that she held. Shagufta indicated that she worked the night shift, and I find that there are night shift security guard level 1 positions available at Garda which pay \$19.00 an hour. This position includes a Customer Service component, which Shagufta would have been well qualified for based on her education in this area, her extensive historical retail experience and her Customer Service work at the Air Canada Office at Pearson International Airport from 2018 until February 2020. Shagufta did not provide any reasonable explanation for her failure to pursue more lucrative opportunities in her areas of experience of retail, Customer

Service and security. Accordingly, I find that she could have reasonably earned at least \$19.00 an hour as a full-time night shift security guard at Garda as of 2022. If she worked a reasonable amount of overtime of only 1 shift per month, this would result in an annual wage of \$42,256.00. Shagufta testified that overtime was no longer readily available after the COVID-19 pandemic struck, because Garda hired temporary staff after that point. However, she did not provide any documentary proof in support of this assertion, and I do not give it any weight based on her overall lack of credibility respecting her income. After deducting the amount of \$125.00 which Shagufta claimed for union dues from the sum of \$42,256.00, this yields an income of \$42,131.00 for 2022.

- [132] Alternatively, I find that income should be imputed to Shagufta on the ground that she likely earned income that she did not report in 2022 through self-employment as a computer hardware professional. In this regard, I highlight that there is a significant discrepancy between Shagufta's evidence regarding her income in 2022 and her income earning activities in 2021 and 2022 on the one hand, and the amount of debt that she disclosed in her October 10, 2022 Financial Statement. Although she claimed that she did not work at all from October 2021 until sometime in the summer of 2022, she reported total debt of only \$3,000.00 as of mid October 2022. There is no evidence that she had any savings to draw from to support herself during this time period, and I am not satisfied that she would have been able to save sufficient funds to support herself prior to that time based on her reports regarding her income.
- [133] With respect to Shagufta's general financial circumstances in 2022, she swore in her Financial Statement dated October 10, 2022 that her expenses on an annualized basis at that point totalled \$37,968.000, including all required deductions from her pay from Garda. Based on this information, and assuming that she could have earned at least \$42,131.00 that year, she would have had an annual surplus in the range of \$4,163.00 had she pursued more lucrative employment opportunities.

2023

- [134] Shagufta testified that she worked full-time for Garda throughout 2023. Her T4 from Garda indicates that she earned \$37,216.38. Her pay statements for the period from July 9, 2023 until August 19, 2023 reflect that her hourly wage was \$17.16 as of that time. For the reasons set out above, I conclude that Shagufta should have reasonably earned an income of at least \$42,256.00 in 2023, working as a full-time night shift security guard for Garda. I have therefore imputed additional income to her of \$5,040.00 on account of deliberate under-employment. Her T4 from Garda shows that she paid union dues of \$564.00 in 2023, which when deducted from her gross income would yield an annual income of \$41,692.00.
- [135] In the alternative, it would be appropriate to impute an additional amount of \$5,040.00 to Shagufta's income on the ground of additional undisclosed income and failure to provide full financial information. In this regard, I note that she reported annual expenses, including deductions from her pay, of \$49,839.60 in her Financial Statement sworn September 29, 2023, which would have resulted in an annual deficit of \$12,623.22 based

on her reported annual income from Garda. However, she still reported a credit card debt of only \$3,000.00. The other debts which she reported were a Canada Revenue Agency debt of \$2,890.00 and a *Highway Traffic Act* fine of \$3,200.00, which were exceptional in nature and not relevant to the analysis of her regular cash flow and living expenses. The overall picture regarding Shagufta's financial situation suggests that she either inflated her regular expenses or was receiving income from another undisclosed source. Furthermore, Shagufta's evidence about the vehicle that she currently uses was confusing and not credible. In her Financial Statement sworn September 29, 2023 she indicated that she owned a 2012 Hyundai Accent. However, on cross examination, she acknowledged that she was currently driving a 2016 Toyota Corolla. At first, she talked about the ownership of her vehicle having been transferred to the Toyota Corolla, because the Accent had been damaged in an accident. However, upon further questioning, she then backtracked and suggested that the Corolla belonged to her brother, but that her insurance had been transferred to that vehicle. She paused at length when Shakeel asked for clarification as to who owned the Corolla, and before stating that her brother was the owner.

- [136] In addressing Shagufta's 2023 income, it is necessary to consider her evidence that she received a global settlement of approximately \$20,500.00 in either late 2022 or early 2023. As I have indicated, she did not provide any documentary proof respecting the amount of this settlement or the breakdown of damages, including whether any of this alleged amount included income replacement benefits. However, her evidence about having undergone medical testing at the request of the insurance provider in 2022 and this testing leading to a global settlement suggests that the settlement included a loss of income component. In the absence of evidence from Shagufta to clarify this issue, I draw an adverse inference against her that the settlement was largely on account of income replacement. I have chosen not to include any of this non-taxable lump sum amount in the calculation of Shagufta's income for 2022 or 2023, but rather to consider it as a factor in my decision to terminate the payment of spousal support to her as of April 30, 2026.

Expectations Respecting Shagufta's Income from 2024 Onward

- [137] Shagufta has continued to work for Garda on a full-time basis in 2024. She testified that she received a pay increase to \$18.00 an hour as of January 2024, which demonstrates that she had the capacity to increase her income if she had consistently applied herself with Garda. For the reasons set out above in relation to her 2023 income, I conclude that it is reasonable to impute an annual income of at least \$42,256.00 to her for 2024. After deducting annual union dues estimated at \$564.00 based on the dues she paid in 2023, this yields an income of \$41,692.00 for 2024.
- [138] I highlight at this point that my findings respecting Shagufta's income since 2014 are very conservative. I find that there were some exceptional circumstances in recent years which impacted her ability to increase her income. However, she has indicated that she intends to continue working for the foreseeable future, and it is the court's expectation that she should take all reasonable steps to try to increase her income moving forward. To this end, the evidence adduced at trial regarding employment positions available with Garda indicates that the company offers numerous opportunities for advancement both on the

frontlines in various sectors and at the corporate headquarters. There are positions related to airport security and screening that pay up to \$25.37 hour. The expectation is that Shagufta should work towards obtaining this type of position over the next two years, with the result that she should be able to earn an income in the range of \$55,000.00 by 2026, including a modest amount of overtime. As I discuss in further detail below, if she has not achieved this income level by that point, it is reasonable to expect her to lower her standard of living so that she can live within her own financial means without relying any further on Shakeel for support.

III. SHAKEEL'S INCOME AND FINANCIAL CIRCUMSTANCES SINCE 2011

- [139] As I have indicated, Shagufta seeks a retroactive increase in spousal support commencing as of January 2016. However, as I discuss in further detail below, Shakeel's income history and overall financial circumstances from the date of separation onward are relevant to the spousal support analysis, including the questions of the parties' standard of living at the time of separation and whether post-separation increases in Shakeel's income should be factored into the spousal support analysis. Accordingly, my analysis of Shakeel's income begins from the year of separation.

2011-2012

- [140] I find that Shakeel had difficulty securing well paid and stable employment upon his return to Canada in January 2011 due to the criminal child abduction investigation against him, the numerous court appearances associated with the original Family Law application, the emotional fallout from the events leading to the separation and the fact that his experience and connections in the UAE were not considered relevant in the Canadian business setting. With respect to the latter point, Shakeel explained that his positions in the UAE involved purchasing hardware and software, whereas his role with the TD Bank entails managing contracts and relationships with vendors. He testified, and I accept, that the position at the TD Bank requires a very different knowledge base and skill set than those which he needed for his positions in the UAE. Shakeel eventually obtained a much lower paying job at an insurance company, and he only earned \$32,693.00 in 2011. In 2012, he obtained a better paying position with D & H as an Information Technology Sourcing Manager. He was working at D & H at the time of the original trial and he remained in this role until 2015. His 2012 income was \$80,381.00. He and Sabaa continued to reside with his parents in Hamilton throughout the original court proceedings.

2013-2014

- [141] As I have noted, Harper J. found in his Reasons for Judgment dated November 25, 2014 that Shakeel's 2013 income was \$80,000.00, and he based his spousal support award for the year 2013 on that amount. However, Shakeel's final line 150 income that year was in fact only \$69,435.00. His Financial Statement sworn September 3, 2013 indicates that he and Sabaa were still residing with his parents at the time, that he did not have any significant assets, and that he had personal debts totalling \$37,000.00, which included credit card debts, a loan from his parents for legal fees, a bank loan taken out in the UAE

and income taxes owed to Canada Revenue Agency. At that time, his parents were contributing \$1,500.00 per month towards household expenses. Even with their contribution, Shakeel reported a projected annual deficit of approximately \$12,000.00.

[142] Shakeel's income increased to \$79,898.00 in 2014.

2015

[143] Shakeel lost his job with D & H in 2015 as part of a massive layoff of staff following the sale of the business to an American company. He searched diligently for new employment but could only secure a much lower paying contract position with Cogeco. As a result of these events, his total 2015 income was only \$23,758.00.

2016

[144] Shakeel began to work for the Toronto Dominion Bank on a contract basis as a Software and Hardware Vendor Manager in 2016. His total line 150 income in 2016 was \$102,049.00. The bulk of his responsibilities relate to Toronto Dominion Securities data centres, which are located around the world. His role includes reviewing and negotiating software and hardware contracts for the bank, communicating and maintaining relations with vendors and undertaking regular research in the field to ensure that the bank deals with the best vendors and products available on the market.

2017

[145] Shakeel's position with the Toronto Dominion Bank became permanent in 2017. His total line 150 income that year was \$109,614.00.

[146] As I noted earlier in these Reasons for Judgment, Shakeel married Ms. Habib in 2017. In or around that time, Shakeel purchased a modest 3-bedroom bungalow located at 88 Forest Hill Crescent in Hamilton, where he and Ms. Habib, his parents, Sabaa and his other children have since resided. His parents and Sabaa occupy two bedrooms on the main floor and the third bedroom is used as a prayer room. The basement area does not have a bedroom, but Shakeel and Ms. Habib have converted the hallway of the basement into their bedroom and living area.

[147] Shakeel's evidence as to who is listed on title and on the mortgage for the Forest Hill Crescent home was inconsistent. In his Financial Statement sworn September 9, 2022, he noted that he held title jointly with Ms. Habib and his father, Fazal Khan, whereas his September 29, 2023 Financial Statement does not reflect a joint interest with any other individuals. At trial, he clarified that his previous counsel made an error in the first Financial Statement, that he holds title jointly with his father, but that he is the only person listed on the mortgage. He testified that he lacked the necessary credit rating to qualify for the mortgage, and that he was only able to purchase the home by having his father act as a guarantor on the mortgage. I accept his evidence that this was the reason for including his father on the title to the property. His Royal Bank of Canada Homeline Plan Statement for

the period ending November 30, 2023 confirms that he is indeed the only person listed on the mortgage for the property.

2018 to 2024

- [148] Shakeel's sole source of income since 2017 has been his employment income from the Toronto Dominion Bank. This income varies somewhat from year to year, as there is a bonus component. Since 2018, his total line 150 income has been as follows:

2018:	\$105,848.00
2019:	\$120,851.00
2020:	\$114,925.00
2021:	\$113,691.00
2022:	\$115,824.00
2023:	\$116,165.74

- [149] As of the end of trial, Shakeel remained in the same role at the Toronto Dominion Bank, and he expected that his income would remain fairly consistent for the foreseeable future. Based on the recent history of his income increases, a reasonable projection for his 2024 income is in the range of \$118,000.00.
- [150] Shakeel's first child with Ms. Habib, Nayel, was born in December 2018. The addition of another child to the family unit led to increased financial strain. Shakeel's financial situation deteriorated considerably in 2019 due to Shagufta's unsubstantiated claim and report to the Ahmadiyya community that Ms. Habib was seeking refugee status based on false pretences, as he had to incur high legal fees to prevent Ms. Habib's deportation. With the assistance of legal counsel, Ms. Habib was able to prove to the immigration authorities that she is in fact a member of the Ahmadiyya community.
- [151] Shakeel and Ms. Habib welcomed their second child, Nehal, in September 2020. As of the conclusion of the trial, they were expecting their third child. Shakeel has been the primary financial provider for Ms. Habib, Sabaa, his two younger children and his elderly parents for the past several years. Ms. Habib works as a Financial Assistant to investment advisors with TD Wealth Management solely on a commission basis, and she took maternity leaves following the births of Nayel and Nehal. Her 2021 income was \$19,709.00. She returned to work following her maternity leave with Nehal, and the cost of child-care for Nayel and Nehal has been approximately \$1,500.00 per month. I accept Shakeel's evidence that Ms. Habib does not intend to return to work following the birth of their third child because the cost of daycare for three children will far outweigh the financial benefits of her working. Accordingly, Shakeel will be the sole financial provider for Ms. Habib, his four children and his parents at the end of Ms. Habib's maternity leave with the new child.

- [152] Shakeel's parents, Fazal Khan and Maryam Khan, are now in their 80s. Shakeel testified and I accept that their incomes are very low, and that they do not have any savings or significant assets to draw from for their own support. Their sole sources of income are OAS, GIS and CPP retirement benefits. Fazal Khan's 2021 income was only \$16,372.00 and Maryam Khan's 2021 income was only \$14,407.00. They made financial sacrifices throughout their lives to support Shakeel, Shagufta and Sabaa and this contributed to their current challenging financial situation. As I have indicated, they assisted Shakeel and Shagufta financially during the early years of their marriage by contributing to the purchase of their homes. They also supported Shakeel and Sabaa from 2011 until 2017 by providing housing and general financial assistance to them. They rented their home in Hamilton, and therefore they did not have any sale proceeds to draw from when they moved into the Forest Hill Crescent residence with Shakeel and Ms. Habib. Fazal was diagnosed with Parkinson's disease approximately 8 years ago and he also suffers from heart problems. Maryam suffers from severe and debilitating arthritis in her back and knees. Fazal and Maryam also both have diabetes for which they require special diets. Neither of them can drive, and they are dependant on Shakeel and Ms. Habib for both financial support and general assistance in their daily living. I find that most of their income is required to cover their health and travel expenses and their expected financial contribution of at least 10% of their annual income to the Ahmadiyya religious community. They incur significant amounts on taxis and ubers to get to their various medical appointments since they cannot drive. I conclude that they are not making any significant contributions to the carrying and maintenance costs of the Forest Hill Crescent home or to basic necessities such as groceries as they simply do not have the financial means to do so.
- [153] Shakeel has been struggling greatly to support himself and his family over the past several years. His Financial Statement sworn September 9, 2022 reflects very modest and reasonable expenses including his automatic deductions from his pay, but based on his 2022 income of \$115,824.00, I find that he was experiencing an annual deficit in the range of \$23,000.00 at that time. He reported no significant assets as of 2022 apart from the Forest Hill Crescent home. He acknowledged at trial that he also has an RSP through his employment with the Toronto Dominion Bank which he neglected to list in his Financial Statements, but this is not an asset that he is able to draw upon to meet his daily needs and those of his family at this point. Not including the mortgage on the Forest Hill Crescent property, his personal debt increased from \$37,000.00 in 2013 to \$97,300.00 in September 2022, which was attributable to covering his family's basic necessities and the legal fees to address Ms. Habib's immigration issues.
- [154] Shakeel's financial situation has continued to deteriorate since 2022. As noted above, his total 2023 income was \$116,165.74. Based on his 2023 T4 from the Toronto Dominion Bank and his pay statement for the pay period ending September 3, 2023, I conclude that the automatic deductions from his income for income tax, employment insurance premiums, CPP contributions, registered pension plan contributions, health and dental benefits premiums and life and disability insurance premiums totalled approximately \$60,800.00 per year. His other annual housing and general living expenses totalled approximately \$119,150.00. His annual deficit in 2023 was therefore in the range of \$55,365.00. His Financial Statement sworn September 29, 2023 reflects that apart from

the Forest Hill Crescent home and his RSP with the Toronto Dominion Bank, he has no significant assets. Furthermore, not including his mortgage on the Forest Hill Crescent property, his personal debt had increased to \$164,672.00 as of September 2023. This does not include a personal debt of \$60,000.00 that he listed as owing to his friend Naveed Ashraf in his September 29, 2023 Financial Statement, which he did not list in his September 9, 2022 Financial Statement. Mr. Ashraf testified at trial and confirmed that he had loaned Shakeel approximately \$58,000.00 or \$59,000.00 over the years, starting during the parties' marriage. He acknowledged that Shakeel had not made any payments towards those loans, due to his financial circumstances, but he confirmed that he continues to expect repayment. Shakeel stated that the loans were for home renovations on the properties that he owned with Shagufta, personal expenses and legal fees. Although there is no promissory note or other legal documentation confirming these loans, I found both Shakeel and Mr. Ashraf to be credible in their evidence respecting their existence.

- [155] Shakeel's overall financial situation has worsened even further in 2024. He now finds himself in a vicious circle of having to draw upon his line of credit every month to cover his mortgage and spousal support payments. He has also maxed out his credit card limit to cover his family's daily living costs. He has struggled with the increased cost of groceries in the past couple of years. Unfortunately, his financial situation will become even more dire this year because the interest rate on his current mortgage is expected to increase from only 3% to 7% when the mortgage comes up for renewal this summer. Shakeel anticipates that his mortgage payments will likely increase from \$1,800.00 to \$3,400.00 per month. Shakeel is unable to afford a larger home for his growing family, and therefore he and Ms. Habib share their makeshift sleeping and living area in the basement hallway with their two young children. The new child will also be sleeping in that area. Shakeel cannot afford any activities for his two young boys or even simple family vacations. He presented as genuinely distraught when discussing his financial situation and the high physical and financial needs of his parents. He had to fight back tears and had difficulty continuing with his evidence and submissions on these issues at various points during the trial.

PART 5: THE CHILD SUPPORT ISSUES

I. RELEVANT LEGAL PRINCIPLES RESPECTING CHILD SUPPORT

A. Overview of the Legal Test in Child Support Variation Proceedings

- [156] The findings set out above respecting the parties' incomes and overall financial circumstances since their separation provide a critical backdrop for the analysis of the child support issues. Shakeel's child support claims must be analyzed and assessed as a variation of the child support provisions of the November 25, 2014 order of Harper J., since that order did not include any terms respecting section 7 expenses. The child support issues in this case are governed by the *Divorce Act*, the *Guidelines* and the general legal principles established by the caselaw respecting variation of child support. The test and general principles that apply to child support variation proceedings under the provincial *Family Law Act* are generally similar, and therefore I refer to caselaw decided under that Act as well where appropriate.

- [157] Section 15.1 of the *Divorce Act* establishes the court's jurisdiction to make an order for child support at first instance in the context of an application, as follows:

Child support order

15.1 (1) A court of competent jurisdiction may, on application by either or both spouses, make an order requiring a spouse to pay for the support of any or all children of the marriage.

- [158] Based on section 15.1(1) of the *Divorce Act*, entitlement to child support under the Act is dependent on the child in question being a “child of the marriage” within the meaning of section 15.1. The definition of “child of the marriage” is set out in section 2(1) of the Act, which provides as follows:

“*child of the marriage*” means a child of two spouses or former spouses who, at the material time,

- a) is under the age of majority and who has not withdrawn from their charge, or
- b) is the age of majority or over and under their charge but unable, by reason of illness, disability or other cause, to withdraw from their charge or to obtain the necessities of life.

- [159] Section 2(1) of the *Divorce Act* defines the phrase “age of majority” as follows:

“age of majority,” in respect of a child, means the age of majority as determined by the laws of the province where the child ordinarily resides, or, if the child ordinarily resides outside of Canada, eighteen years of age.

- [160] Section 1 of Ontario's *Age of Majority and Accountability Act*, R.S.O. 1990, c. A-7 provides that every person attains the age of majority and ceases to be a minor on attaining the age of eighteen years.

- [161] Section 26.1(2) of the *Divorce Act* specifies that the child support provisions of the Act and the *Guidelines* are based on the bedrock principle that spouses have a joint financial obligation to maintain the children of the marriage in accordance with their relative abilities to contribute to the performance of that obligation.

- [162] Section 17(1)(a) of the *Divorce Act* sets out the right of a spouse to apply for a variation of a child support order, as follows:

Order for variation, rescission or suspension

17 (1) A court of competent jurisdiction may make an order varying, rescinding or suspending, prospectively or retroactively,

- a) a support order or any provision thereof on application by either or both former spouses; or
- b) a custody order or any provision thereof on application by either or both former spouses or by any other person.

[163] Although the *Divorce Act* refers to a proceeding to vary child support as an “application,” Rule 15(5) of the *Family Law Rules* stipulates that a party who seeks to change a final order or agreement shall serve and file a “Motion to Change (Form 15).” A child support variation proceeding in Ontario is therefore referred to in practice as a “Motion to Change” child support.

[164] Section 17(4) of the *Divorce Act* sets out a threshold test that must be satisfied to succeed in varying a child support order. Specifically, it stipulates that before making a child support variation order, the court must satisfy itself that there has been a “change of circumstances” as provided for in the *Guidelines* since the making of the original order or an existing order:

Factors for child support order

17(4) Before the court makes a variation order in respect of a child support order, the court shall satisfy itself that a change of circumstances as provided for in the applicable guidelines has occurred since the making of the child support order or the last variation order made in respect of that order.

[165] The statutory framework outlined above dictates a two-pronged inquiry in a child support variation proceeding under the *Divorce Act*, as follows:

1. First, the court must determine if there has been a change of circumstances as provided for in the *Guidelines*; and
2. Second, if the court concludes that the requisite change has occurred, it must then decide what variation, if any, should be made to the order considering the changes that have occurred.

(*Willick v. Willick*, [1994] 3 S.C.R. 670 (S.C.C.), at para. 21; *Punzo v. Punzo*, 2016 ONCA 957 (C.A.), at para. 43).

[166] The onus is on the moving party to establish both the threshold requirement that they are relying on to justify the requested variation(s) of child support and the appropriateness of the variation(s) that they are seeking (*Willick*, at para. 31; *Punzo*, at para. 26; *MacEachern v. Bell*, 2019 ONSC 4720 (S.C.J.), at para. 47). In determining whether the moving party has met this onus, the court must consider the evidence and arguments of both parties (*Punzo*, at para. 26).

B. The Threshold “Change In Circumstances Test”

- [167] Section 17(4) of the *Divorce Act* clearly specifies that the threshold test on a Motion to Change child support will only be satisfied if there has been “a change in circumstance as provided for in the applicable guidelines.” This threshold test ensures that the focus remains on developments that have occurred since the existing order was made. A Motion to Change child support is not an appeal of the original order. The court hearing the case must assume that the existing order accurately addressed the financial needs of the child and took into consideration the appropriate legal considerations. The correctness of the previous order should not be reviewed in the variation proceeding (*Willick*, at para. 20; *Gray v. Rizzi*, 2016 ONCA 152 (C.A.), at para. 26).
- [168] In situations such as the current case where the parties concede that a material change in circumstances has occurred since the existing order was made, the hearing judge must nonetheless address the issue, be satisfied that a material change or changes have indeed occurred and make findings regarding the nature of the change(s). This is because the court may only make variations to the order that are justified having regard for the material change(s) in circumstances that met the threshold test (*Willick*, at para. 104; *Punzo*, at paras. 26, 43).
- [169] A change in circumstances will only meet the threshold test for variation of child support if it is “material” in nature (*Willick*, at para. 22; *Colucci*). To satisfy the threshold test, the change relied on must relate to the needs of the child, the means of the parents or both (*Willick*, at para. 22). In determining the type of change in circumstances that is sufficient to ground a child support variation claim under the *Divorce Act*, it is useful to draw upon the caselaw respecting child and spousal support variation proceedings under both the *Family Law Act*, and the *Divorce Act*, since all such proceedings require the court to consider whether a change in circumstances has occurred.
- [170] By virtue of section 17(4) of the *Divorce Act*, the change in circumstances relied on by the party requesting a variation must be a change “as provided for in the applicable guidelines.” Section 14 of the *Guidelines* is the relevant provision for determining the type of change that will justify a variation of a child support order. It provides as follows:

Circumstances for variation

14. For the purposes of subsection 17(4) of the Act, any one of the following constitutes a change of circumstances that gives rise to the making of a variation order in respect of a child support order:

- a) in the case where the amount of child support includes a determination made in accordance with the applicable table, any change in circumstances that would result in a different child support order or any provision thereof;
- b) in the case where the amount of child support does not include a determination made in accordance with a table, any change in the

condition, means, needs or other circumstances of either spouse or of any child who is entitled to support; and

- c) in the case of an order made before May 1, 1997, the coming into force of section 15.1 of the Act, enacted by section 2 of chapter 1 of the Statutes of Canada, (1997).

- [171] By virtue of section 14 of the *Guidelines*, examples of when the threshold test will be met include where there has been a material change in the payor spouse's income, where the circumstances have changed such that the *Table* amount under the *Guidelines* is no longer appropriate, or if the child is no longer entitled to support (*MacEachern v Bell*, at para. 50).
- [172] If the circumstances relied upon to support the threshold test fall within section 14 of the *Guidelines*, the moving party must then prove that there has been a "change" in those circumstances since the existing order was issued, and that the change relied on is "material." Section 17(4) of the *Divorce Act* dictates that the changes in circumstances must have occurred "since the making of the child support order or the last variation order made in respect of that order." Accordingly, if the information or situation which the party is counting on to demonstrate the requisite "change in circumstances" was known to exist when the order was made, the circumstance(s) cannot satisfy the threshold test for a variation (*Willick*, at p. 688; *L.M.P. v. L.S.*, 2011 SCC 64 (S.C.C.), at para. 44.) With respect to circumstances or events that develop after the existing order is made, the "change" element of the threshold test requires that the circumstances relied on be ones that were not contemplated by the parties, could not have been reasonably contemplated by the judge who made the order, or were clearly not factored into the decision-making regarding the support terms (*B.(G.) v. G.(L.)*, [1995] 3 S.C.R. 370 (S.C.C.), at para. 49; *L.M.P. v. L.S.*, at para. 44; *Stevenson v. Smit*, 2014 ONCA 521 (C.A.); *Mason*, at para. 72; *Schulstad v. Schulstad*, 2017 ONCA 95 (C.A.), at para. 31). The fact that a change was objectively foreseeable by one or both of the parties does not necessarily mean that it was contemplated by the parties (*L.M.P. v. L.S.*, at para. 67). However, changes which the parties contemplated could transpire in the future, or which as a matter of common sense can be expected to occur later, but which were not taken into consideration in formulating the support terms may later qualify as a change in circumstances when they materialize (*Schulstad*, at para. 31; *Stones v. Stones*, 2004 BCCA 99 (C.A.); *Dedes v. Dedes*, 2015 CarswellBC 1167 (C.A.)). The threshold test can also be satisfied by evidence that a set of circumstances which the parties anticipated would occur and which were factored into the order did not in fact materialize (*Fisher v. Fisher*, 2008 CarswellOnt 43 (Ont. C.A.), at para. 71).
- [173] For a change in circumstances to qualify as "material," it must be significant enough to justify a variation of the existing order, be real and not one of choice. Trivial or insignificant changes will not justify a variation (*Haisman v. Haisman*, 1994 ABCA 249 (C.A.), at para. 28, leave to appeal to the S.C.C. refused, [1995] 3 S.C.R. vi (S.C.C.); *Hickey v. Hickey*, [1999] 2 S.C.R. 518 (S.C.C.), at para. 20; *Marinangeli v. Marinangeli*, 2003 CarswellOnt 2691 (C.A.) at para. 49; *Colucci*, at para 61). To qualify as "material," the change must be such that, if known and factored into the decision when the order was made, it would likely have resulted in different terms to the order (*Willick*, at para. 22;

B.(G.) v. G.(L.), at para. 49; *L.M.P. v. L.S.*, at paras. 32 and 33; *Colucci*, at para. 60). In addition, a change will only be considered “material” for the purposes of a Motion to Change child support if it has a degree of continuity, is real and is not one of choice; a temporary set of circumstances will not suffice (*L.M.P. v. L.S.*, at para. 35; *Marinangeli*, at para. 49; *Haisman*, at para. 28; *Colucci*, at para. 61). The sufficiency of the change that the moving party relies upon must always be evaluated in light of the particular facts of each case (*Willick*, at para. 101).

[174] Finally, in determining whether the requisite material change in circumstances has occurred, the terms of the existing order should be considered. If a given change is specified in the order as either giving rise to, or not giving rise to, variation, either expressly or by necessary implication, the answer to the threshold question may be found in the terms of the order itself (*L.M.P. v. L.S.*, at para. 39). Even significant changes may not be material for the purposes of the threshold test in a Motion to Change proceeding if they are specifically contemplated, addressed and factored into the terms of the existing order (*L.M.P. v. L.S.*, at para. 39). Consideration of the Reasons for Judgment in relation to the existing order may therefore also be critical to the analysis. In *L.M.P. v. L.S.*, the court noted that the degree of specificity with which the order addresses a specific change “is evidence of whether the parties or the court contemplated the situation raised on an application for variation, and whether the order was intended to capture the particular changed circumstances” (at para. 39; see also *Arthur v. Arthur*, 2018 ONSC 6682 (S.C.J.), at para. 44).

[175] The threshold change in circumstances test dictates that the analysis on a Motion to Change child support starts with the existing order and the factual foundation upon which it was made. The court must therefore carefully consider the evidentiary basis upon which the existing order was made (*L.M.P. v. L.S.*, at para. 34). Failing to provide this information to the court will constitute a critical evidentiary gap that will impede the court’s ability to carry out the first stage of the analysis in a support variation proceeding (*Droit de la famille- 09668, sub nom R.P. v. R.C.*, 2011 CarswellQue 13700, 2011 SCC 65 (S.C.C.), at para. 33).

C. **Support Entitlement as a Threshold Issue in Child Support Variation Proceedings**

1. **General Principles Respecting Entitlement to Child Support**

[176] As I have indicated, in his Closing Submissions, counsel for Shagufta raised the question of Sabaa’s ongoing entitlement to child support as of September 2023, based on her age (19) and her reduced course-load at school. Where a payor parent relies on the child’s loss of entitlement to support to meet the threshold test for variation, the proceeding is essentially a matter of giving effect to the intent that the original order should only continue for so long as entitlement existed (*Erskine v. Erskine*, 2011 CarswellBC 1888 (S.C.)). A consideration of the relevant principles respecting child support entitlement under the *Divorce Act* is therefore necessary.

[177] Sabaa’s ongoing entitlement to child support turns on whether she continues to be a “child of the marriage” within the meaning of section 2(1) of the *Divorce Act*. The onus of establishing entitlement to child support is on the party seeking support (*Rebenchuk v. Rebenchuk*, 2007 CarswellMan 59 (C.A.), at para. 26; *Whitton v. Whitton* (1989), 21 R.F.L. (3d) 261 (Ont. C.A.), at para. 6; *Kohan v. Kohan*, 2016 ABCA 125 (C.A.), at para. 20). Where the child is under the age of majority, the relevant question is whether they have withdrawn from parental charge. By contrast, the test for establishing entitlement once the child attains the age of majority (“the adult child”) involves two general steps:

1. First, the court must be satisfied that the child remains under parental charge; and
2. Second, the court must find that the child is unable to withdraw from parental charge or to obtain the necessities of life due to illness, disability or another “cause” recognized by the courts.

[178] The determination of whether a child remains under parental charge focusses in part on whether they continue to be financially dependent on the parent (*Rebenchuk*, at para. 25; *Thompson v. Ducharme*, 2004 MBCA 42 (C.A.), at para. 14). However, the caselaw establishes that a child can also be under parental charge if they are unable to manage daily living on their own without direct and consistent care, monitoring and support from their parent (*Briard v. Briard*, 2010 CarswellBC 119 (S.C.), at para. 16, aff’d 2010 BCCA 431 (C.A.), leave to appeal to S.C.C. refused [2010] SCCA No. 435 (S.C.C.); *Senos v. Karcz*, 2014 ONCA 459 (C.A.), at para. 6).

[179] In assessing whether an adult child is “unable to obtain the necessities of life” within the definition of “child of the marriage,” the question is not whether their sources of income and other financial assistance permit a sustenance existence, but rather whether they are sufficient to support the child’s reasonable needs having regard for the condition, means, needs and other circumstances of the child, and the financial ability of each parent to contribute to the child’s support (*Briard*, at paras. 29-30; *Lougheed v. Lougheed*, 2007 BCCA 389 (C.A.), at paras. 23 and 25; *Weber v. Weber*, 2020 ONSC 4098 (S.C.J.), at para. 58).

[180] Assuming the court determines that the adult child remains under parental charge, it must then determine whether they are unable to withdraw from that charge or to obtain the necessities of life due to illness, disability, or other cause. The definition of “child of the marriage” in section 2(1) of the *Divorce Act* leaves open what “other cause” would justify an order that a child who is of the age of majority or older remains entitled to child support from a parent, and the caselaw establishes that the phrase is to be interpreted broadly (*Olson v. Olson*, 2003 ABCA 56 (C.A.), at para. 14; *K.M.R. v. I.W.R.*, 2020 ABQB 77 (Q.B.), at para. 37; *Michel*, at para. 40).

2. Entitlement of Adult Children Enrolled in Educational Studies

[181] A child’s continued enrolment in educational studies may constitute “other cause” for a child’s inability to withdraw from parental charge within the definition of “child of the

marriage” (*Jackson v. Jackson*, [1973] S.C.R. 205 (S.C.C.)). However, it is not in and of itself determinative of the issue of entitlement to child support (*Jackson*; *Menegaldo v. Menegaldo*, 2012 ONSC 2915 (S.C.J.) at para. 157; *MacEachern v. Bell*, at para. 68). Where the child is still engaged in studies, the analysis of whether they are unable to withdraw from parental charge involves a careful assessment of their overall condition, means, needs and circumstances (*Taggart v. Taggart*, 2019 ABCA 78 (C.A.), at para 6). An adult child who looks to their parents to continue to support them through their studies cannot claim indefinite dependency while engaging in half-hearted or ill-conceived educational endeavours (*Kohan* at para. 18). As the Saskatchewan Court of Appeal stated in *Geran v. Geran*, 2011 CarswellSask 333 (C.A.), at para. 15, the ultimate question in deciding the issue of entitlement in these circumstances is whether the child is unable without the direct or indirect financial assistance of the parents to pursue a reasonable course of ongoing education to the end of bettering their future prospects. Further to this general framework, the factors which the courts consider in determining entitlement for children enrolled in ongoing studies include, without limitation, the following:

1. Whether the child is in fact enrolled in a course of studies and whether it is a full-time or part-time educational program.
2. Whether the child has applied for or is eligible for student loans or other financial assistance, or has received any bursaries or scholarships, and if so, the amounts received.
3. The ability of the child to contribute to their own support through their savings or part-time employment.
4. Whether the child has a reasonable and appropriate education and career plan, or whether they are simply attending the educational program because they have nothing better to do.
5. Whether the child’s primary focus is on completing their education, or whether they are in fact engaged in part-time studies while focussing primarily on career-related activities.
6. In reviewing the child’s education and career plans, important factors include the nature and quality of the plans, the duration of the proposed study period, the prospects of the child succeeding in the program, the potential benefit of the studies and the associated cost of the course of study.
7. Whether the child’s educational path has been extended for any reason, and if so, the reasons for the extension. Examples of delayed educational progress which may be relevant to ongoing entitlement include a child’s illness or special needs, which may have caused the child to require more time to successfully complete high school or post-secondary studies.
8. Whether the child is enrolled in their first post-secondary educational program or an extended graduate program.

9. Whether the child is engaging diligently in their chosen course of studies.
10. The child's academic performance, and whether they are demonstrating success in the chosen course of studies.
11. The age, qualifications and experience of the child.
12. The aptitude and abilities of the child, their level of maturity and commitment and their sense of responsibility.
13. The plans, if any, that the parents made for the education of their children, particularly where those plans were made during cohabitation. In considering this factor, the court should bear in mind that reasonable parents are ordinarily concerned about treating each of their children comparatively equally.
14. The general condition, means, needs and other circumstances of the parents and the child.
15. The willingness of the child to remain reasonably accountable to the parents with respect to their ongoing education plans and progress. If a child is unwilling to remain accountable or has unilaterally and without justification terminated their relationship with a parent, they may have difficulty establishing that they are unable to withdraw from parental charge based on a reasonable course of ongoing education.

(*Whitton; Farden v. Farden* (1993), 48 R.F.L. (3d) 60 (B.C. Master); *Geran; Rebenchuk*, at paras 41-43; *Darlington v. Darlington* (1997), 32 R.F.L. (4th) 406 (B.C.C.A.); *Menegaldo; Kohan*).

[182] It is not necessary to address all of the factors set out above to show that a child enrolled in ongoing studies remains a "child of the marriage" (*Darlington*, at para. 15; *Wesemann v. Wesemann*, 1999 CarswellBC 1347, (1999), 49 R.F.L. (4th) 435 (B.C. S.C.) at para. 11).

[183] The child's commitment to pursuing their educational studies and their success in the program are important factors in determining ongoing child support entitlement. These factors must be considered with a focus on the particular circumstances of the child in question and any personal challenges that they may be struggling with. A child need not have stellar school attendance or full-time enrolment to remain entitled to support, but they must demonstrate a reasonable degree of involvement, engagement and success in the program having regard for their overall capabilities given their specific situation (*Sullivan v. Sullivan*, 1999 CarswellOnt 3340, (1999), 50 R.F.L. (4th) 326 (Ont. Div. Ct.), at para. 3; *Aubert v. Cipriani*, 2015 ONSC 6103 (S.C.J.), at para. 25; *MacEachern v. Bell*, at para. 70).

D. Determination of the Appropriate Variation Order

1. Legislative Provisions and General Principles Respecting the Calculation of Child Support

[184] The second stage of the analysis on a Motion to Change child support involves a determination of the variation, if any, that should be made to the existing order. Even if the threshold test of a change in circumstances is met, it does not necessarily follow that changes to the existing order should be ordered (*Willick*, at para. 104; *Punzo*, at para. 41). The decision as to whether changes are warranted, and if so, the specifics of any variation involve a careful analysis of all issues relevant to the claim, including consideration of the date when material changes occurred, the appropriateness of any retroactive or ongoing claims, the parties' respective incomes and calculation of the quantum of support payable based on the applicable legislation and *Guidelines* (*Punzo*, at paras. 38, 41).

[185] The starting point for determining the appropriate variation order is section 17(1)(a) referred to above. Pursuant to that section, the court may vary, rescind or suspend the existing order in whole or in part, both prospectively and retroactively. The court's authority includes the power to relieve the payor from payment of either part or all of the arrears owing as well as any interest due on those arrears. In addition, Section 17(3) of the Act stipulates that the court may include in a variation order any provision that the court could have included in the order in respect of which the variation order is sought. This section must be read in conjunction with sections 15.1(2) to (4) of the Act, which outlines the powers of the court in an original child support application as follows:

Interim order

15(2) Where an application is made under subsection (1), the court may, on application by either or both spouses, make an interim order requiring a spouse to pay for the support of any or all children of the marriage, pending the determination of the application under subsection (1).

Guidelines apply

(3) A court making an order under subsection (1) or an interim order under subsection (2) shall do so in accordance with the applicable guidelines.

Terms and conditions

(4) The court may make an order under subsection (1) or an interim order under subsection (2) for a definite or indefinite period or until a specified event occurs, and may impose terms, conditions or restrictions in connection with the order or interim order as it thinks fit and just.

- [186] The powers of the court in a variation proceeding also include ordering appropriate set-offs (*Campbell v. Chappel*, 2006 CarswellNWT 28 (S.C.)).
- [187] Sections 17(6.1) to 17(6.5) of the *Divorce Act* and the provisions of the *Guidelines* establish the framework for the calculation and quantification of child support in variation proceedings. The objectives of this framework are to ensure as reasonably as possible that children are not disadvantaged by the separation of their parents by providing fair and predictable standards of support, facilitating the calculation of support, and rendering the legal process for addressing child support issues more efficient (*Guidelines*, s. 1; *D.B.S.; Ethier v. Skrudland*, 2011 SKCA 17 (C.A.); *Geran*). Section 17(6.1) of the *Divorce Act* provides that a court making a child support variation order shall do so in accordance with the applicable *Guidelines*. This presumption is subject to the court's discretion to award a different amount pursuant to sections 17(6.2) to (6.5) of the Act in cases where special provisions have been made for the direct or indirect benefit of the child, or the parties have consented to a different amount which is reasonable for the support of the child.
- [188] Turning to the relevant provisions of the *Guidelines*, section 2(4)(b) reiterates the general principle that the *Guidelines* apply, with such modifications as the circumstances require, to orders varying a child support order. The starting point for the determination of the quantum of child support under the *Guidelines* is section 3, which establishes the following presumptive rules respecting the amount of child support, depending on whether the child in question is under or over the age of majority:

Presumptive rule

3. (1) Unless otherwise provided under these Guidelines, the amount of a child support order for children under the age of majority is
- a) the amount set out in the applicable table, according to the number of children under the age of majority to whom the order relates and the income of the spouse against whom the order is sought; and
 - b) the amount, if any, determined under section 7.

Child the age of majority or over

- (2) Unless otherwise provided under these Guidelines, where a child to whom a child support order relates is the age of majority or over, the amount of the child support order is
- a) the amount determined by applying these Guidelines as if the child were under the age of majority; or
 - b) if the court considers that approach to be inappropriate, the amount that it considers appropriate, having regard to the condition, means, needs and other circumstances of the child and the financial ability of each spouse to contribute to the support of the child.

[189] Section 3(1) refers to section 7, which deals with special and extraordinary expenses as follows:

Special or extraordinary expenses

7(1) In a child support order the court may, on either spouse's request, provide for an amount to cover all or any portion of the following expenses, which expenses may be estimated, taking into account the necessity of the expense in relation to the child's best interests and the reasonableness of the expense in relation to the means of the spouses and those of the child and to the family's spending pattern prior to the separation:

- a) child care expenses incurred as a result of the employment, illness, disability or education or training for employment of the spouse who has the majority of parenting time;
- b) that portion of the medical and dental insurance premiums attributable to the child;
- c) health-related expenses that exceed insurance reimbursement by at least \$100 annually, including orthodontic treatment, professional counselling provided by a psychologist, social worker, psychiatrist or any other person, physiotherapy, occupational therapy, speech therapy and prescription drugs, hearing aids, glasses and contact lenses;
- d) extraordinary expenses for primary or secondary school education or for any other educational programs that meet the child's particular needs;
- e) expenses for post-secondary education; and
- f) extraordinary expenses for extracurricular activities.

7(1.1) For the purposes of paragraphs (1)(d) and (f), the term "extraordinary expenses" means

- a) expenses that exceed those that the spouse requesting an amount for the extraordinary expenses can reasonably cover, taking into account that spouse's income and the amount that the spouse would receive under the applicable table or, where the court has determined that the table amount is inappropriate, the amount that the court has otherwise determined is appropriate; or
- b) where paragraph (a) is not applicable, expenses that the court considers are extraordinary taking into account

- i. the amount of the expense in relation to the income of the spouse requesting the amount, including the amount that the spouse would receive under the applicable table or, where the court has determined that the table amount is inappropriate, the amount that the court has otherwise determined is appropriate,
- ii. the nature and number of the educational programs and extracurricular activities,
- iii. any special needs and talents of the child or children,
- iv. the overall cost of the programs and activities, and
- v. any other similar factor that the court considers relevant.

Sharing of expense

(2) The guiding principle in determining the amount of an expense referred to in subsection (1) is that the expense is shared by the spouses in proportion to their respective incomes after deducting from the expense, the contribution, if any, from the child.

Subsidies, tax deductions, etc.

(3) Subject to subsection (4), in determining the amount of an expense referred to in subsection (1), the court must take into account any subsidies, benefits or income tax deductions or credits relating to the expense, and any eligibility to claim a subsidy, benefit or income tax deduction or credit relating to the expense.

Universal child care benefit

(4) In determining the amount of an expense referred to in subsection (1), the court shall not take into account any universal child care benefit or any eligibility to claim that benefit.

[190] Based on section 3(2)(a) of the *Guidelines*, the presumption in cases involving children over the age of majority (“adult children”) is that child support should be calculated in the same manner as for a child under the age of majority, that is, by calculating the applicable *Table* amount and adding any contribution to section 7 expenses which is determined to be appropriate (“the standard *Guidelines* approach”). However, the court must then determine whether this approach is “inappropriate” based on the particular facts of the case. If the standard *Guidelines* approach is considered inappropriate, the analysis should be carried out entirely pursuant to section 3(2)(b) of the *Guidelines*, and resort should not be made to section 7. However, in carrying out the section 3(2)(b) analysis, the court may draw upon the principles set out in section 7 and other provisions of the *Guidelines* and judicial experience in applying them. By way of example, it would be entirely appropriate for the

court, pursuant to section 3(2)(b), to follow the guiding principle set out in section 7(2) that expenses referred to in that section should be shared between the parents in proportion to their respective incomes, after deducting the contribution if any of the child. In addition, the court may estimate a child's expenses, as permitted under section 7(1) (*Lewi v. Lewi*, 2006 CarswellOnt 2892 (C.A.)).

2. Legal Principles Respecting Section 7 Expense Claims

[191] The determination of how to deal with section 7 special and extraordinary expenses is a critical piece of the child support analysis if support is being calculated pursuant to sections 3(1)(a) or 3(2)(a) of the *Guidelines*. In *Titova v. Titov*, 2012 ONCA 864 (C.A.), the Ontario Court of Appeal set out the following general roadmap for determining whether to make an award for section 7 special or extraordinary expenses, and in quantifying any such award:

1. Calculate each party's income for the purposes of determining contribution to section 7 expenses.
2. Determine whether the expense in question falls within one of the enumerated categories set out in section 7 of the *Guidelines*.
3. If the expense falls under section 7(1)(d) or (f), determine if the expense meets the definition of "extraordinary."
4. Determine whether the expense is necessary in relation to the child's best interests and is reasonable in relation to the means of the spouses and those of the child, and to the family's spending pattern prior to separation.
5. Determine the net amount of the expense after applying any applicable subsidies, benefits or income tax deductions and credits relating to the expense.
6. Consider what amount, if any, the child should reasonably contribute to the payment of the expense.
7. Finally, determine how much of the remaining amount each party should pay.

[192] The court may order reimbursement for section 7 expenses that have not yet been incurred. The language of section 7 allows for an estimate to be made in relation to future expenses and to permit an order requiring contribution to them (*Beneteau v. Young*, 2009 CarswellOnt 5099 (S.C.J.); *A.E. v. A.E.*, at para. 376).

[193] The discretion pursuant to section 7 of the *Guidelines* to require payment of expenses over and above the regular monthly *Table* amount otherwise ordered extends only to the specific special and extraordinary expenses listed in the section, since the basic *Table* amounts are designed to cover all of the "ordinary" costs of raising children. Such ordinary expenses include reasonably priced recreational and extracurricular expenses (*Sadana v. Sadana*, 2021 BCSC 111 (S.C.); *Rodobolski v. Rodobolski*, 2019 ONCJ 546 (O.C.J.); *Andries v.*

Andries, (1998), 126 Man. R. (2d) 189 (C.A.), at para. 11). The party seeking contribution to an expense therefore has the onus of proving as a first step that the expense falls within one of the categories set out in sections 7(1)(a) to (f) (*Delichte v. Rogers*, 2013 MBCA 106 (C.A.), at para. 27; *Park v. Thompson*, 2005 CarswellOnt 1632 (C.A.); *F.J.N. v. J.K.*, 2019 ABCA 305 (C.A.), at para. 73; leave to appeal refused 2020 CarswellAlta 245 (S.C.C.), at para. 27).

- [194] For any section 7 expense, including extraordinary ones listed in sections 7(1)(d) and (f), the court must consider both the necessity of the expense in relation to the child's best interests and the reasonableness of the expense in relation to the means of the spouses and those of the child and to the family's spending pattern prior to the separation. Failing to consider each of these factors is an error of law (*Park*). The party seeking contribution to the expense has the onus of adducing credible and reliable evidence respecting the necessity and reasonableness of the expense (*D.C.A. v. R.D.M.*, 2021 BCSC 386 (S.C.)). The determination of necessity and reasonableness requires a fact specific analysis in each case (*Staples v. Callender*, 2010 NSCA 49 (C.A.), at para. 32). With respect to the educational and extracurricular expenses referred to in section 7(1)(d) and (f) of the *Guidelines*, the party seeking contribution to the expense must also demonstrate that the expenses are "extraordinary" within the meaning of section 7(1.1).
- [195] In deciding whether an expense is necessary in relation to the child's best interests, the question is whether it is appropriate having regard for the particular needs and any special skills of the child, and the importance of supporting their overall physical, emotional and social wellbeing and development (*Correia v. Correia*, 2002 MBQB 172 (Q.B.), at para. 18; *Delichte*, at para. 35; *Felisi v. Boucher*, 2021 ONCJ 48 (O.C.J.), at para. 92; *F.J.N. v. J.K.*, at para. 73; leave to appeal refused 2020 CarswellAlta 245 (S.C.C.), at para. 27). In the context of extracurricular activities, the necessity factor requires the court to consider the nature and extent of the benefits that the child derives from the activities, including "self-esteem, teamwork, friendships, family camaraderie and the ability to operate in a structured setting" (*Richer v. Freeland*, 2019 ONSC 6840 (S.C.J.), at para. 41; *A.E. v. A.E.*, at para. 380).
- [196] The reasonableness assessment respecting section 7 expenses is three-fold; the court must consider the reasonableness of the expense in relation to:
1. The means of the parties;
 2. The means of the child; and
 3. The family's spending pattern prior to the separation.
- [197] In assessing the reasonableness of an expense in relation to the means of the parties and the child, the court's analysis is not limited to considering their incomes. The term "means" has been given an expansive interpretation in the law, and encompasses all financial resources, capital assets, income from any sources, investments, pensions and any other sources from which the spouse derives gains or benefits (*Strang v. Strang*, [1992] 2 S.C.R.

112 (S.C.C.), at para. 15; *Leskun v. Leskun*, 2006 SCC 25 (S.C.C.), at para. 29; *Mason*, at para. 68; *Aubin v. Petrone*, 2020 ABCA 13 (C.A.), at para. 135). The term also encompasses the capacity of a party to earn income from any sources (*Hickey v. Princ*, 2015 ONSC 5596 (Ont. Div. Ct.), at paras. 62 and 64; *Boston v. Boston*, 2001 SCC 43 (S.C.C.), at para. 54), and the assets and means that a party is likely to have in the future (*Mason*, at para. 70).

- [198] As I have indicated, section 7(2) of the *Guidelines* establishes the guiding principle that section 7 expenses are to be shared by the parents in proportion to their respective incomes after deducting from the expense the contribution, if any, from the child. However, this section allows a degree of flexibility, and proportionate sharing is not a fixed rule or requirement. For all section 7 claims, the decision whether to order payment and the extent of a party's contribution are ultimately matters of judicial discretion having regard for the unique circumstances of each case, as section 7 clearly indicates that the court "may" make such an order (*Staples; Delichte*, at para. 32; *F.J.N. v. J.K.*, at para. 75; *Rayes v. Dominguez-Cortes*, 2014 ONSC 556 (S.C.J.), aff'd 2015 ONSC 3693 (Div. Ct.)). The court may decline to order contribution to an expense even if it qualifies as a section 7 expense, having regard for all of the considerations discussed above.
- [199] One of the factors that the court should consider in exercising its general discretion respecting section 7 expenses is whether the claimant consulted with the other party about the expense and gave them notice before it was incurred (*Park*, at para. 26). These factors may be considered in deciding whether to order contribution to the expense and also in determining the appropriate amount of the other party's share (*A.A.A. v. K.N.*, 2020 ABCA 141 (C.A.)). Lack of consultation and notice may be relevant where the payor made financial decisions without knowledge of the claims and would be significantly impacted financially from being unable to plan for the expenses (*Correia*, at para. 19; *Delichte*, at paras. 39 and 44). However, these considerations are not determinative, and the weight to be given to them will depend on the facts of each case. Other factors relating to the child's best interests and the reasonableness and necessity of the expenditure may override any notice concerns (*Bodine-Shah v. Shah*, 2014 BCCA 191 (C.A.), at para. 66; *J.A.F. v. J.J.F.*, 2019 BCSC 507 (S.C.), at para. 62; *O. v. M.*, 2021 ONSC 787 (S.C.J.), at para. 29).

3. Calculation of Child Support for Adult Children

- [200] The relevant legislative provisions as outlined above provide the court with a wide scope of discretion in cases involving adult children to determine the appropriate approach to calculating child support for the child, the contribution which the child should make to their own support, if any, and the amount of child support that each parent should pay, if any. The quantification of child support for adult children requires the court to carefully consider the unique facts of each case to arrive at a just amount of support (*Rebenchuk; Senos; McClement v. McClement*, 2017 BCCA 416 (C.A.); *Weber*, at para. 75).
- [201] As a starting point in dealing with the quantification of support for adult children, it is important to note that a finding that an adult child has met the test for entitlement to support under the *Divorce Act* does not necessarily mean that the court will order support. After

considering all relevant factors, the court may decide that no support is warranted. In addition, even if the court finds it inappropriate to resort to the standard *Guidelines* approach for an adult child, the end result of the quantification analysis pursuant to section 3(2)(b) of the *Guidelines* after carefully considering the overall condition, means, needs and circumstances of the child and the parties may be a child support award close to or identical to the *Table* amount, or even more than that amount (*Senos*, at para. 63).

[202] The first issue to be determined in addressing the quantum of child support for adult children is whether the standard *Guidelines* approach to calculating support is “inappropriate.” In *Francis v. Baker*, [1999] 3 S.C.R. 250 (S.C.C.), the Supreme Court of Canada considered the meaning of the term “inappropriate” within the context of section 4 of the *Guidelines*, which deals with the calculation of child support in cases involving payor parents who earn more than \$150,000.00. The principles relating to the “inappropriateness assessment” under s. 4 are readily adaptable to the assessment under s. 3(2) of the *Guidelines* (*Hagen v. Rankin*, 2002 SKCA 13 (C.A.), at paras. 10-14; *Senos*, at para. 37; *Wetsch v. Kuski*, 2017 SKCA 77 (C.A.), at para. 56; *Weber*, at para. 77; *A.E. v. A.E.*, at para. 238). Based on the *Francis* decision and the caselaw decided since that time respecting sections 3 and 4 of the *Guidelines*, the general principles for determining the appropriate approach to calculating support for adult children can be summarized as follows:

1. It was Parliament’s intention that there be a presumption in favour of the *Table* amount in all cases unless otherwise specified in the *Guidelines* (*Francis*, at para. 42).
2. The term “inappropriate” means “unsuitable” rather than “inadequate” (*Francis*, at para. 36). Accordingly, the court’s discretion pursuant to section 3(2)(b) allows the court to both increase or decrease the amount of child support prescribed by the standard *Guidelines* approach (*Francis*, at para. 40).
3. In determining the appropriate approach in relation to adult children under s. 3(2) of the *Guidelines*, the court must balance the objectives of predictability, consistency and efficiency, on the one hand, against those of fairness, flexibility and recognition of the actual condition, means, needs and other circumstances of the adult child of the marriage and the financial ability of each parent to contribute to the support of the adult child (*Francis*, at para 40; *Wetsch*, at para. 56).
4. A child support claimant is entitled to rely on the presumption in favour of the standard *Guidelines* approach. The court should not deviate from the standard *Guidelines* approach outlined in section 3(2)(a) unless the evidence in its entirety is sufficient to raise a concern that the *Table* amount is inappropriate. The evidence in support of a deviation from the usual *Guidelines* calculation must be clear and compelling (*Francis*, at para. 43; *Senos*, at para. 37; *Wetsch*, at para. 56).
5. If the responding party challenges the appropriateness of the standard *Guideline* approach, the onus of proof will ultimately lie with them to rebut the presumption

by making out a *prima facie* case that the standard *Guidelines* approach is clearly inadequate, unreasonable or excessive (*Francis*, at para. 42; *Senos*, at para. 37; *Simon v. Simon*, 1999 CarswellOnt 3868 (C.A.), leave to appeal refused 2000 CarswellOnt 1203 (S.C.C.); *Tauber v. Tauber*, 2000 CarswellOnt 2019 (C.A.), at para. 39).

6. The party challenging the standard *Guidelines* approach is not required to testify or call evidence to rebut the presumption in favour of the standard approach, and the court may not draw an unfavourable conclusion from a failure to do so because the party may not possess the required relevant evidence (*Francis*, at para. 43). The party may displace the presumption by simply relying on or questioning the evidence adduced by the party claiming support (*Francis*, at para. 43; *Senos*, at para. 37; *Wetsch*, at para. 56).
7. The onus of proof principles set out above should not be construed as restricting the scope of section 3(2)(b) to cases where a party challenges the appropriateness of the usual *Guidelines* approach. Section 3(2) of the *Guidelines* requires the court in all cases involving adult children to consider and decide whether the application of section 3(2)(a) is inappropriate, including those which proceed on an uncontested basis or in which no party formally objects to the usual *Guidelines* calculation (*N.(W.P.) v. N.(B.J.)*, 2005 BCCA 7 (C.A.); *DeBeck v. DeBeck*, 2012 BCCA 465 (C.A.); *McClement*, at para. 12).
8. Ultimately, the trial judge has a broad discretion to determine whether or not the standard *Guidelines* approach should be resorted to (*Francis*, at para. 44; *Rebenchuk*, at para. 28; *McClement*; *Senos*, at para. 37; *Wetsch*).
9. The analysis of whether the typical *Guidelines* approach is inappropriate often turns on whether the particular facts of the case displace the basic assumptions upon which the *Table* amounts are based. As the Saskatchewan Court of Appeal stated in *Wetsch*, at para. 51, “[o]n a principled basis, any factor or combination of factors that shifts the circumstances away from the assumptions upon which the *Table* amounts are predicated serves to cast doubt upon the appropriateness of approaching child support under s. 3(2)(a) of the *Guidelines*” (see also *Senos*, at para. 39). Three such assumptions underlying the *Table* amounts are that the child is residing primarily with the support recipient parent, that they are not earning a significant income and that they do not have any other substantial financial means (*Rebenchuk*, at paras. 30-32; *Geran*, at para. 66; *Senos*; *Wetsch*, at paras. 50-52).
10. A significant factor in cases involving adult children enrolled in post-secondary studies is whether the child continues to reside with the recipient parent or is living away from home for their studies. The courts are more likely to follow the usual *Guidelines* approach if the child continues to live with the residential parent while undergoing their post-secondary studies (*Wesemann*; *MacEachern v. MacLeod*, 2014 CarswellNS 499 (S.C.); *MacEachern v. Bell*, at para. 146). By contrast, the courts have often considered the standard *Guidelines* approach

to be inappropriate where children are attending post-secondary education programs away from home (see for example *Park; Radford v. Nunn*, 2011 ONSC 7276 (S.C.J.); *Shelley v. Russell*, 2012 ONSC 920 (S.C.J.)).

[203] The factors relevant to the quantification analysis for adult children will vary depending on the child and the unique circumstances of each case. By way of overview, some of the major considerations which the courts typically consider in determining whether the standard *Guidelines* approach is inappropriate, the extent to which the adult child should contribute to their own support and the quantum of support, if any, that the parents should pay are as follows:

1. The condition, means, needs and overall financial circumstances of the child, and the ability of the child to contribute to their own support. No single element of legislative purpose is to be given more weight than the actual needs and circumstances of the child (*Francis*, at para. 44; *Senos*, at para. 37). If the child has an income source or significant assets or is reasonably able to work and earn a wage, the court may conclude that the standard approach should not be followed since the child can contribute meaningfully to their basic living expenses (*Rebenchuk*, at para 32; *Lewi*; *Taggart*, at para. 78).
 2. Whether the adult child receives financial assistance from sources other than their parents and their own employment, and if so, the nature and quantum of those sources of support or assistance.
 3. The condition, means, needs and overall financial circumstances of the parents, and the effects that the order would have on them.
 4. The age of the adult child and their level of maturity.
 5. Whether the child has any special needs, and if so, the impact if any of those special needs on the child's ongoing support requirements.
 6. Whether the child has exhibited an unwillingness to become employed or self-sufficient.
 7. The child's level of education or training.
 8. Whether the child lives away from the parents or with one of them.
 9. Whether the child has their own general health, medical and dental benefits through any source.
4. **Specific Considerations Relevant to the Calculation of Support for Adult Children Enrolled in Post-Secondary Studies**

[204] Where a child's entitlement to support is based on their enrolment in post-secondary studies, the courts seek guidance at the quantification stage of the support analysis from

the general considerations outlined in paragraph 202 above as well as the factors discussed earlier in these Reasons at paragraph 180 relating to entitlement on this ground. In these circumstances, the following additional points emerge from the caselaw:

1. The extent to which a child will be expected to contribute to their post-secondary education costs depends on the particular facts and dynamics of each case. This duty to contribute does not necessarily require that the child devote their entire earnings to their educational expenses. If possible, children should be allowed to enjoy some of the fruits of their labour. However, where the means of the parents and the children are limited, the contribution expected from the child may very well increase (*Mickle v. Mickle*, 2008 CarswellOnt 193 (C.A.); *Wesemann*, at para. 22; *MacEachern v. Bell*, at para. 146).
2. The court should ascertain whether the child has applied for or is eligible for student loans or other financial assistance, or has received any grants, bursaries or scholarships, and if so, the amounts received. These factors may influence both the general approach which the court adopts under section 3(2) of the *Guidelines* and the appropriate amount of the child's contribution.
3. Whether the availability of student loans should be considered in determining the child's ability to contribute is a discretionary matter to be assessed on a case-by-case basis having regard for the facts of each situation (*Roth v. Roth*, 2010 CarswellOnt 2918 (S.C.J.), at para. 16; *Taggart*, at para. 9; *MacEachern v. Bell*, at para. 146). Children of parents who can afford to cover post-secondary expenses are not necessarily required to finance their education with student loans (*Rebenchuk*, at para. 38; *Taggart*, at para. 9). However, there are no hard and fast rules regarding this issue, and the trial judge's exercise of discretion on this issue will be deferred to provided that the conclusion reached was reasonable (*Smith v. Selig* 2008 NSCA 54 (C.A.), at para. 20).
4. The appropriateness of the child's educational plan is often a key factor in calculating the quantum of support. If the educational program is well suited to the child's strengths and interests and will support the child's future employment prospects, this may impact both the approach which the court adopts for the child support analysis and the amount that the payor parent is required to contribute. If the court concludes that the standard *Guidelines* approach is appropriate, this factor will be relevant to the analysis pursuant to section 7(1) of the necessity of the post-secondary expenses in relation to the child's best interests. In reviewing the child's educational and career plan, important considerations will include the nature and quality of the plan, the duration of the proposed study period, the prospects of the child succeeding in the program, the potential benefit of the studies and the associated cost of the course of study (*MacEachern v. Bell*, at para. 146).
5. The aptitude and abilities of the child, their level of maturity and commitment to their education, and how well they are performing in their studies are also key

factors at the quantification stage. If the child is not performing well, this may support a deviation from the standard *Guidelines* approach and may influence the court's decision regarding the appropriate contributions from the parents and the child. This factor becomes particularly important if there is a request for ongoing child support beyond the first diploma or degree (*Rebenchuk; Wiewiora v. Wiewiora*, 2014 CarswellMan 689 (Q.B.)).

6. The cost of the program which the child has chosen as compared to other comparable and available options will also be relevant (*Penn v. Penn*, 2014 ONSC 6321 (S.C.J.)). While the courts tend to support children with respect to their choice of a post-secondary education program, the child may be called upon to make a greater contribution to their education costs if their choice comes with a higher price tag than other comparable option (*Wesemann*).
7. The courts also consider the willingness of the child to remain reasonably accountable to the parents with respect to their post-secondary education plans and progress. If a child is unwilling to remain accountable, or has terminated their relationship with a parent without reasonable cause, this may impact the approach which the court adopts and the amount which the parents are required to contribute.
8. The intention of the parties with respect to post-secondary education when they cohabited may also influence the court's decision regarding quantum. If there was a clear plan regarding the educational plan for the child and the level and duration of support which the parties intended to contribute to the child, this may be a significant factor in determining the appropriate approach and contribution from the parties (*Lewi; R.(T.M.) v. R. (J.W.R.)*, 2013 CarswellBC 3875 (S.C.)).
9. Another important factor is whether the child is completing their first post-secondary degree or is engaged in post-graduate studies.
10. The age of the child may also impact the approach to the support calculation and the quantum of support for an adult child engaged in post-secondary studies. There is generally an expectation that the child should assume a greater responsibility for their own support as they age. In *Cook v. Plante*, 2007 CarswellOnt 7385, [2007] O.J. No. 4459 (S.C.J.), at para. 17, Kane J. held that it is not unreasonable to expect a post-secondary student to contribute a gradually increasing portion of their post-secondary expense as they age and advance in their studies, particularly if their parents have limited income levels.

E. The Law Respecting Retroactive Child Support

1. General Principles

[205] Shakeel's claim for contribution to section 7 expenses includes numerous historical expenditures that he incurred for Sabaa's cell phone, orthodontic treatment and

extracurricular expenses. A review of the law respecting retroactive child support claims is therefore necessary.

- [206] The Supreme Court of Canada set out a comprehensive framework for the analysis of retroactive child support claims in *D.B.S.* both in the context of original applications for support and in proceedings to retroactively increase child support. The court revised this framework in the child support context in the cases of *Michel* and *Colucci*, but the analysis set out in *D.B.S.* remains relevant in both the child support and spousal support contexts.
- [207] As I discussed in *A.E. v. A.E.*, and *M.A.B. v. M.G.C.*, the analysis of the law regarding retroactive support must begin with the meaning of the word “retroactive.” In particular, the question is whether this term relates only to the period prior to the commencement of the current proceeding, or whether it also encompasses the period right up until a final order is made in the proceeding. I concluded in those cases that the law as it currently stands respecting retroactive support applies to the period preceding the date when the final order is made in the current proceeding before the court (*A.E. v. A.E.*, at para. 196; *M.A.B. v. M.B.G.*, at para. 449; relying on *Kerr v. Baranow*, 2011 SCC 10 (S.C.C.), at para. 211 and *Gray v. Rizzi*; see also *Colucci*, at para. 113 (3)).
- [208] In *Colucci*, the Supreme Court of Canada held that in variation proceedings to retroactively increase child support, the court must first determine whether there has been a material change in circumstances since the existing child support order was made. If this threshold requirement is established, the following analytical framework applies:
1. A presumption arises in favour of retroactively increasing child support starting from the date when the recipient gave the payor “effective notice” of their claim for relief, up to a maximum of three years prior to the date when the recipient gave the payor “formal notice” of the claim to vary. In claims for retroactive child support, effective notice requires only evidence that the recipient broached the subject of child support with the payor, or if child support is already being paid, that the current amount of child support should be discussed and re-negotiated. The court considered this approach advisable because the appropriate *Table* amount is based on the payor’s income, the payor has the pertinent information regarding their income and overall financial circumstances and the child support recipient typically has an informational disadvantage (*Colucci*, at para. 86). Cases decided prior to *Colucci* held that to establish “effective notice,” there must be a reasonably identifiable date when the issue of support was raised. Vague assertions about having talked to the payor about support at some time in the past will not suffice (*Hansen v. Clark*, 2008 MBQB 324 (Q.B.), aff’d 2009 MBCA 69 (C.A.)).
 2. Where no effective notice was given by the recipient, child support should presumptively be increased starting from the date when formal notice to the payor was given. In *D.B.S.*, the court indicated that formal notice is not necessarily the commencement date of the proceeding, and that it could be some other type of formal notification to the payor of the request for support or an increase in support.

3. Once the court determines the presumptive date for the commencement of a retroactive child support award, it must then consider whether a departure from that date is appropriate on the facts of the case in order to achieve a fair and just result (*Colucci*, at para. 71). This discretion includes the ability to extend the award further back in time than the soft general limit of three years prior to formal notice, or prior to the date of effective notice, particularly where a payor has engaged in blameworthy conduct (*Colucci*, at para. 45). It also includes the discretion to fix the commencement date for a retroactive claim to a date after court proceedings were commenced, and even up to the time of trial in appropriate circumstances (*Colucci*, at para. 95). In carrying out this discretionary analysis, the court should strive to achieve a fair balancing of the three interests at play in claims for retroactive increases in support, namely: the child's interest in a fair standard of support; the payor's interest in certainty and predictability; and the interest of the child and recipient in flexibility. It should also be guided by the four general considerations set out in *D.B.S.* (the "*D.B.S. factors*"), which the court has now elaborated upon and updated. These four factors are as follows:
 - a) Whether the party seeking retroactive support had an understandable reason for the delay in giving effective notice of their claim or seeking relief from the courts;
 - b) The conduct of the support payor;
 - c) The past and present circumstances of the child; and
 - d) Any hardship that may result by granting retroactive relief, and by extending the temporal scope of a retroactive award.
4. If the payor has failed to disclose a material increase in income and to address their corresponding child support obligations appropriately, that failure typically qualifies as blameworthy conduct and the date of retroactivity will generally be the date of the increase in income.
5. None of the four discretionary *D.B.S.* factors are decisive. In weighing the factors, the court must keep in mind that a claim for retroactive child support is for a legally enforceable debt, and should not treat child support as a lesser form of debt entitled to unusual leniency that is not available in other areas of debtor-creditor law (see also *Michel*, at para. 109).
6. The payor's interest in certainty and predictability is the most compelling in situations where there is a court order and the payor has been complying with the terms of the order. Conversely, the payor cannot rely on their interest in certainty and predictability in defending a retroactive claim if there is evidence that they have not abided by the terms of the order (*D.B.S.*, at para. 98).
7. Once the court has determined that retroactive child support should be awarded from a particular date, the increase must be quantified. The proper amount of

support for each year since the date of retroactivity must be calculated in accordance with the relevant legislation and *Guidelines*.

- [209] The framework set out above should be applied both to retroactive claims respecting the *Table* amount of support and contribution to section 7 expenses (*Hetherington v. Tapping*, 2007 BCSC 209 (BCSC), at para. 20; *Smith*, at paras. 25-26; *A.E. v. A.E.*, at para. 200). Cases decided before *Colucci* held that the court should in dealing with those claims base its decision on the actual incomes of the parties for each year under consideration (*Vanos*, at paras. 13-16).

2. Understandable Reason for the Delay in Advancing the Claim

- [210] In *D.B.S. and Michel*, the Supreme Court of Canada held that in considering the issue of delay, the court must be sensitive to the practical concerns associated with pursuing child support proceedings. It emphasized in *Michel* that delay in advancing a child support claim is not, in itself, inherently unreasonable, and that the appropriate question is whether the claimant has provided understandable reasons for the delay (at paras. 111, 113). A delay by the recipient will only be prejudicial to their claim if it is deemed to be unreasonable, “taking into account a generous appreciation of the social context in which the claimant’s decision to seek child support was made” including any concerns respecting family violence or access to justice challenges (*Michel*, at para. 113; see also *D.B.S.*, at para. 101).

- [211] The Supreme Court of Canada has held that understandable reasons for delay in giving effective notice or commencing legal proceedings to advance a child support claim may include the following:

1. Fear of the support payor due to concerns respecting family violence or other factors;
2. Intimidation by the support payor;
3. Reasonable grounds to fear that the payor would react vindictively to raising the support issue, including advancing a claim for primary residence of the child;
4. Lack of financial means to commence a legal proceeding;
5. Mental, emotional or physical health challenges that impacted the recipient’s ability to deal with the child support issues;
6. The recipient’s inability to locate or contact the payor parent;
7. The fact that the support order was assigned to a government agency;
8. Inadequate legal advice; and
9. The conduct of the payor with respect to disclosure issues, since inadequate disclosure may create an information asymmetry that results in the recipient

lacking the information required to determine whether action on their part is appropriate.

(*D.B.S.*, at para. 101; *Michel*, at paras. 83-87; *Colucci*, at para. 98).

[212] In *Michel*, the court indicated that the court may pay particular attention to the length of any delay in pursuing proceedings after the cause of the delay has ceased to exist. The longer the delay after that point, the less likely the court will be to find that the delay was reasonable (*Michel*, at para. 113).

[213] In *Henderson v. Micetich*, 2021 ABCA 103 (C.A.), the Alberta Court of Appeal held that the legal developments relating to the factor of delay by the recipient are such that delay now “has a very limited role to play in determining the availability and extent of a retroactive child support order” (at para. 44). It added as follows:

44 Put simply, delay has a very limited role to play in determining the availability and extent of a retroactive child support order. Any delay on the part of a recipient parent must be viewed in light of available information, resources, and social context, including gender, social and economic inequities. Given the structure of the *Guidelines* and the well understood, and now widely accepted, philosophy that child support is an obligation on the part of both parents, the amount of which depends on the payor's income, there will be few cases where delay can be truly seen as unreasonable or a factor that should preclude the award of previously-owed support to children.

3. Conduct of the Payor

[214] The Supreme Court of Canada discussed at length the payor's conduct as a factor in the retroactive support analysis in *D.B.S.*, *Michel* and *Colucci*. It held that both positive conduct and blameworthy conduct are relevant to the analysis and emphasized that blameworthy conduct by the payor is not a pre-requisite to success in a retroactive claim (*D.B.S.*, at para. 98; *Michel*, at para. 119; see also *Goulding v. Keck*, 2014 ABCA 670 (C.A.), at para. 48). The court has directed judges to take an expansive view of what constitutes “blameworthy conduct” in the context of analyzing a retroactive child support claim, and has characterized the phrase as encompassing “anything that privileges the payor parent's own interests over his/her child's right to an appropriate amount of support” (*D.B.S.*, at para. 106; *Michel*, at para. 115). It has stressed that a payor parent who knowingly avoids or diminishes their support obligation to their children should not be allowed to profit from such irresponsible conduct (*D.B.S.*, at para. 60; *Michel*, at para. 31). The court has also noted that a payor who does not automatically increase support payments when their income increases is not necessarily engaging in blameworthy conduct that may influence the retroactive support analysis. In such circumstances, the issue of whether the conduct is inappropriate is a matter for the court's discretion based on all of the circumstances of the case (*D.B.S.*; *Rosenberg v. Gold*, 2016 ONCA 565 (C.A.), at paras. 68-71).

- [215] In *Michel*, the court emphasized that in assessing a payor parent's conduct for the purposes of the retroactive analysis, the focus should not be on the payor's subjective intent in acting as they did in relation to child support issues. The payor's intent may be a basis on which to increase blameworthiness, but the primary focus must remain on their actions and their consequences and whether they had the *effect* of privileging their own interests over the child's right to support (*Michel*, at para. 118; see also *Henderson*, at para. 55).
- [216] Evidence of blameworthy conduct by the payor may justify expanding the temporal scope of a retroactive award or increasing the amount by providing for interest or costs (*Michel*, at para. 119). Examples of blameworthy conduct that militate in favour of a more expansive retroactive claim include:
1. Hiding income increase from the recipient in the hopes of avoiding larger child support payments;
 2. Failing to disclose a material change in circumstances, including an increase in income that one would expect to alter the amount of child support;
 3. Intimidating the recipient to dissuade them from advancing a support claim;
 4. Misleading the recipient into believing that they are meeting their support obligations when they are not (*D.B.S.*, at paras. 106 and 124);
 5. Failing to comply with orders requiring annual income disclosure so that child support can be reviewed, or with orders directing that child support be increased in the event of income increases (*R. (M.K.) v. R. (J.A.)*, 2015 NBCA 73 (C.A.), at para. 23; *Costa v. Perkins*, 2012 ONSC 3165 (Div. Ct.), at para. 38; *Hausmann v. Klukas*, 2009 BCCA 32 (C.A.); leave to appeal refused 2009 CarswellBC 1573 (S.C.C.)); and
 6. Failing to disclose all information relevant to the child support issues, providing inadequate disclosure and delaying disclosure.
- [217] In *D.B.S.*, *Michel* and *Colucci*, the court held that these forms of conduct will weigh heavily against a payor in retroactive support cases, and may support retroactive relief back to the date of separation or the date when the payor's circumstances changed materially, rather than from the date of effective notice (*D.B.S.*, at para. 125; *Michel*, at paras. 32-33, 36).

4. Past and Present Circumstances of the Child

- [218] The child's past and current circumstances and needs are important considerations in awarding and calculating retroactive child support. The purpose of the inquiry at this stage is to determine how the failure to pay adequate child support has affected the child (*Henderson*, at para. 58). If the child has experienced hardship or deprivation in the past or they are in need at the time of the hearing, this will weigh in favour of a retroactive award and extending the temporal reach of the award (*Michel*, at paras. 120-121). In *Goulding*, the Alberta Court of Appeal highlighted that the requirement of considering the

past and current circumstances of the child does not impose a burden on the recipient parent to prove significant need on the part of the child in order to succeed on a retroactive claim. As the court stated, “a payor parent cannot avoid a retroactive award by arguing that, despite his or her past default, the recipient was able to sufficiently care for the child on his or her own (at para. 51; see also *Swiderski v. Dussault*, 2009 BCCA 461 (C.A.) at para. 42). More recently, in *Michel*, the Supreme Court of Canada emphasized that while evidence of need or hardship on the part of the child is relevant to the analysis of a retroactive child support claim, it is not a necessary antecedent to an award for retroactive child support (*Michel*, at para. 122). The court recognized that in many situations, children’s financial needs may have been met both historically and at present because the party seeking retroactive support made sacrifices and absorbed the financial hardship on their own so as to prioritize the child’s wellbeing. It underscored that in such circumstances, there is no principled reason why that parent should receive less support because of the choices that they made to protect their child and ensure that the child’s needs were met (at para. 123). As the court stated at para. 123:

Thus, the fact that a child did not have to suffer hardship because of their custodial parent’s sacrifice is not one that weighs against awarding retroactive or historical child support. Rather, a recipient parent’s hardship, like that of a child, weighs in favour of the award of retroactive child support and an enlarged temporal scope.

- [219] The Alberta Court of Appeal reiterated in *Henderson* that there is no absolute requirement to prove any past or current need or deprivation on the part of the child for a recipient to receive as retroactive support amounts that the payor has failed to pay (at para. 60). The court held that a loss of benefit to the child is presumed where the payor parent fails to pay the amount of support required under the *Guidelines*, since children are fundamentally entitled to receive child support from both of their parents (at para. 62). In addition, the court held it is not appropriate to deny or restrict retroactive relief on the basis that a third party such as the support recipient’s new partner or their family members has assisted in supporting the child, since doing so essentially absolves the payor parent of their statutorily prescribed legal obligations (at para. 61).

5. **Hardship to the Payor**

- [220] The fourth factor to consider in addressing a retroactive child support claim is any hardship that may result to the payor from granting a retroactive award. This factor takes into account the ease with which the payor might be able to pay the award (*Michel*). Hardship is simply one of the factors to weigh in addressing retroactive claims, and evidence relating to the other factors may lead the court to conclude that hardship concerns should take a back seat in terms of priority (*Michel*, at para. 124; *Colucci*, at para. 108). In particular, hardship considerations will be much less of a concern where they are the by-product of the payor’s blameworthy conduct (*Michel*, at para. 124; see also *D.B.S.*, at para. 116; *Colucci*, at para. 108). The courts have also emphasized that any concerns regarding potential hardship can often be mitigated by crafting the retroactive order in a way that

spreads payment of any arrears over a period of time (*D.B.S.; Goulding; Henderson; Giesbrecht v. Giesbrecht*, 2024 ABCA 67 (CA.), at para. 16).

- [221] In *Michel*, the Supreme Court of Canada stressed that hardship to the payor must be significant in nature in order to have relevance to the retroactive support analysis. In her discussion of hardship at paragraph 124, Martin J. specifically used the phrase “undue hardship” in discussing the type of hardship that may impact the court’s inquiry. Drawing from the caselaw respecting the meaning of “undue hardship” pursuant to section 10 of the *Guidelines*, I conclude that the hardship that will be relevant for the purposes of the retroactive support analysis must be quantitatively significant in nature, and not merely awkward or inconvenient (*Hanmore v. Hanmore*, 2007 ABCA 57 (C.A.); leave to appeal refused 2000 CarswellAlta 1274 (S.C.C.); *A.E. v. A.E.*, at para. 214).
- [222] The court emphasized in *Michel* that a broad consideration of hardship is appropriate in carrying out the retroactive support analysis (at para. 114). It noted that hardship considerations are not limited to the payor, since a retroactive award could also cause hardship to the payor’s other children. In *Michel* and *Colucci*, the court added that while the focus in considering this factor is on hardship to the payor, the hardship assessment is a holistic and relative one that must be placed in its overall factual matrix (*Michel*, at paras. 125-126; *Colucci*, at para. 108). In particular, the extent of that hardship can only be properly assessed and weighed against the hardship that would be caused to the child and the recipient parent from denying or limiting retroactive relief (*Michel*, at paras. 125-126; *Colucci*, at para. 108; see also *Henderson*, at para 65). The Supreme Court of Canada has recognized that recipient parents are typically left to “pick up the slack” to cover the child’s expenses and are sometimes forced to go into debt themselves to meet the child’s needs when the payor parent does not live up to their child support obligations. Accordingly, “the hardship caused to the child and the recipient parent from non-payment of support is also a crucial part of the equation” (*Michel*, at para. 126; *Colucci*, at para. 108; *Henderson*, at paras. 68-70).
- [223] From an evidentiary standpoint, the payor must establish clear evidence from which a reasonable finding of hardship can be made. Bald assertions of hardship will not suffice, and hardship is not simply established by the fact that the payor will have to pay a significant retroactive award (*Colucci*, at para. 107; *Goulding*, at para. 58). If the payor relies on hardship to avoid or restrict a retroactive award, they must provide a complete picture of their financial situation, including their income, assets and debts (*Colucci*, at para. 107).

II. ANALYSIS OF THE CHILD SUPPORT ISSUES

A. Issue #1: Has There Been a Change In Circumstances Respecting Sabaa’s Entitlement to Child Support?

- [224] As I have noted, Shagufta’s counsel raised the question of Sabaa’s ongoing entitlement to child support in his Closing Submissions despite the fact that Shagufta did not seek to vary the term of the November 25, 2014 order requiring her to pay monthly child support in the

amount of \$270.00. It is therefore necessary to address the issue of entitlement out of an abundance of caution.

- [225] I am satisfied that Sabaa has remained a child of the marriage and entitled to support since she turned 18 years of age in February 2022. Specifically, I find that she has remained under Shakeel's charge and unable to withdraw from that charge or to obtain the necessities of life based on her enrolment in a reasonable program of full-time educational studies which will support her prospects of achieving financial independence in the future. She was in school on a full-time basis completing her secondary school studies until late June 2022. She was dedicated and diligent in her studies and achieved an overall grade average of 80%. The school board enrolled her in the Specialist High Skills Major program based on her special interest and talent in the areas of software editing and photography. This program allows students to focus on customized, career-focussed opportunities while working towards their Ontario Secondary School Diploma.
- [226] Sabaa began a four year Bachelor of Business Administration degree at Brock University in September 2022 and has engaged in a course of studies that will support her long-term goal of establishing a career in software editing and management. She has continued to reside full-time with Shakeel and Ms. Habib, and she commutes to school by public transportation. I find that this program is very much suited to Sabaa's interests and strengths, and that Sabaa is progressing well in her studies. She has been accountable to her parents about her progress. She took the maximum possible number of courses in her first year. She started her second year in September 2023 and decided to reduce her course load somewhat, but she is still considered a full-time student according to the university's policies. Sabaa had well-founded reasons for easing her course load. Her commute to and from school each day is quite long and has added considerably to the stress of pursuing her studies. Additionally, it has been necessary for her to contribute financially to her studies and her own support. Shagufta testified that she sent \$1,400.00 to Sabaa in 2022 so that she could purchase a Mac Notepad for her studies, but I find that she has not made any other financial contributions to Sabaa's post-secondary education expenses. As I discuss in further detail below, Shakeel has contributed to these expenses to the best of his ability, but he has not had sufficient funds to cover all of the costs. For these reasons, it was necessary for Sabaa to obtain part-time work starting in 2023 to finance her education. Since that time, she has been working part-time at a clothing store.
- [227] I conclude that Sabaa has remained unable to withdraw from parental charge and to obtain the necessities of life on her own since she turned 18 years of age. Her 2022 income was only \$4,128.00. She earns minimum wage in the amount of \$16.55 per hour in her job at the clothing store, and she typically works between 15 to 20 hours a week, mostly on weekends. Assuming that she works on average 17 hours a week, this would translate into an annual income of only \$14,630.20, which is insufficient for her to live independently. Moreover, she is applying most of the income that she earns towards her educational expenses.

B. Issue #2: Have there Been any Other Material Changes in Circumstances Relevant to Child Support Since November 25, 2014?

[228] While there has not been a material change in circumstances respecting Sabaa's entitlement to child support since November 25, 2014, there have been several other changes in circumstances relevant to child support since that time. As previously noted, both parties conceded that the threshold test for variation of child support has been satisfied. By way of summary, the material changes in circumstances are as follows:

1. Shakeel's income has increased in a material and consistent manner.
2. However, as discussed at length above, Shakeel's financial responsibilities in relation to other family members have also increased significantly since 2017. He now bears the financial burden of supporting his elderly parents, his new wife and his younger children.
3. I have imputed a material increase in Shagufta's income since 2014.
4. Sabaa turned 18 years of age on February 7, 2022, which necessitates an analysis of whether the standard *Guidelines* approach to calculating child support pursuant to section 3(1) of the *Guidelines* is inappropriate.
5. Finally, Sabaa began her post-secondary studies in September 2022, which resulted in a substantial increase in her annual financial needs.

C. Issue #3: Should Shakeel be Permitted to Advance a Retroactive Claim for Contribution to Historical Section 7 Expenses?

1. The Claim for Contribution to Cell Phone Expenses

[229] Turning to the details of Shakeel's child support claims, he seeks contribution from Shagufta for several historical orthodontic, cell phone, swimming lesson and martial arts expenses, as well as post-secondary expenses from 2022 to 2025. Addressing first the claim respecting Sabaa's cell phone expenses, although Harper J. ordered Shakeel to pay these costs pursuant to paragraph 4 of his December 17, 2013 order, this expense does not fall within the scope of section 7 of the *Guidelines*. Harper J.'s Reasons for Judgment and the wording of paragraph 4 of his December 17, 2013 order clearly reflect that this term was included as an incident to the parenting order made on that date, to ensure that Sabaa would be able to communicate regularly with her mother. Taking this context into consideration, I am not satisfied that there have been any material changes in circumstances since December 2013 relevant to child support that would justify a variation of this term. Accordingly, I am dismissing Shakeel's claim for contribution from Shagufta for this expense. However, as I discuss in further detail below, I am taking this expense into consideration in my analysis of Shagufta's spousal support claims as it is relevant to Shakeel's overall financial circumstances.

2. The Commencement Date for the Retroactive Claim for Contribution to Section 7 Expenses

- [230] With respect to the remaining claims for retroactive contribution to historical section 7 expenses, the analysis begins with a determination of when Shakeel gave Shagufta effective and formal notice of these claims. I find that Shakeel gave both effective and formal notice of the claims at the case conference in this proceeding on March 27, 2023. Kril J.'s endorsement of that date includes a notation that Shakeel was requesting contribution to Sabaa's section 7 expenses. Shakeel alleged at trial that he raised the issue of contribution to Sabaa's orthodontic and extracurricular expenses with Shagufta earlier on many occasions over the years, but he acknowledged that he did not have any documentary or other evidence to corroborate this assertion. He did not request an order for contribution to section 7 expenses during the trial before Harper J. in 2013 and 2014, even though he listed Sabaa's orthodontic and extracurricular expenses in his Financial Statement sworn September 3, 2013. Furthermore, he admitted during this trial that he discussed the issue of contribution to section 7 expenses with his former counsel when he commenced the current proceeding, but that he decided not to include a claim for contribution to these expenses in his prayer for relief. All of these considerations lead me to conclude that Shakeel did not in fact sincerely raise the question of contribution to section 7 expenses with Shagufta prior to March 27, 2023. For these reasons, the presumptive temporal scope for Shakeel's request for contribution to section 7 expenses is from March 27, 2023 onward.
- [231] I have considered the *D.B.S.* factors outlined above to determine whether a departure from the presumptive date of March 27, 2023 is appropriate on the facts of this case in order to achieve a fair and just result. Having carefully considered and weighed all of the evidence respecting those factors, I conclude that the balance tips in favour of maintaining March 27, 2023 as the commencement date for the scope of Shakeel's claims. It flows from this conclusion that his claims for contribution to Sabaa's historical orthodontic and extracurricular expenses should be dismissed, since he incurred those expenses prior to March 27, 2023. Although Shakeel did not provide precise dates for when he paid for Sabaa's swimming and martial arts expenses, it was clear from his evidence that they were incurred when Sabaa was still a minor, which would have been prior to February 7, 2022. The evidence adduced at trial indicates that he incurred most of the orthodontic expenses from January 1, 2013 until October 22, 2018, and one further charge of \$250.00 on March 22, 2022.
- [232] With respect to the delay factor, I find that there was no understandable reason for Shakeel's delay in pursuing his claims for contribution to Sabaa's orthodontic and extracurricular expenses. In fact, I conclude that he only decided to advance his claim for contribution to section 7 expenses generally as a "sword and shield" response, after Shagufta gave notice during this proceeding that she was advancing a claim for a retroactive increase in spousal support. I note as well that he did not even identify the question of contribution to section 7 expenses as an issue for trial during the trial scheduling conference before Bale J. on August 1, 2023. There is no evidence of any intimidation tactics or other behaviour on the part of Shagufta that could explain Shakeel's reticence in

seeking this relief earlier. He had legal counsel during the previous court proceeding and at the outset of this proceeding, and he acknowledged that he was aware that he could make a request for payment towards section 7 expenses. He did not raise any concerns about the quality of the legal advice that he had received.

- [233] I have assessed the evidence respecting Shagufta's conduct in relation to child support since November 25, 2014. On the positive side, she consistently paid the monthly amount of \$270.00 in support by way of set-off against her spousal support payments, and she contributed \$1,400.00 towards a Mac Notepad for Sabaa's post-secondary studies in 2022. On the other hand, I find that there was some blameworthy conduct on her part. She acknowledged that she did not comply with paragraphs 2 and 5 of the November 25, 2014 requiring her to produce copies of her Income Tax Returns and Notices of Assessment for the previous year on an annual basis. In any event, based on my conclusions outlined above respecting her lack of credibility and insufficient efforts to increase her income since that time, production of her income tax documents would not have assisted in allowing Shakeel to undertake a meaningful assessment of whether a request for contribution to section 7 expenses was reasonable and appropriate. However, in the context of section 7 expense claims, information regarding the income of both parties is critical. Shakeel acknowledged that he also failed to produce copies of his Income Tax Returns and Notices of Assessment annually after 2014. Accordingly, both parties are equally responsible for creating a situation in which the question of contribution to Sabaa's historical section 7 expenses could not be properly considered and addressed. For this reason, I have not given significant weight to the misconduct factor in relation to disclosure in the analysis of Shakeel's retroactive claims.
- [234] Focussing on Sabaa's circumstances and needs when the historical orthodontic and extracurricular expenses were incurred, and at the time of the trial, Shakeel did not address her past circumstances in any detail during his testimony. However, given that his income was only \$69,435.00 in 2013, and only \$23,753.00 in 2015 following the loss of his job with D & H., I am satisfied that he would have had to make financial sacrifices at least during those periods to cover these expenses. Sabaa has clearly experienced need and financial challenges in more recent years. As I discuss in further detail below, she had to take out an Ontario Student Assistance Program ("OSAP") loan of \$6,040.00 in 2022 to assist in covering her post-secondary education expenses in the first year of her program. Furthermore, as noted above, she reduced her course load during her second year starting in September 2023 so that she could work part-time and pay some of her expenses, rather than taking on another OSAP loan and increasing her debt.
- [235] Finally, I have considered the issue of hardship to Shagufta of awarding retroactive child support and expanding the temporal scope of such relief to many years prior to March 27, 2023. I have discussed at length my concerns about Shagufta's credibility regarding her overall financial condition, means, needs and circumstances, and I reiterate that my conclusions about her income since 2014 are very conservative. Based on these concerns, I find on a balance of probabilities that Shagufta likely has assets and sources of income that she has not disclosed to Shakeel and the court. Notwithstanding these findings, my overall conclusion is nonetheless that Shagufta is of relatively modest means. She

continues to work as a security guard for a low wage. She is now 66 years old and will need to focus in earnest on saving as much as she can to support herself after she can no longer earn income. I accept her evidence that she has no intention of retiring any time soon because she simply cannot afford to. I find that requiring her to contribute to the historical expenses encompassed in Shakeel's retroactive child support claim would cause her significant financial hardship and greatly impair her ability to create a reasonable financial foundation upon which to support herself into the future. Given her age, her modest income even at the levels that I have imputed to her and the need for her to maximize her savings to secure her own long-term financial stability, I am not satisfied that a payment plan in regard to significant retroactive section 7 expenses would alleviate these concerns. I have assessed the issue of hardship to Shagufta as against the hardship that would inure to Shakeel from not expanding the temporal scope of his retroactive child support claim. It is clear that Shakeel is currently experiencing significant financial strain due to his responsibilities towards his parents, his new wife, Sabaa and his other children. However, he is only 52 years of age, he has a pension through his employment with the Toronto Dominion Bank, he owns a home and he has many more years than Shagufta to solidify and improve his financial situation and create a secure foundation for his eventual retirement. Moreover, as I discuss in further detail below, I am reducing his spousal support obligation as of August 1, 2024, and this is another relevant factor in carrying out the hardship analysis respecting to his retroactive child support claim.

- [236] Upon carefully assessing all of these considerations, I conclude that Shagufta's interest in certainty and predictability in regard to child support should be given considerable weight, and that using March 27, 2023 as the commencement date for Shakeel's retroactive claims yields an overall fair and just result. Shakeel's claims for contribution to Sabaa's post-secondary expenses for her first year of university ending in April 2023, and her subsequent undergraduate years which are anticipated to end on April 30, 2026 fall within this temporal boundary.

D. Issue #4: Has Shakeel Adduced Sufficient Proof Respecting the Extracurricular and Orthodontic Expenses?

- [237] I add that even if I had decided to extend the scope of Shakeel's retroactive claim far enough back to include the period during which he incurred the orthodontic, swimming and martial arts expenses, I would have nonetheless dismissed Shakeel's claims for contribution from Shagufta for those items for several reasons. First, in regard to the swimming and martial arts expenses, he simply described them as "four years' worth" of classes. The onus was on him to prove that these extracurricular expenses were necessary in relation to Sabaa's best interests, reasonable in relation to the means of the parties and the family's spending pattern prior to separation and "extraordinary" in nature within the meaning of section 7(1.1) of the *Guidelines*. He failed to adduce sufficient evidence to establish any of these points. In fact, he did not even provide documentary or other evidence confirming the precise periods during which these expenses were incurred or the amounts that he spent each year. In the absence of this basic information, it is impossible to determine what the parties' respective proportionate shares would have been from year to year. In addition, he failed to address the net amount of these expenses after any

available tax deductions and credits, which is problematic as there was a children's fitness tax credit in effect from approximately 2007 until 2017.

[238] Turning to Sabaa's orthodontic expenses, Shakeel set out the sum of \$15,000.00 as the total amount of this expense in his proposed draft order. However, he failed to adduce clear evidence in support of this amount. He produced a statement from Red Hill Orthodontics, which he stated outlined the total cost that he incurred. The statement was somewhat unclear, but Shakeel explained at trial that the amounts listed under the "Patient" ledger with a minus sign before them were those that he paid. Based on this evidence, it appears that he paid \$1,250.00 in 2013, prior to the final order of Harper J. dated November 25, 2014 addressing child support issues, and an additional \$6,230.00 from October 14, 2016 until March 22, 2022, for a total of only \$7,480.00. When I asked him to clarify the discrepancy between this amount and the sum of \$15,000.00 that he listed in his draft order, he suggested that he continued to make payments after March 22, 2022 which were not reflected in the Red Hill Orthodontics statement. Again, the onus was on him to prove the total amount that he incurred and he failed to adduce clear evidence respecting this issue. Even if I were to accept the sum of \$15,000.00 as the total amount that he spent, Shakeel failed to adduce evidence respecting the net amount that he incurred. In particular, he did not address whether Sabaa was covered for orthodontic treatment under any benefits plans available to him through his employment, or through Ms. Habib's employment after they were married in 2017, and if so, the amounts that he was reimbursed through any such benefits plans. The statement from Red Hill Orthodontics includes a ledger for "Insurance," but no amounts are shown in that column. However, that information is not determinative, as some dental professionals do not put claims through directly to the benefits provider and require patients to submit the claims to the provider. Furthermore, the evidence indicates that Shakeel did in fact have benefits available to him through his employment during the periods when he incurred the orthodontic expenses. Specifically:

1. His Financial Statement sworn September 3, 2013 indicates that he was paying monthly premiums for a benefits plan through his employment with D & H., where he worked from 2012 until 2015;
2. The pay statement for the pay period ending April 27, 2013 attached to his September 3, 2013 Financial Statement confirms this point;
3. His Financial Statement sworn September 9, 2022 indicates that he was paying monthly premiums for benefits available to him through his employment with the Toronto Dominion Bank, where he began to work on a contract basis in 2016, and on a full-time permanent basis in 2017;
4. His pay statement for the pay period ending September 4, 2022 which is attached to his September 9, 2022 Financial Statement confirms this point;
5. His Financial Statement sworn September 29, 2023 shows that he continued to pay premiums for benefits available to him through his employment with the Toronto Dominion Bank at that time; and

6. The pay statements for the pay periods commencing on August 21, 2023 and ending on September 17, 2023 attached to the September 29, 2023 Financial Statement confirm this point.

[239] Shakeel had the onus of providing full and understandable evidence respecting the net cost of Sabaa's orthodontic treatment from which the court could then calculate the parties' respective proportionate shares. I have reviewed Shakeel's oral evidence as well as the available documentary evidence respecting Sabaa's orthodontic treatment in painstaking detail, and I conclude that it is simply impossible based on the evidence before me to determine the net cost of this expense. Accordingly, I would have dismissed Shakeel's claim for contribution to this expense as well quite apart from my conclusion that these expenses fell outside of the appropriate temporal scope of his retroactive child support claim.

E. Issue #5: Should the Claim for Contribution to Post-Secondary Expenses be Calculated Pursuant to Section 3(2)(a) or 3(2)(b) of the Guidelines?

[240] Shakeel's claim for contribution to Sabaa's post-secondary expenses falls within the appropriate temporal period for his child support claim, and therefore I turn now to this claim. As I have previously indicated, Shakeel has set out the sum of \$10,000.00 for each year of Sabaa's undergraduate degree as the estimated total cost of her post-secondary studies, and he seeks a *pro rata* contribution from Shagufta for each year.

[241] The first issue to address in dealing with Shakeel's claim is whether the standard *Guidelines* approach to calculating child support as set out in section 3(2)(a) of the *Guidelines* is appropriate, or whether child support should be calculated pursuant to section 3(2)(b). I find that the standard *Guidelines* approach is appropriate on the facts of this case. Sabaa has continued to reside with Shakeel on a full-time basis and as I have previously noted, her income in 2022 was only \$4,123.00. Although her annual income will be higher from 2023 onward based on her decision to work part-time during her studies, I have estimated that it will only be in the range of approximately \$14,630.00. In my view, the most appropriate approach is to consider that income in determining her appropriate contribution to her post-secondary expenses. Adopting such an approach, the facts of this case do not displace the basic assumptions upon which the *Table* amounts are based. There is no clear and compelling evidence in support of deviating from the standard *Guidelines* approach.

[242] I recognize that in this case, Shakeel has not requested that the monthly *Table* amount of child support payable by Shagufta be adjusted upward based on any increases that the court finds to her income. The monthly amount will therefore remain at \$270.00 per month based on the income of \$30,000.00 that Harper J. previously imputed to her, despite the fact that I have imputed a higher income to her from 2016 onward. This is one of the factors that I have considered in deciding to reduce Shagufta's spousal support payments to \$270.00 per month commencing August 1, 2024.

F. Issue # 6: Should Shagufta be Required to Reimburse Shakeel for any of Sabaa's Post-Secondary Expenses?

- [243] Sabaa's tuition and mandatory school fees for her first year of university from 2022 to 2023 totalled \$7,429.00. As of September 2022, Shakeel had a RESP in the amount of \$17,537.06, and I find that he paid these fees from that RESP. I also find that Shagufta contributed \$1,400.00 towards the cost of a Mac Notebook for Sabaa for the purpose of her studies. Sabaa covered the remainder of her post-secondary expenses through her personal earnings and an OSAP loan of \$6,040.00. Those expenses included all textbooks and necessary school supplies and the significant cost of commuting to and from school by public transportation, which was approximately \$25.00 per day.
- [244] For the reasons set out above regarding Sabaa's ongoing entitlement to support, I find that her post-secondary expenses were necessary and reasonable in relation to the means of Sabaa and the parties. Sabaa wished to reside in residence, but she opted to continue living at home to save on expenses. I am satisfied that Sabaa contributed an appropriate amount towards her first year expenses through her savings and OSAP loan. Having regard for the financial challenges that both parties have faced since 2022, it was reasonable to expect her to finance her education in part through student loans. The balance of Sabaa's post-secondary expenses for tuition, mandatory fees and the Mac notebook totalled \$8,829.00.
- [245] The parties established a RESP through the National Bank for Sabaa during their relationship, which was in Shagufta's sole name. The balance in this RESP as of March 31, 2023 was approximately \$4,185.00. No evidence was adduced respecting the value as of the conclusion of trial, and therefore I use this amount as the best available evidence for the purposes of my analysis. Shagufta testified that she had been unable to cash out this RESP to date because she did not have decision-making responsibility or primary residence of Sabaa, and she therefore required Shakeel's cooperation to close out the account and obtain the funds. Sabaa is now an adult, and therefore it is difficult to conceive how this could continue to be an issue. In any event, I am ordering that the parties and Sabaa forthwith take all necessary steps to close out this RESP, and that the funds remaining in the account be paid out to Shakeel as partial reimbursement for the tuition and other mandatory fees that he paid towards Sabaa's post-secondary expenses for her first year from 2022 to 2023. Since those funds were accumulated during the marriage as a result of the joint efforts of the parties, both financially and in terms of allocation of household and child-care responsibilities, I am considering the amount of \$4,185.00 as being an equal contribution to these expenses by both of the parties. This will yield a balance of \$3,244.00 having been paid by Shakeel (\$7,429.00 - \$4,185.00 = \$3,244.00). There is no evidence that Sabaa transferred any of her unused tuition amounts to either parent for tax credit purposes. Based on Shakeel's 2023 income of \$116,166.00 and Shagufta's imputed 2023 income of \$41,692.00 and using the existing amount of spousal support of \$886.00 per month, which is not being varied for 2023, Shakeel's total income for the purposes of apportionment of section 7 expenses is \$105,534.00 (after backing out spousal support) and Shagufta's income for apportionment purposes is \$52,324.00 (after including spousal support). The apportionment for the purposes of section 7 expenses is therefore 66.9% for Shakeel and 33.1% for Shagufta (see Schedule "A"). This results in Shagufta having to

pay a total of \$137.16 to Shakeel assuming that the RESP is paid out to Shakeel. However, I am not requiring her to make this payment having regard for my findings respecting her overall financial situation. As I explain in the following paragraph, I conclude that on the facts of this case, the more sensible and just approach based on the overall financial circumstances of the parties and their objectives in this case is to not apportion the post-secondary expenses, but to consider Shakeel's higher contribution as part of the spousal support analysis.

- [246] Sabaa's total tuition and other mandatory school fees for her second year of university from 2023 to 2024 totalled approximately \$4,089.00. Shakeel paid this amount from the balance of the RESP that he has established for Sabaa's education. Sabaa paid for the remainder of her second year university costs. Shagufta has not made any contributions to the expenses. As I discuss in further detail below, I have concluded that Shagufta's spousal support payments should decrease to \$270.00 per month commencing August 1, 2024. This would result in her having an income for the purposes of section 7 apportionment of approximately \$44,932.00 as of August 2024 (including spousal support). Using Shakeel's reasonable projected 2024 income of \$118,00.00 and backing out spousal support, his income for apportionment purposes is \$114,760.00. Shagufta's *pro rata* share of the expenses would therefore be 28.1%, which translates into \$1,149.00 (see Schedule "B"). However, I am not requiring Shagufta to pay this amount. Instead, once again, I have decided that the most appropriate approach is to allocate the entire amount of this expense to Shakeel, but to take this into account in the spousal support analysis as a factor in my decision to reduce spousal support payable to Shagufta. My determination that Shagufta should not be required to contribute to Sabaa's first and second year university expenses is based on my concerns regarding her very modest financial means, her age at the time of separation and at present, my decision to reduce spousal support as of August 2024 and to terminate it as of April 30, 2026, and the reality that Shagufta will need to focus on saving every penny she makes for her eventual retirement. Furthermore, I am satisfied that Sabaa is readily able to cover the additional amount of \$1,149.00 that would otherwise be payable by Shagufta from the earnings that she is making through her part-time employment. While this places an additional financial burden on Sabaa, it is the most just outcome based on her mother's age and her challenging financial realities.
- [247] Shakeel estimated that Sabaa's post-secondary expenses for her third and fourth years will be similar to those in her second year. My conclusions set out above in relation to her second-year expenses apply equally to the remaining years of her studies. Based on the unique circumstances of this case, I am not requiring Shagufta to contribute to Sabaa's educational expenses for these years, but as discussed below, the allocation of the full amount for tuition and other fees to Shakeel impacts the spousal support analysis in Shakeel's favour. I have considered all of the evidence respecting Shakeel's difficult financial circumstances, but I note that he has had the financial means to set funds aside for an RESP for Sabaa despite those challenges. As of September 29, 2023, the balance in the RESP was \$17,537.06. This amount is sufficient to cover Sabaa's tuition and other mandatory fees for her second, third and fourth years, without Shakeel having to draw upon his income any further to cover the expenses.

PART 6: THE SPOUSAL SUPPORT ISSUES

I. THE LAW RESPECTING SPOUSAL SUPPORT

A. Statutory Provisions and General Principles

- [248] Turning to the Applicant's spousal support claims, the analysis of those claims is governed by the *Divorce Act*. Sections 15.2(1) to (3) of the Act set out the court's jurisdiction to make either an interim or final order requiring a spouse to pay such spousal support as the court considers reasonable, as follows:

Spousal support order

15.2 (1) A court of competent jurisdiction may, on application by either or both spouses, make an order requiring a spouse to secure or pay, or to secure and pay, such lump sum or periodic sums, or such lump sum and periodic sums, as the court thinks reasonable for the support of the other spouse.

Interim order

(2) Where an application is made under subsection (1), the court may, on application by either or both spouses, make an interim order requiring a spouse to secure or pay, or to secure and pay, such lump sum or periodic sums, or such lump sum and periodic sums, as the court thinks reasonable for the support of the other spouse, pending the determination of the application under subsection (1).

Terms and conditions

15.2(3) The court may make an order under subsection (1) or an interim order under subsection (2) for a definite or indefinite period or until a specified event occurs, and may impose terms, conditions or restrictions in connection with the order as it thinks fit and just.

- [249] Section 15.2(6) of the *Divorce Act* describes the general objectives of spousal support as follows:

Objectives of spousal support order

15.2(6) An order made under subsection (1) or an interim order under subsection (2) that provides for the support of a spouse should

1. recognize any economic advantages or disadvantages to the spouses arising from the marriage or its breakdown;
2. apportion between the spouses any financial consequences arising from the care of any child of the marriage over and above any obligation for the support of any child of the marriage;

3. relieve any economic hardship of the spouses arising from the breakdown of the marriage; and
4. in so far as practicable, promote the economic self-sufficiency of each spouse within a reasonable period of time.

[250] Other important objectives reflected in the *Divorce Act* that must be considered in making a spousal support order are finality, certainty and the autonomy of parties to determine their own affairs (*Miglin v. Miglin*, [2003] 1 S.C.R. 303 (S.C.C.), at paras. 57-58, 86).

[251] Section 15.2(4) of the *Divorce Act* outlines the factors that the court must consider in making a spousal support order:

Factors

15.2(4) In making an order under subsection (1) or an interim order under subsection (2), the court shall take into consideration the condition, means, needs and other circumstances of each spouse, including

- a) the length of time the spouses cohabited;
- b) the functions performed by each spouse during cohabitation; and
- c) any order, agreement or arrangement relating to support of either spouse.

[252] Section 15.2(5) of the *Divorce Act* establishes the principle that misconduct of a spouse in relation to the marriage is not a relevant consideration in a spousal support proceeding under the Act. In *Leskun*, at para. 21, the Supreme Court emphasized that section 15.2(5) of the Act clearly reflects the policy underlying the legislation of avoiding the attribution of fault in the spousal support analysis. However, it clarified that there is a distinction between misconduct in and of itself, and the consequences of such misconduct, which may be relevant to the spousal support analysis if they have impacted a spouse's ability to become self-sufficient.

[253] In cases involving requests for both child and spousal support, the court must give priority to child support in determining the claims. This requirement flows from section 15.3 of the *Divorce Act*, which stipulates as follows:

Priority to child support

15.3 (1) Where a court is considering an application for a child support order and an application for a spousal support order, the court shall give priority to child support in determining the applications.

[254] Section 15.3(2) of the Act provides that if the court declines to order spousal support or awards lower spousal support than it would have otherwise ordered as a result of giving

priority to child support, the court must record its reasons for doing so. Where this occurs, any change in the child support order will constitute a change of circumstances for the purposes of a subsequent application for spousal support or a spousal support variation proceeding, by virtue of section 15.3(3):

Consequences of reduction or termination of child support order

15.3(3) Where, as a result of giving priority to child support, a spousal support order was not made, or the amount of a spousal support order is less than it otherwise would have been, any subsequent reduction or termination of that child support constitutes a change of circumstances for the purposes of applying for a spousal support order, or a variation order in respect of the spousal support order, as the case may be.

- [255] The determination of spousal support claims requires the court to address the issues of entitlement, quantum and duration. The statutory objectives and factors referred to above inform every aspect of the spousal support analysis. In *Moge v. Moge*, [1992] 3 S.C.R. 813 (S.C.C.), at para. 48, L’Heureux-Dube J. concisely summarized the overall goal of the spousal support provisions of the *Divorce Act* as being to effect “a fair and equitable distribution of resources to alleviate the economic consequences of marriage or marriage breakdown for both spouses, regardless of gender.” Formulating an appropriate spousal support award is a highly individualized and discretionary exercise that requires the court to carefully balance the numerous support objectives and factors set out in the *Divorce Act* in the context of the particular facts of the case before the court (*Racco v. Racco*, 2014 ONCA 330 (C.A.)).

B. Legal Principles Respecting Spousal Support Reviews

- [256] As I have indicated, the proceeding in this case as it relates to the spousal support issues is a review application further to the order of Harper J. dated November 25, 2014, rather than a variation proceeding. The court’s authority to permit a review of spousal support as an alternative to a variation proceeding derives from section 15.2(3) of the *Divorce Act*, which permits the court to impose such terms, conditions or restrictions in connection with a spousal support order as it thinks fit and just. It is possible for the court to make another review order in the context of a review hearing. An understanding of the analytical framework that applies in spousal support review proceedings and the circumstances in which a review order may be appropriate is therefore important in this case.
- [257] A review application is distinct from a spousal support variation proceeding in that it permits a party to request changes to a spousal support order without having to demonstrate a material change in circumstances as a threshold matter (*Leskun*, at para. 37). In *Leskun*, the Supreme Court of Canada emphasized that review orders pursuant to section 15.2(3) have a “useful but very limited role,” and that they should only be granted where they are “justified by genuine and material uncertainty at the time of the original trial” (at paras. 36-37) or a “real contingency that was incapable of immediate resolution” (at para. 40). In *Fisher*, the Ontario Court of Appeal reinforced that review orders are only appropriate

when the court is satisfied that a specified uncertainty about a party's circumstances at the time of trial will become certain within an identifiable timeframe (at para. 70). Review orders are the exception and not the norm in spousal support proceedings (*Fisher*, at para. 70). In both *Leskun* and *Fisher*, the courts underlined that trial judges should resist making spousal orders that are subject to review and should insofar as possible resolve the spousal support controversies before them and make an order which is permanent, subject only to variation pursuant to section 17 of the *Divorce Act* upon proof of a material change in circumstances having occurred (*Leskun*, at para. 39; *Fisher*, at para. 64).

- [258] The Supreme Court of Canada also stressed in *Leskun* that if a spousal support review is considered essential, the judge making the order should tightly delineate the issue for future review in the order, since failing to do so will inevitably be seen as an invitation to one or both of the parties to completely reargue their case (at para. 39). The Ontario Court of Appeal elaborated upon this principle in *Fisher*, stating that if a review order is granted, it should include “specifics regarding the issue about which there is uncertainty and when and how the trial judge anticipates that uncertainty will be resolved” (at para. 70). If the review order does not restrict the scope of the review to a specific issue, the review proceeding is generally equivalent to a trial *de novo* of the spousal support claims and necessitates a rehearing of every issue, including entitlement, quantum and duration of spousal support (*Fisher*, at para. 63; *Djekic v. Zai*, 2015 ONCA 25 (C.A.), at para. 88; *S.A.H. v. K.A.H.*, 2022 NBCA 17 (C.A.), at para. 54).

C. The Objectives of Spousal Support

- [259] The Supreme Court of Canada has held that all of the spousal support objectives reflected in the *Divorce Act* must be considered, and that no single objective is paramount. However, trial judges have a significant amount of discretion to determine the weight that should be accorded to each objective, based on the particular circumstances of the case before the court (*Moge*, at para. 52; *Bracklow v. Bracklow*, [1991] 1 S.C.R. 420 (S.C.C.), at para. 35; *Miglin*, at para. 39; *L.M.P. v. L.S.*, at para. 49; *Fisher*, at para. 34; *Racco*, at paras. 23-25).
- [260] The objectives set out in section 15.2(6)(a)(b) and (c) of the *Divorce Act* reflect the general principle that the overall economic consequences of the marriage and the parties' separation should be equitably shared between the former spouses (*Moge*; *Hickey v. Hickey*, [1999] 2 S.C.R. 518 (S.C.C.), at para. 21). Section 15.2(6)(a) provides that a spousal support award should recognize any economic advantages and disadvantages arising from the marriage or its breakdown. In *Hickey*, the Supreme Court of Canada emphasized that this provision, in particular, “recognizes the importance, when deciding on spousal support or variation orders, of compensating former spouses for advantages gained and disadvantages suffered as a result of the marriage itself and the decisions the parties made and roles they played within it” (at para. 22). In *Moge*, the court reiterated that a major focus of the spousal support analysis is “the effect of the marriage in either impairing or improving each party's economic prospects” (at para. 44; see also *Rioux v. Rioux*, 2009 ONCA 569 (C.A.), at para. 36).

- [261] Section 15.2(6)(c) of the *Divorce Act* outlines the important goal of relieving economic hardship arising from the breakdown of the marriage. In considering this objective, the court must examine the changes in the economic situation of the parties caused by the separation, taking into account the parties' current needs and means and all other relevant circumstances (*Hickey*, at para. 22).
- [262] The other two objectives set out in sections 15.2(6)(b) and (d) of apportioning between the spouses any financial consequences arising from the care of any child of the marriage over and above any obligation for the support of any child of the marriage, and promoting economic self-sufficiency to the extent practicable, are equally important to the formulation of an appropriate spousal support order. Section 15.2(6)(b) recognizes that child-care responsibility post-separation may continue to impair a spouse's economic advancement, and that the spouse should be compensated for any such consequences. The self-sufficiency objective set out in section 15.2(6)(d) highlights that the end of marriage brings about new financial realities for the spouses, and that the party with the lower income will need to make reasonable attempts to achieve financial independence. The Supreme Court of Canada commented on this objective in *Moge, Boston, Leskun and L.M.P. v. L.M.S.* It emphasized that the self-sufficiency objective should not be characterized as an absolute duty on a recipient spouse to attain financial independence, and that this goal only applies "in so far as practicable." It noted that the extent to which a spouse may be expected to achieve self-sufficiency, and the appropriate time period for realizing this goal, will depend on the circumstances of the parties and the dynamics of the marital relationship in each particular case. The court also highlighted that the wording of sections 15.2(6)(d) and 17(7)(d) (relating to variation proceedings) reflects a recognition that self-sufficiency may not be possible or practicable in some circumstances (see also *Remillard v. Remillard*, 2014 MBCA 101 (C.A.), at para. 108; *Reisman v. Reisman*, 2014 ONCA 109 (C.A.), at para. 28; *Choquette v. Choquette*, 2019 ONCA 306 (C.A.), at para. 17).
- [263] In considering the objective of self-sufficiency, the court should assess whether the vocational skills that the spousal support claimant exercised during the marriage translate well to remunerative employment post-separation (*Wharry v. Wharry*, 2016 ONCA 930 (C.A.), at para. 98). In addition, the court must recognize that the concept of self-sufficiency is a relative one which must take into consideration the parties' standard of living during the marriage. Self-sufficiency is not necessarily established when a former spouse is able to meet their basic needs; rather, it refers to a spouse's ability to maintain a reasonable standard of living, taking into account the lifestyle that the parties enjoyed during their relationship. Where one spouse has suffered economic disadvantage as a result of the marriage or its breakdown, the court must consider whether the other party can financially assist them so that the spouse can enjoy a lifestyle closer to that which they enjoyed during the marriage (*Rioux; Fisher; Allaire v. Allaire*, 2003 CarswellOnt 1002 (C.A.)). As the court stated in *Fisher*, self-sufficiency must be assessed "in relation to the economic partnership the parties enjoyed and could sustain during cohabitation, and that they can reasonably anticipate after separation" (at para. 53). However, the caselaw also establishes that the goal of self-sufficiency can be achieved not only by the support recipient improving their own financial means, but also by adjusting their standard of living

over time to one that is commensurate with their own income and other means (*Fisher*). The extent to which the court will consider the accustomed standard of living during the marriage in setting the benchmark for self-sufficiency post-separation, and will expect a support recipient to adjust their lifestyle to one compatible with their own means, will depend on a careful balancing of all of the spousal support objectives and factors. L’Heureux-Dubé J. made this point in *Moge*, where she stated that since marriage should be regarded as a joint endeavour, “the longer the relationship endures, the closer the economic union, the greater will be the presumptive claim to equal standards of living upon its dissolution” (at para. 85). Ultimately, the analysis of the self-sufficiency objective requires consideration of “the parties’ present and potential incomes, their standard of living during the marriage, the efficacy of any suggested steps to increase a party’s means, the parties’ likely post-separation circumstances including the impact of equalization of their property, the duration of their cohabitation and any other relevant factors” (*Fisher*, at para. 53; see also *Parton v. Parton*, 2018 BCCA 273 (C.A.), at para. 53).

D. Statutory Factors Relevant to the Spousal Support Analysis

- [264] The description in section 15.2(4) of the *Divorce Act* of the factors relevant to the spousal support analysis is very broad and highlights the highly discretionary nature of spousal support determinations. However, not every consideration will be relevant to the support analysis. The factors referred to in section 15.2(4) must be interpreted in the context of the spousal support objectives identified in the Act, and they are circumscribed by those purposes. The condition, means, needs and other circumstances relied upon must therefore be relevant in some way to those objectives.
- [265] The “condition” of a spouse includes such factors as their age, health, needs, obligations, dependents and their station in life (*Metz v. Metz*, 2004 ABQB 528 (Q.B.), at para. 23; *Bennett v. Bennett*, 2005 ABQB 984 (Q.B.), at para. 27; *Menegaldo*, at para. 40; *Kinsella v. Mills*). As I have already indicated, a spouse’s “means” is to be given an expansive interpretation, and encompasses all financial resources, capital assets, income from any sources, investments, pensions and any other sources from which the spouse derives gains or benefits (*Strang*, at para. 15; *Leskun*, at para. 29; *Mason*, at para. 68; *Aubin*, at para. 135; *Kinsella v. Mills*, at para. 89). The term also encompasses the capacity of a party to earn income from any sources, including from a Family Law property judgment (*Hickey*, at paras. 62 and 64; *Boston*, at para. 54), and the assets and means that a party is likely to have in the future (*Mason*, at para. 70).
- [266] The “needs” of each spouse is another factor relevant to all elements of the spousal support analysis. As with the self-sufficiency objective, the assessment of the claimant’s “needs” does not focus on ensuring that they can obtain the basic necessities of life; again, it must take into consideration the accustomed lifestyle of the spouses during the relationship, subject to the ability of the payor spouse to pay (*Rioux*; *Schulstad*, at para. 57). In considering the extent of a spouse’s needs from this perspective, the court should have regard for the joint income which the parties anticipated they would be able to enjoy as of the time of their separation (*Rioux*). The weight to be accorded to the parties’ accustomed standard of life in assessing need will depend on the particular circumstances of each

relationship as well as the outcome of the determination of any property issues (*Linton v. Linton*, 1990, CarswellOnt 316 (C.A.), at para. 92).

- [267] The general reference to “other circumstances” of the parties in section 15.2(4) of the *Divorce Act* encompasses any other factors respecting the parties’ circumstances which may be relevant to spousal support. This would in some circumstances include the parties’ respective obligations towards other family members post-separation (*Fisher*). The reference to any other circumstances of the parties also allows for consideration of the parties’ respective debts and liabilities, their ability to manage those debts in the future, the payor’s ability to pay support, and any benefit that the spousal support claimant has received as a result of the allocation of debts (*Goodine v. Goodine*, 2013 NSSC 98 (S.C.); *Castedo v. Haldorsen*, 2016 ONSC 3870 (S.C.J.), at paras. 102-104; *Kinsella v. Mills*, at para. 91).
- [268] Finally, section 15.2(4) delineates the length of the parties’ cohabitation and the functions which they performed during their cohabitation as mandatory factors to consider in deciding a spousal support claim. These are relevant at every stage of the analysis.

E. Spousal Support Entitlement

- [269] The first step of the spousal support analysis is to ascertain whether the claimant is entitled to support, and if so, the grounds for their entitlement. Delineating the grounds upon which entitlement is based is a key part of the analysis, since those grounds will in turn inform the court’s decision-making on the issues of quantum and duration of support.
- [270] Entitlement to spousal support must be determined in accordance with the terms of the governing legislation. Accordingly, the spousal support objectives and factors discussed above provide the framework for the analysis. However, the issue of entitlement should be considered keeping in mind the following three general conceptual models upon which entitlement to spousal support may arise:
1. Compensatory support, which primarily relates to the first two objectives set out in sections 15.2(6)(a) and (b) of the *Divorce Act*;
 2. Non-compensatory support, which primarily relates to the third and fourth objectives set out in sections 15.2(6)(c) and (d) of the Act; and
 3. Contractual support.

(*Moge*; *Bracklow*)

- [271] The court is not required to apply one conceptual model of entitlement over the other. In many cases, entitlement may be established on more than one ground (*Chutter v. Chutter*, 2008 BCCA 507 (C.A.), leave to appeal to S.C.C. refused, [2009] 1 S.C.R. vi (note)). It is critical for the court to determine all grounds for entitlement, as the basis for entitlement may have a significant impact on quantum and duration of spousal support (*Cassidy v. McNeil*, 2010 ONCA 218 (C.A.), at para. 64).

- [272] The compensatory basis for spousal support entitlement recognizes that upon the breakdown of a relationship, there should be an equitable distribution between the parties of the economic consequences of the marriage. The objectives of a compensatory award are to provide some degree of compensation for economic loss or disadvantage experienced by the recipient spouse as a result of the roles adopted during the marriage or following separation, or for the economic benefits which the payor spouse derived from the claimant's sacrifices and contributions, for which the claimant has not been adequately compensated (*Moge*, at paras. 68-70). A compensatory award recognizes that such sacrifices, contributions and benefits experienced or conferred often lead to interdependency between the spouses and merger of their economic lives which can leave one spouse in a much more advantageous financial situation than the other post-separation (*Cassidy*).
- [273] Compensatory support claims arise most typically in situations where one spouse has suffered economic disadvantage or contributed to economic advantage to the other spouse by assuming a disproportionate share of the responsibilities relating to child-care, care of extended family members and/or home management matters. The fact that a party continued to work during the relationship and advanced their career while also assuming child-care and household responsibilities does not preclude the possibility of a compensatory claim, since their disproportionate "labour on the home front" may have affected the extent of their career advancement and/or enabled the other party to pursue their own career and advance financially (*Gray v. Gray*, 2014 ONCA 659 (C.A.), at para. 40). A compensatory claim can also be founded on other forms of contribution and sacrifice during the relationship or post-separation. Examples include subordinating one's career and income-earning capacity to support the other spouse's career advancement (*Gray v. Gray*; *Valley*); supporting the family while the other party obtained or upgraded their education (*Allaire*); selling assets or a business for the benefit of the family unit (*Jens v. Jens*, 2008 BCCA 392 (C.A.)); assisting a party financially or otherwise in establishing and operating a business that is the source of that party's income (*Chutter*; *Kinsella v. Mills*); loss of seniority, promotion, training or other benefits resulting from roles adopted during the relationship; or assuming primary child rearing responsibilities following separation (*Moge*; *Cassidy*; *Gray*; *Allaire*). In considering whether a compensatory claim exists, the court must undertake a broad and expansive analysis of any advantages and disadvantages which each party experienced as a result of the marital union and the roles adopted post-separation. In some situations, a party's compensatory claim may be defeated or weakened by the fact that disadvantage suffered by the claimant spouse is offset by disadvantage of a different type experienced by the other spouse or contributions that the other spouse made to the claimant's financial advancement or potential (*Roseneck v. Gowling* (2002), 35 R.F.L. (5th) 177 (C.A.), additional reasons at 2003 CarswellOnt 159 (C.A.); *Reid v. Gillingham*, 2014 NBQB 79 (Q.B.), aff'd 2015 CarswellNB 176 (N.B.C.A.), leave to appeal refused 2015 CarswellNB 442 (S.C.C.); *Kinsella v. Mills*; *A.E. v. A.E.*, at para. 465).
- [274] Spousal support entitlement can also arise on a non-compensatory basis (also referred to as a "needs-basis"). This ground of entitlement is founded on the claimant spouse's economic need alone at the time of separation, even if that need is unconnected to any

disadvantage arising from the relationship (*Bracklow*; *Kallaba v. Bylykbashi*, 2006 CarswellOnt 749 (C.A.), at para. 81; *Roseneck*). Again, in assessing entitlement on needs-based considerations, the extent of the claimant spouse's need should be measured against the marital standard of living of the parties, and the weight to be accorded to that standard will depend on the facts of each case (*Fisher*; *Gray v. Gray*, at para. 27; *Berger v. Berger*, 2016 ONCA 884 (C.A.), at para. 117; *Mason*, at para. 201). The obligation to support a spouse based on need is premised on the notions that relationships can create "interdependencies that cannot easily be unravelled when the relationship ends" (*Bracklow*, at para. 30), and that primary responsibility for supporting a dependent partner should rest upon the other spouse rather than the state (*Bracklow*, at para. 23). The need of the recipient spouse may arise due to health-related challenges, the roles they adopted during the relationship or by virtue of a status quo that developed over time of the party being out of the workforce (*Shen v. Tong*, 2013 BCCA 519 (C.A.), at para. 76; *Kinsella v. Mills*). The extent of a spouse's obligation to meet their partner's post-separation needs depends on many factors, including the length of the parties' relationship, the manner in which they structured their relationship, ability to pay, and the re-partnering of either party (*Bracklow*). In *Bracklow*, the court emphasized the importance in non-compensatory cases of analyzing the nature of the parties' relationship prior to separation, and in particular, to determine whether there was any evidence as of the separation date to rebut the presumption of mutuality and interdependence. If this presumption is rebutted, then it is open to the court to find that the claimant spouse did not suffer any economic consequences as a result of the breakdown of the relationship. However, this is not a determinative factor. The court also recognized in *Bracklow* that needs-based entitlement may arise based on a spouse's health-related difficulties, noting that "in some circumstances the law may require that a healthy party continue to support a disabled party, absent contractual or compensatory entitlement. Justice and consideration of fairness may demand no less" (at para. 48; see also *Gray v. Gray*, at para. 28).

- [275] The courts have also emphasized that a mere disparity in the parties' respective incomes and overall financial circumstances does not in and of itself lead to entitlement to spousal support on the basis of need (*Berger*, at para. 53). As the British Columbia Court of Appeal stated in *Lee v. Lee*, 2014 BCCA 383 (C.A.), marriage does not engage an automatic "tool of redistribution." Spouses must establish entitlement and cannot simply assume that marriage creates a lifelong guaranteed income solely on the basis that their spouse earns a larger salary. The court must carefully weigh all of the relevant spousal support objectives and factors in each case to determine whether a spousal support recipient should be expected to gradually adjust their standard of living over time to one commensurate with their own income, and if so, the reasonable time frame within which this should occur and entitlement should end (*Fisher*, at para. 59).

F. Quantum and Duration of Spousal Support

1. General Principles

- [276] The issues of quantum and duration of spousal support must be determined taking into consideration the purposes and factors set out in sections 15.2(4) to (6) of the *Divorce Act*.

It is important to note that even if the evidence establishes entitlement to spousal support, a review of all relevant factors in the case may lead the court to conclude that no support should be ordered. The advent of the SSAG has provided considerable assistance to the legal profession in addressing questions relating to quantum and duration of spousal support. The SSAG do not address the issue of initial entitlement to spousal support, and therefore they should only be considered after the preliminary issue of entitlement has been established. This is so even if the disparity in the parties' incomes produces a positive range for quantum under the guidelines (*The Revised User's Guide*, at p. 9); see also *Yemchuk v. Yemchuk*, 2005 BCCA 406 (C.A.)). However, where the issue of ongoing entitlement to spousal support arises in the context of a review or variation proceeding, the suggested duration ranges provide valuable guidance as to when termination of entitlement may be appropriately considered, and the quantum ranges may also be useful as a cross-check in relation to entitlement if the ranges are all zero or very low (SSAG, section 14.2).

- [277] The SSAG are advisory in nature and are therefore not binding on the court (*Fisher*, at para. 95; *Racco*, at para. 44). However, in original applications, they are the appropriate starting point for determining the proper quantum and duration of support, and the Ontario Court of Appeal has held that they should not be departed from lightly because “without them, it is difficult to establish a principled basis for arriving at a figure for spousal support” (*Slongo*, at para. 105; see also *McKinnon v McKinnon*, 2018 ONCA 596 (C.A.), at para. 24; *Schulstad*, at para. 52). The Ontario Court of Appeal has held that any departure from the SSAG should be accompanied by an explanation (*Fisher*, at para. 103); *McKinnon*, at para. 24). The courts may also rely on the SSAG in review and variation proceedings, provided that caution is exercised to ensure that the use of the guidelines is appropriate taking into account the particular facts of the case before the court (re: variation proceedings, see *Beninger v. Beninger*, 1007 BCCA 619 (C.A.), at para. 55; *Gray v. Gray*; *Slongo*, at para. 105; *Schulstad*, at para. 52; *McKinnon*, at para. 24; re review proceedings see: *Domirti v. Domirti*, 2010 BCCA 472 (C.A.), at paras. 32-36, *Morck v. Morck*, 2013 BCCA 186 (C.A.), at para. 17; *Helle v. Helle*, 2019 BCCA 97 (C.A.)) Notwithstanding these principles, the quantum and duration ranges generated by the SSAG simply provide a general framework for the exercise of the court's discretion, and it is therefore open to the court to go above and below the ranges in appropriate circumstances (*Alalouf v. Sumar*, 2019 ONCA 611 (C.A.), at paras. 21 and 24; *Naegels*, at para. 14). Ultimately, the factors and objectives of spousal support set out in sections 15.2(4) and (6) of the *Divorce Act*, and the unique circumstances of each case are the governing considerations upon which the court must assess the reasonableness of an award suggested by the SSAG (*Fisher*, at para. 96; *Racco*, at para. 44; *Mason*, at para. 74). Furthermore, as in all areas of the law, the jurisprudence regarding spousal support evolves over time to adapt appropriately to the changing social context and landscape. It is therefore important to consider caselaw that has departed from the ranges suggested by the SSAG, the reasons for those departures and whether there are any general patterns that emerge from those decisions over time. Given appellate court direction that courts must consider the SSAG and explain any departure from them, it will be critical for the SSAG authors to continue in the valuable work that they have undertaken to date in tracking any such trends in the caselaw, and to update the SSAG regularly in response to important developments in the law. This will be imperative so that the appropriate balance is maintained between the primary role of judicial discretion

in dealing with spousal support claims and reliance on the SSAG as a valuable, reliable and enduring tool in the exercise of that discretion.

- [278] The SSAG formulas generate suggested ranges for both quantum and duration of spousal support. The ranges allow for accommodations for the specific circumstances of each case, taking into consideration the support factors and objectives set out in the applicable legislation. The fixing of the appropriate quantum and duration within the ranges suggested by the SSAG is intended to be a sophisticated exercise. As Walsh J. emphasized in *Brown v. Brown*, 2013 NBQB 369 (Q.B.), at para. 46, “[u]nder the SSAG formulas, the mid-range for amounts is not intended to be the default position, nor is the low or high end of the range for amounts intended to be the exceptions.” The courts should not simply default to the mid-ranges generated by the SSAG without carefully analyzing the factors that informed the decision (*Kinsella v. Mills*).
- [279] The SSAG were developed around two basic formulas, namely, the *Without Child Support* formula and the *With Child Support* formula. As the authors of the SSAG emphasize, the *With Child Support* formula is in fact a cluster of formulas dealing with different parenting arrangements. It is critical when applying the SSAG to use the correct formula, since failing to do so can also lead to major distortions in the recommended ranges for quantum and duration. For cases such as this one, in which the parent with primary care of a child is the spousal support payor, the hybrid “*Custodial Payor*” formula applies. Under this formula, the spouses’ *Guidelines* incomes are reduced by the grossed-up amount of their child support obligations (actual or notional) to determine their pre-tax value, and then the *Without Child Support* formula is applied to determine amount and duration (SSAG, section 3.3.4). In reducing the parties’ gross incomes by the grossed-up amounts for child support, the formula establishes the spouses’ available incomes after their child support obligations are fulfilled in the same manner as the basic *With Child Support* formula. The *Without Child Support* formula that is then applied relies heavily upon length of the parties’ relationship, including periods of pre-marital cohabitation, to determine both the amount and duration of support. It is constructed around the concept of merger over time, and both amount and duration increase with the length of the relationship under this framework (SSAG, section 3.3.3).
- [280] Given that the SSAG are income-based guidelines, it is necessary to consider the SSAG provisions for determining income, or to explain why those provisions should not apply (*Mason*, at paras. 119-120). It is also important to carefully consider both the quantum and durational ranges generated by the SSAG; to apply one and ignore the other is a misapplication of the SSAG that could undermine the integrity and coherence of the tool and lead to improper outcomes (*Fisher*, at para. 109; *Wharry* at para. 86; *Kinsella v. Mills*). In deciding quantum and duration, it is necessary as well to consider any interim orders for spousal support that have been made, and any voluntary spousal support arrangements that have been in effect since separation. Failing to do so can also result in a distortion of the SSAG recommendations (*Fisher*, at para. 80; *Kinsella v. Mills*).

2. **The 65 Principle and the Meaning of “Indefinite Support”**

- [281] Under the SSAG, duration of spousal support will be indefinite (duration not specified) under the basic *With Child Support* formula, subject to the usual processes of review or variation. However, the SSAG also suggest generally understood outside limits on the cumulative duration of spousal support to inform the process of review and variation (SSAG, section 8.5). The SSAG also generate an indefinite duration under both the *With Child Support* formula and its sub-formulas and the *Without Child Support* formula where the parties have been married for 20 years or more, or where the "rule of 65" applies. The rule of 65 comes into play where the length of the relationship in years plus the recipient's age at the date of separation equals or exceeds 65, with the exception that the rule does not apply where the period of cohabitation was less than 5 years (SSAG, section 7.5.3; *Djekic; Frank v. Linn*, 2014 SKCA 87 (C.A.)). Given the fact that the SSAG are intended to be guidelines, Professor Thompson has recently suggested that the phrase “rule of 65” should be seen as more of a “principle” than a strict rule (Professor Rollie Tompson, Q.C., *SSAG FAQs 2022: Your Frequently (or Occasionally) Asked Questions about the SSAG, and Some Answers*). Accordingly, in these Reasons, I will refer to this guideline as “the 65 principle.” The 65 principle is intended to respond to the situation of older spouses who were economically dependent during medium length marriages, and who may have difficulty attaining self-sufficiency following separation (SSAG, section 7.5.3; *Fisher*, at para. 106; *Politis v. Politis*, 2021 ONCA 541 (C.A.), at para. 42). Notwithstanding the 65 and 20 year principles, the court may make spousal support time-limited rather than indefinite based on all of the relevant circumstances of the case under consideration (*Fisher*, at para. 108), or may order a spousal support review in lieu of an indefinite order (*Boudreau v. Jakobsen*, 2021 ONCA 511).
- [282] The SSAG, the *Revised User's Guide* and the caselaw clarify that the notion of indefinite support under the SSAG does not necessarily mean that support is "permanent." It simply signifies that specifying duration at that point may not be advisable, but that duration may be restricted and support terminated in the future depending on how the parties' overall conditions, means, needs and circumstances evolve over time (SSAG, section 13.8; *Burke v. Poitras*, 2021 ONCA 703 (C.A.), at para. 18). It is for this reason that the SSAG stipulate duration as being "indefinite (duration not specified)" in marriages of 20 years or more or where the 65 principle applies.
- [283] The SSAG and the caselaw underscore that when an initial support award is “indefinite”, recipients remain under an obligation to make reasonable efforts towards their own self-sufficiency, even if they cannot achieve full self-sufficiency. A failure to make such reasonable efforts may result in imputing income, a reduction of spousal support, a termination of spousal support or a “step-down” order on a subsequent review or variation (for examples of subsequent termination of spousal support where the 65 principle was in play see: *Williams v. Williams*, 2010 SKCA 52 (C.A.); *Cotter v. Cotter*, 2015 BCSC 1730, aff'd 2016 BCCA 254 (C.A.); *B.(S.I.) v. B. (M.D.)*, 2009 ABQB 612 (Q.B.); *McLaughry v. McLaughry*, 2017 BCSC 966 (S.C.); for examples of step-down orders when the 65 principle applied see *Al Hosseini v. Kazemi*, 2009 BCSC 502 (S.C.); *Politis*).

3. **Principles and Factors Relevant to Determining the Appropriate Location in the Quantum and Duration Ranges**

[284] Sections 15.2(4) and (6) of the *Divorce Act*, the SSAG, the *Revised User's Guide* and the caselaw have highlighted a number of principles and factors that may be particularly useful to the court in determining the appropriate quantum and duration of support either within or outside of the SSAG ranges. These include the following:

1. The basis for spousal support entitlement is a critical factor in determining quantum, duration and location within the SSAG ranges. For instance, a strong compensatory claim may favour a spousal support award at the higher end of the ranges both in terms of quantum and duration (*Schulstad*, at paras. 54-55; *Wharry*, at para. 94). By contrast, a weaker compensatory claim, where the economic advantage or disadvantage to one of the spouses is limited in duration or effect, may militate in favour of a lower amount of spousal support and/or a shorter duration. Similarly, a non-compensatory claim based only upon loss of the marital standard of living may justify an award at the lower end of the ranges (SSAG, at p. 39; *Bracklow*; *Midgley v. Midgley*, 2001 CarswellBC 2009 (C.A.); *Wharry* at para. 94; *Mason*, at para 200; *Schulstad* at paras. 54-55).
2. In compensatory cases, the goal in establishing quantum and duration should be to formulate an award that reflects the economic disadvantages and advantages flowing from the marriage, and that continues until those consequences are redressed, even if the recipient has reached a reasonable degree of self-sufficiency (*Morigeau v. Moorey*, 2015 BCCA 160 (C.A.), at para. 243; *Tedham v. Tedham*, 2005 BCCA 502 (C.A.), at paras. 58-60; *Allaire*; *Dancy v. Mason*, 2019 ONCA 410 (C.A.)).
3. The extent of the recipient's needs is an important consideration. Where the recipient has limited income and/or earning capacity, the level of their needs may call for an award at the higher end of the quantum and duration ranges. By contrast, the absence of any compelling need may support an award toward the lower end of the range (*Wharry*, at para. 94; *Berger*, at para 119; *Schulstad*, at paras. 53 and 56). The fact that the recipient has reduced living expenses may also be relevant.
4. In assessing the level of a recipient spouse's need for the purposes of the quantum and duration analysis, the goal is not simply to award an amount that "meets expenses dollar for dollar" (*Berger*, at para. 117). As with the entitlement analysis, the court must consider the recipient's need against the parties' standard of living during the relationship, and factors such as the length of the relationship and the degree of economic interdependency that developed between the parties (*Allaire* at para. 21; *Berger*, at para. 117; *Fisher*, at para. 56; *Chutter*, at paras. 128, 140, 142; *Hsieh v. Lui*, 2017 BCCA 51 (C.A.), at para. 43; *Parton*, at para. 39; *Winscombe v. Wiscombe*, 2018 NLCA 36 (C.A.), at para. 29). In some circumstances, there will be an expectation upon the claimant spouse to adapt to a lower standard of living following separation or after a reasonable transitional period (*Fisher*, at para. 88).

5. The age, number, needs and standard of living of any children in the care of either party.
6. The payor spouse's needs and ability to pay are also important considerations. In *Schulstad*, the Ontario Court of Appeal noted that need and limited ability to pay on the part of the payor may push an award to the lower ends of the SSAG ranges (at paras. 53 and 58-59; see also *Berger*, at para. 119, *Wharry*, at para. 94).
7. The need to preserve work incentives for the payor.
8. Property division. The Supreme Court of Canada's analysis in *Moge* recognized that a fair distribution of the economic consequences of a relationship and its breakdown may be achieved either by spousal support, by the division of property, or both. The resolution of issues relating to the parties' assets and debts is therefore relevant to the issues of entitlement, quantum and duration of spousal support (see also *Faiello v. Faiello*, 2019 ONCA 710 (C.A.), at para. 78; *Berger*, at paras. 124-127; *Halliwell v. Halliwell*, 2017 ONCA 349 (C.A.), at para. 141). Accordingly, it is well established that where there are both spousal support and property issues involved in a case, the court should first consider the parties' respective property-related obligations and entitlements, and then determine the issues of spousal support (*Estephan v. Estephan*, 2013 BCCA 540 (C.A.); *Halliwell*).
9. The parties' respective debt loads. The fact that a party is left with a high debt load post-separation may also be a factor that pushes quantum higher or lower within the range. Significant debt may affect a party's ability to pay support, or conversely may increase the recipient spouse's need (SSAG, at p. 101; *Castedo*, at paras. 100-106). Where one party has assumed responsibility for joint debt, the other party's debts, or debts in their own name but which were incurred for the benefit of the other party or both, this may impact that party's ability to pay and can also be considered as a positive benefit to the recipient (*Castedo*, at paras. 102-104; *Trottier v. Prudhomme*, 2012 ONCJ 641 (O.C.J.), at para. 16).
10. The impact of any property award or any agreement regarding apportionment of assets and debts on the spousal support analysis will depend on the facts of each case. In determining the weight to be given to this factor, the conceptual basis of entitlement, and in particular the existence of a strong compensatory claim, may be relevant (*Hsieh*, at para. 44).
11. Self-sufficiency incentives in relation to the recipient spouse (*Wharry*, at para. 94; *Berger*, at para. 119).
12. Consideration of the family's net disposable income ("NDI") and the proportionate share of that NDI that is allocated to each party under the ranges generated by the SSAG is a factor which may assist the court. The Ontario Court of Appeal has emphasized that "[e]qualization of income (or "NDI") has never been the basis upon which spousal support is determined in Canada" (*Fielding v. Fielding*, 2015 ONCA

901 (C.A.)). However, unusually high discrepancies in the proportionate distribution of NDI as between the parties under the SSAG ranges may call for a deeper inquiry into whether a departure from the ranges is required in order to satisfy the objectives of spousal support (*Berger* at para. 122; *Naegels*, at para. 13).

- [285] The principles and factors outlined above are obviously not exhaustive; they are simply some of the considerations that the courts frequently refer to and rely upon in determining quantum and duration.

4. Exceptions to the SSAG Ranges, and the Challenge of Financial Responsibilities Towards New Spouses, Children and Dependent Parents Arising Post-Separation

- [286] The SSAG formulas were developed to deal with typical Family Law scenarios. However, as the authors have consistently emphasized, there will be cases where the formulas generate results inconsistent with the support objectives and factors in the governing legislation, and an appropriate result can only be achieved by departing from the formulas. The SSAG identify a number of situations which they refer to as “exceptions,” intended to assist counsel and judges in framing and assessing possible departures from the SSAG formulas and outcomes (SSAG, section 3.4.3.). Departures from the formula outcomes are not restricted to the listed exceptions, since the SSAG are informal and advisory (*Revised User’s Guide*, p. 62). The courts have consistently reiterated that ultimately, the decision as to whether the suggested ranges are appropriate or should be departed from will depend on the unique facts of each case and will be a matter of judicial discretion (*Racco*, at para. 44).
- [287] Consideration of possible exceptions under the SSAG is the last step in determining quantum and duration of spousal support. Before deciding whether an exception is warranted, the court should determine whether making adjustments within the suggested quantum and duration ranges or restructuring an award can accommodate the unique facts of the case so as to reach a just result (SSAG, section 12; *S.(R.M.) v. S.(F.P.C.)*, 2011 BCCA 53 (C.A.), at paras 66 and 68). The spouse who claims to fall within one of the identified exceptions bears the burden of proving that they do so (SSAG, section 12).
- [288] The SSAG recognize an exception to the quantum and duration ranges where the spousal support payor has an obligation to financially support a prior spouse or prior children, including when the prior children are in the payor’s care. In this case, Shakeel does not have support obligations towards any prior children. However, he argues that his financial obligations towards his two new children, his anticipated third child, his spouse and his elderly parents must be considered, and that they support his request to terminate spousal support. The SSAG touch upon situations where the support payor acquires new support obligations towards a subsequent spouse or new children (SSAG, section 14.8). This is becoming an increasingly important issue, as it is now commonplace for both spousal support recipients and payors to move forward in their personal lives by forming new relationships and families. The authors of the SSAG concluded that the issues of quantum and duration of spousal support in these situations were best left to judicial discretion, based on the differing philosophies in the caselaw and the lack of any clear policy in the

Guidelines on this issue. Specifically, they highlighted discrepancies in the caselaw between decisions on the one hand that have adopted a “first family first” approach, giving priority to the children and spouse of the prior relationship over any subsequent support obligations, and other judgments that promoted equal treatment at least between all of the payor’s children in determining the appropriate spousal support award (SSAG, section 14.8).

- [289] As the authors of the SSAG noted in the *Revised User’s Guide*, courts continue to struggle with the question of a payor’s financial obligations towards a new spouse and subsequent children arising post-separation, and the impact if any that they should have on existing spousal support obligations. The picture that emerges from the caselaw is that these new obligations may warrant adjustments to an existing spousal support order, but that the appropriate outcome requires a careful balancing of all of the evidence against the objectives and factors relevant to spousal support so as to achieve an overall just result. In *Fisher*, the Ontario Court of Appeal recognized that a payor’s new financial obligations to a second family may decrease their ability to pay support for a first family, and that in each case, obligations towards second families must be considered in context (at paras. 39-40). Similarly, in *Gray v. Gray*, the Ontario Court of Appeal held that the payor’s financial responsibilities towards a new spouse and subsequent children must be considered in the overall context of the spousal support analysis, and that it is necessary to balance those competing responsibilities in setting the appropriate quantum of spousal support for a prior spouse (at paras. 51-53). Depending on the unique facts of each case, these new obligations may support a spousal support award at the lower ends of the quantum and duration ranges generated by the SSAG, below those ranges, a step-down award or a termination of spousal support altogether. The general financial means, needs and circumstances of the party’s new spouse will be highly relevant to the analysis, as any sharing of household expenses may in fact neutralize the impact of new support obligations on the payor’s overall financial situation. In the *Revised User’s Guide*, the SSAG authors suggest that the SSAG can assist in assessing the appropriate amount of any downward adjustment of spousal support in cases involving subsequent children by allowing for a notional amount of child support on the payor’s side of the DivorceMate calculation in the same fashion as is done for a prior child support obligation (at section 17).
- [290] A review of the caselaw demonstrates the highly discretionary and fact-specific nature of the analysis required in these challenging cases. In *Fisher*, the subsequent children in question were the payor’s step-children, and the payor had no legal obligation to support them and his spouse apart from the temporary legal obligation connected with their immigration status. The court specifically distinguished that situation from circumstances where the payor produces another child through their new relationship, in which case it held that “the obligations towards the second child will affect support for the first family, because the payor has an equal obligation to both children” (at para. 40). In *Kontogiannis v. Langridge*, 2009 BCSC 1545 (S.C.), the trial judge reduced a payor’s spousal support obligation to an amount below the low range of the SSAG in a non-compensatory case, based in part on his financial obligations towards a new child. Subsequently, in *V.(B.) v. V.(P.)*, 2012 ONCA 262 (C.A.) and *Shukalkin v. Shukalkina*, 2012 ABCA 274 (C.A.), the Ontario Court of Appeal and the Alberta Court of Appeal upheld trial decisions declining

to reduce spousal support payable to prior spouses on account of financial obligations towards new children. The driving factors in those cases were the existence of strong compensatory claims, the adequate financial means of the payors and the fact that the payors' spousal support obligations were not significantly impacting their ability to support their new children. On the other hand, in *Beauchamp v. Beauchamp*, 2012 ONSC 344 (S.C.J.), the payor husband's additional support obligations towards 5 new children were an important consideration in the court's decision to end his spousal support obligation. In *Gray v. Gray*, the payor husband had three new children from his new relationship, and his current wife was unemployed because the payor had to relocate to the United States to maintain his employment. The court concluded that an appropriate balancing of the payor's financial obligations towards his former spouse and his new family members could only be achieved by reducing the spousal support order in favour of his former spouse to the low range generated by the SSAG.

- [291] The weight if any that should be given in the spousal support analysis to a payor's support obligations towards their parents is also becoming an increasingly pressing issue in the context of our aging population. The discussion of this issue must begin with sections 32 and 33 of the *Family Law Act*, which establish the obligation of every adult to support parents in accordance with their need as follows:

Obligation of child to support parent

32 Every child who is not a minor has an obligation to provide support, in accordance with need, for his or her parent who has cared for or provided support for the child, to the extent that the child is capable of doing so. R.S.O. 1990, c. F.3, s. 32.

- [292] Section 33(1) of the *Family Law Act* provides that the court may order a person to provide support to their parents and determine the amount of support. By virtue of section 32 of the Act, a person's obligation to financially support a parent who has cared for them in the past crystallizes upon attaining the age of majority, and it is not dependent on a formal court for its existence. Evidence that a payor is complying with this obligation by supporting a parent in need who has cared for them in the past is therefore relevant in assessing their overall financial condition, means, needs and circumstances as part of the spousal support analysis (*Wang v. Seow*, 2008 MBQB 218 (Q.B.); *Seed v. Desai*, 2014 ONSC 3329 (S.C.J.)). If the payor is relying on a parental support obligation, it is incumbent upon them to adduce evidence respecting the parent's overall financial circumstances, the extent of their need and their history of caring for the payor. As with second family support obligations, determining the appropriate weight to be given in the spousal support analysis to a payor's financial obligations towards their parents will be a highly discretionary and fact-driven exercise aimed at achieving a fair and just balance between the competing interests in play and the objectives and factors relevant to spousal support.

G. The Issue of Post-Separation Increases in a Payor's Income

[293] Shagufta's claim for an increase in spousal support on both a retroactive and ongoing basis is founded in large part on increases in Shakeel's income since the parties' separation in 2011. The issue of how to treat a payor's post-separation income increases in the spousal support analysis, and in particular whether a support recipient should be permitted to share in the benefit of such increases over time, is a complex one that has garnered increased attention over the past ten years. It has important implications for the issue of ongoing entitlement, as well as the appropriate quantum and duration of support, since a recipient's need must be assessed in part based on the extent to which their standard of living should mirror that of the payor post-separation.

[294] I addressed the issue of how the court should approach the issue of post-separation income increases of a payor spouse in *Kinsella v. Mills* and *A.E. v. A.E.* and outlined some of the guiding principles and considerations to assist the court in carrying out the discretionary analysis. Further to that summary and the caselaw that has addressed this issue since *Kinsella* and *A.E.*, the general principles and considerations include the following:

1. A recipient spouse is not automatically entitled to increased spousal support based on a payor spouse's post-separation increase in income (*Patton-Casse*, at paras. 26-27; *Carr v. Condon*, 2018 ONCA 509 (C.A.); *Choquette*).
2. The determination of whether there should be any sharing of income increases, and if so the extent of any such sharing, must take place within the framework of the general spousal support objectives and factors set out in the relevant legislation. Accordingly, in a proceeding governed by the *Divorce Act*, the factors and objectives outlined in sections 15.2(4) and (6) must inform the overall analysis (*Frank*, at para. 111).
3. It flows from the foregoing that the overall financial condition, means needs and circumstances of each party will be relevant to the analysis, including the extent of the recipient's need and a realistic assessment of the payor's ability to pay having regard for their particular circumstances.
4. The question of whether there should be a sharing of post-separation income increases is not an "all or nothing" matter. Partial sharing of such increases, and/or sharing for a specified period of time, are issues that the court should also consider when the issue arises (*Fisher*, at para. 89; *Frank*; *Helle*, at para. 38).
5. The basis of a spouse's entitlement to spousal support is an important consideration. In both compensatory and non-compensatory cases, the court's assessment of the needs of the recipient and ability of the payor spouse to pay are significant factors that should inform the court's analysis regarding sharing of post-separation income increases (*Hartshorne v. Hartshorne*, 2010 BCCA 327 (C.A.), at para. 56). However, in cases involving non-compensatory needs-based claims, the focus tends to be on maintaining a reasonable standard of living as measured by the

standard enjoyed during the relationship, and this factor may impact the decision as to whether a recipient should benefit from the payor's post-separation income increases (*A.A.M. v. R.P.K.*, 2010 ONSC 930 (S.C.J.); *Kohan*; *T.N.F. v. M.V.J.A.*, 2018 ONSC 3310 (S.C.J.)). Nonetheless, the circumstances of each case must be carefully considered to ensure a just outcome, having regard for all of the objectives and factors outlined in the relevant legislation. The needs of the recipient spouse are always a very important part of the spousal support analysis and may support a sharing of post-separation income increases in purely needs-based claims in appropriate circumstances (*Want v. Gauthier*, 2021 ONSC 7595 (S.C.J.)). For instance, a long-term relationship involving financial dependence by the recipient spouse coupled with evidence of significant ongoing need may support sharing the benefit of post-separation income increases. Even in shorter or mid-length relationships, a strong non-compensatory claim based on factors such as illness, disability or other considerations may support some sharing of income increases to ease the transition to a new post-separation reality.

6. The existence of a compensatory element to a support claim is an important factor in determining entitlement to share in post-separation increases in income (*Marinangeli*; *Horner v. Horner*, 2004 CarswellOnt 4246 (C.A.); *Ludmer*; *Beninger*; *Shukalkin v. Shukalkina*, 2012 ABCA 274 (C.A.); *Remillard*; *Dancy*; *Lazare v. Heitner*, 2018 ONSC 3604 (S.C.J.); *R.L. v. M. F.*, 2023 ONSC 2885 (S.C.J.)). In addressing this factor, the court must keep in mind the various different indicia of compensatory entitlement and not simply the assumption of child-care and home management responsibilities. In these cases, the general strength of the compensatory claim is an important factor. The analysis should therefore include consideration of the length of the relationship, the extent of the recipient's contributions and sacrifices both during the relationship and post-separation and the duration of time during which those efforts and sacrifices were made (*Hartshorne*; *Kohan*; *Dancy*; *Helle*).
7. Another important consideration in compensatory situations is whether the recipient's efforts and contributions during and after the relationship contributed to the payor's financial advancement during the relationship and post-separation (*Marinangeli*; *Hartshorne*; *Kohan*; *Dancy*; *Patton-Casse*; *Hersey v. Hersey*, 2016 ONCA 494 (C.A.); *Reid*; *Kolodziejski v. Maximiuk*, 2023 SKCA 103 (C.A.); *R.L. v. M.F.*). As the British Columbia Court of Appeal held in *Helle*, at para. 39, the court should consider the extent to which the payor ended up in favourable circumstances because of the joint enterprise of the relationship. Evidence that the recipient's sacrifices and contributions during the relationship supported the payor's financial progression post-separation will typically support a sharing of post-separation income increases and a higher amount of such sharing. In assessing whether and to what extent the recipient's efforts contributed to the payor's ability to advance financially, the court must maintain a broad perspective of the various means by which a spouse's contributions and sacrifices can support the other spouse's success both in the short and long-term (*Hartshorne*; *Helle*, at para. 40;

Cameron v. Cameron, 2018 ONSC 2456 (S.C.J.); *Fox v. Fox*, 2017 ONSC 6509 (S.C.J.); *Easton v. Coxhead*, 2018 ONSC 4784 (S.C.J.)).

8. The fact that the recipient spouse has continued to be a primary caregiver for the children post-separation is a factor that supports a sharing of post-separation income increases, since this often allows the payor to continue to focus on their career advancement. On the other hand, the fact that the payor has primary care or shared care of children post-separation may also be relevant to whether sharing of such increases is appropriate, and the amount of any such sharing (*Colautti v. Eggett*, 2019 ONSC 2064 (S.C.J.); *T.N.F.*; *Mahoney v. Tanner*, 2016 ONSC 7082 (S.C.J.); *Lazare*; *R.L. v. M.F.*).
9. The sharing of post-separation income increases is not necessarily dependent on the recipient spouse having sacrificed their own career advancement during the relationship for the benefit of the payor spouse's progression in their career (*Horner*; *Helle*, at para. 37). However, evidence that they did so is a further factor that may support a sharing of the increases (*Cameron*; *Hamilton v. St. Denis*, 2019 ONSC 2766 (S.C.J.); *Kolodziejski*).
10. In compensatory cases, evidence that the knowledge, skills, expertise, credentials and/or connections that enabled the payor to increase their income following the separation were acquired and developed during the relationship is a factor that will favour sharing of post-separation income increases (*Hartshorne*; *Fletcher v. Fletcher*, 2003 ABQB 890 (Q.B.); *Judd v. Judd*, 2010 BCSC 153 (S.C.); *Kohan*; *Easton*; *Fox*; *Nieuwenhuysen v. Nieuwenhuysen*, 2019 ONSC 4775 (S.C.J.); *B.S. v. B.W.*, 2019 ONSC 2769 (S.C.J.)).
11. The courts often consider the length of time that has passed from the separation until the increase in income occurred. The closer the temporal link, the more likely it is that the court will find that the recipient's efforts supported the other party's post-separation financial success (*Hartshorne*; *Bryant v. Gordon*, 2007 BCSC 946 (S.C.); *Kohan*; *Nieuwenhuysen*; *Kozak v. Kozak*, 2018 ONSC 690 (S.C.J.)).
12. Another important consideration is whether there were any changes in the payor's career post-separation that explain the increase in income, such as a new job, position or business reorganization. However, in these circumstances, the court must still consider whether the change in position was attributable to the knowledge, skills and experience that the payor had acquired during the relationship with the support of the recipient's efforts (*Hartshorne*; *Chapman v. Chapman*, 2009 CarswellOnt 8915 (S.C.J.); *Patton-Casse*; *Mulick v. Mulick*, 2012 ABQB 592 (Q.B.); *Reid*; *Tscherner v. Farrell*, 2014 ONSC 975 (S.C.J.)).
13. The courts also consider whether the increase in income is primarily attributable to the payor's decision following the separation to increase their work effort through means such as working more overtime, accepting work that is more lucrative but involves significant personal sacrifices or taking on extra jobs. These types of

circumstances may support no sharing or only partial sharing of income increases following the termination of the relationship (*Chalifoux v Chalifoux*, 2008 ABCA 70 (C.A.), at paras. 25-26; *Tscherner*; *Black v. Black*, 2015 NBCA 63 (C.A.); *Mahoney v. Tanner*, 2016 ONSC 7082 (S.C.J.); *Kozak*).

14. Evidence that the increased income was attributable to specific, unusual events following the separation, such as unexpected changes in market conditions, is a factor that may weaken a claim to share in the increase (*Kohan*).
15. Evidence that the recipient spouse has not taken reasonable steps towards achieving self-sufficiency is another factor that courts have considered in determining whether there should be a sharing of post-separation income increases, and if so, the extent of any such sharing (*Bryant*; *Kelly v. Kelly*, 2007 BCSC 227 (S.C.); *Kohan*; *Choquette*, at para. 25; *Kozak*; *Lazare*). In such situations, the shortcomings in the recipient's self-sufficiency efforts will also be relevant to determining whether income should be imputed to them, but it is not inappropriate to consider the issue from both lines of analysis.
16. Evidence that the payor has also made contributions to the recipient's career advancement post-separation will also be relevant (*Bryant*, at para. 56; *Kohan*).
17. The court should also consider the terms of any agreement or order respecting property-related claims, and in particular any terms which were particularly beneficial to the support recipient, as those terms may be relevant to the fairness of the recipient being permitted to share in the payor's post-separation income increases (*P. v. P.*, 2022 ONSC 4641 (S.C.J.)).

H. Retroactive Spousal Support

[295] As I have indicated, the Applicant seeks spousal support on a retroactive basis, effective as of January 1, 2016. It is therefore necessary to consider the legal principles that apply to retroactive spousal support claims. In *Kerr*, the Supreme Court of Canada held that the four general factors identified in *D.B.S.* in the context of retroactive child support claims apply equally to retroactive spousal support claims. It concluded that the court must first engage in a preliminary assessment of whether retroactive relief is suitable as a general proposition (at para. 207). This analysis should be guided by the contextual factors discussed in *D.B.S.*, as adapted to the retroactive spousal support context, namely:

1. The reasons for the delay in seeking spousal support;
2. The conduct of the payor spouse;
3. The needs of the spousal support claimant; and
4. Any hardship that a retroactive award would occasion on the payor spouse.

- [296] On the issue of a spousal support claimant's delay in pursuing relief, the Supreme Court noted in *Kerr* that there are two important underlying interests at stake. First, there is the payor's interest in having certainty regarding their legal obligations. Second, there is a general interest in creating appropriate incentives for spousal support claimants to advance their claims promptly. Regarding the issue of misconduct, the court clarified that the focus must be on "conduct broadly relevant to the support obligation, such as concealing assets or failing to make appropriate disclosure" (at para. 212). Consideration of the circumstances of the spousal support claimant must focus on that spouse's needs both at the time the spousal support should have been paid and at present.
- [297] The Supreme Court of Canada also addressed the appropriate commencement date from which a party may be permitted to advance a retroactive spousal support claim in *Kerr*. It held that if retroactive relief is found to be warranted as a general proposition based on the court's discretionary balancing of the four *D.B.S.* factors, the presumptive commencement date for a retroactive claim is the date when the spousal support claimant gave effective notice of the claim, but to a maximum of 3 years prior to the date of formal notice. The court held that these presumptions are subject to adjustment based on judicial discretion taking into consideration once again the four *D.B.S.* factors outlined above. It concluded that less judicial restraint is required to order spousal support effective from the date the proceeding was commenced, because the payor is clearly put on notice as of that time of the claim and should be arranging their affairs in anticipation of a potential spousal support order. The fact that the application specifically requests spousal support commencing from the date of the application will therefore often be a significant factor in how the relevant considerations are weighed (at para. 211).
- [298] The Supreme Court of Canada has not yet determined whether the revisions that it made to the general retroactive child support analysis in *Colucci* now extend to the spousal support context. In particular, it has not addressed if it is still necessary to decide as a threshold matter whether a retroactive claim is appropriate and should be permitted as a general proposition, relying on the four *D.B.S.* factors for guidance as per the *Kerr* framework, or if the analysis should now begin with presumptive commencement dates for retroactive relief, with the *D.B.S.* factors informing whether departures from those dates are appropriate, as per the *Colucci* framework. In *A.E. v. A.E.* I held that trial courts are still bound by the framework set out in *Kerr*, and that there is no clear principled basis for simply transplanting the *Colucci* approach into the spousal support arena. I reached this conclusion based in part on the Supreme Court of Canada's discussion in *Kerr* about the fundamentally different foundational principles and objectives underlying child support and spousal support, and the highly discretionary nature of spousal support as compared to child support. The court emphasized in *Kerr* that in retroactive spousal support cases, the *D.B.S.* factors must be considered and weighed taking into consideration the different legal principles and objectives that underpin spousal support as compared with child support (at para. 207). Specifically, it highlighted that the duty of both parents to support a child arises at birth, whereas there is no presumptive, automatic entitlement to spousal support or obligation on the part of a spouse to look out for the other spouse's legal interests. In addition, it noted that child support is the right of the child and not of the parent claiming support, and that the court must therefore be cautious of protecting the child's interests in

the face of shortcomings of the parent in advancing the support claim. Third, it emphasized that concerns about delay and notice by the support claimant are less pressing in the child support context than for spousal support, since the introduction of the *Guidelines* has provided a great deal of clarity to litigants about their child support obligations, whereas spousal support remains a highly discretionary area of the law. With respect to delay, the court emphasized that in child support cases, unlike spousal support situations, the prejudice caused by delay flows to the child rather than to the party advancing the claim (at para. 208).

- [299] By way of supplement to my Reasons in *A.E. v. A.E.*, I add that one of the important considerations that prompted the Supreme Court of Canada to revise the framework for the analysis of retroactive child support claims was the desirability of establishing a simplified approach based on the establishment of clear and straightforward presumptions, and which avoided multi-factoral discretion at multiple steps, so as to establish a better foundation for the negotiation and settlement of child support matters (*Colucci*, at paras. 68-71). It is equally desirable to support negotiation and resolution in the spousal support context. However, this consideration must be weighed as against the highly fact-driven and discretionary landscape of the spousal support analysis in comparison to child support, and the significant potential prejudice to the certainty interest of spousal support payors of imposing a framework that begins with presumptive commencement dates for relief, as established in *Colucci* in the child support setting. As my analysis of the law respecting spousal support in these Reasons demonstrates, this area of Family Law is exceedingly complex, fact specific and reliant on the fair and just exercise of judicial discretion depending on the unique circumstances of every case. While there are certainly arguments for applying the *Colucci* framework in the spousal support context, there are also compelling concerns about abandoning the threshold consideration established in *Kerr* of whether the claimant should be permitted to advance a retroactive claim, in favour of a starting point that they should be permitted to do so effective from presumptive commencement dates. It may be that the Supreme Court of Canada decides to reconfigure the test for retroactive spousal support as it did for child support, but that date has not yet arrived. Furthermore, a review of the appellate jurisprudence regarding retroactive spousal support since the release of the *Colucci* decision reveals that appeal courts across the country continue to apply the general *Kerr* framework rather than the *Colucci* approach that starts with presumptive commencement dates for retroactive relief (see: *Harbaugh v. Harbaugh*, 2020 ABCA 280 (C.A.); *Legge v. Legge*, 2021 BCCA 365 (C.A.); *O.C. v. M.V.S.G.*, 2022 BCCA 140 (C.A.); *Kaushal v. Kaishal*, 2023 ABCA 155 (C.A.); *Bowes v. Bowes*, 2022 NLCA 5 (C.A.); *Gaunce v. Gaunce*, 2023 SKCA 18 (C.A.); *Jasiobedzki v. Jasiobedzka*, 2023 ONCA 482 (C.A.)). Trial judges across the country are certainly waiting with bated breath for further direction on this difficult issue from either appellate courts or the Supreme Court of Canada. However, for the reasons set out above, in my view, the fundamental legal principle of *stare decisis* binds trial judges at this stage.
- [300] While I have decided to follow the general structure for the retroactive spousal support analysis adopted in *Kerr*, the refinements to the *D.B.S.* factors that the Supreme Court of Canada made in *Michel* and *Colucci* extend in my view to the spousal support context. Accordingly, my review of those refinements to the factors set out above under the law

pertaining to retroactive child support apply equally to the retroactive spousal support analysis. Furthermore, the Supreme Court of Canada did not elaborate on the concept of “effective notice” in the spousal support context in *Kerr*, and in my view, further discussion and clarification of this issue are warranted. As I have already discussed, in the context of child support claimants seeking retroactive child support in original applications or a retroactive increase in child support in variation proceedings, the court held in *D.B.S.* and *Colucci* that a low bar should be established for what constitutes effective notice. All this concept requires is that the claimant demonstrate when they first broached the topic of a potential increase in child support (*D.B.S.*, at para. 121; *Colucci*, at para. 86). However, in *Colucci*, the court held that in the context of a payor’s claim for a retroactive reduction of child support, the notion of “effective notice” requires more than simply showing when the issue of a reduction was raised, since the payor has the informational advantage over the support recipient for the purposes of the child support analysis. Accordingly, it concluded that in the context of claims by payors to reduce child support, “effective notice” requires that the payor provide an explanation and reasonable proof in support of their claim, to enable the recipient to independently assess the situation in a meaningful way and respond appropriately (at para. 88). It noted that this additional requirement “provides a realistic starting point for negotiations and allows the recipient to adjust expectations, make necessary changes to lifestyle and expenditures and make informed decisions” (at para. 88). In my view, the approach to the issue of effective notice accepted in *Colucci* in the retroactive reduction context is the appropriate one to adopt in the retroactive spousal support arena, given that the spousal support analysis requires a complex and comprehensive assessment of the overall condition, means, needs and circumstances of both parties. In this sense, the analysis is much different than in the case of retroactive child support, which typically turns primarily on the income of the payor. At minimum, effective notice should require the retroactive spousal support claimant to provide a brief explanation of the grounds for their claim, produce copies of their income documents referred to in section 21 of the *Guidelines* pertaining to each year for which they are seeking retroactive relief, and provide basic documentary evidence in support of ongoing need and efforts if any to achieve greater financial independence. In the absence of this type of basic disclosure expectation, the payor will have a serious informational disadvantage and no basis upon which to reasonably consider and address the issues. Any concerns about the payor’s disclosure deficiencies are captured by the second *D.B.S.* factor, the payor’s conduct. Requiring basic disclosure as part of the effective notice requirement in the retroactive spousal support context creates an appropriate balance between the certainty and predictability interests of both parties and safeguards against prejudicial and unfair informational asymmetry on either side.

II. ANALYSIS OF THE SPOUSAL SUPPORT ISSUES

A. Issue #1: Is Shagufta Still Entitled to Spousal Support, and if so, Should a Date be Set for the Termination of Support in the Future?

[301] The first step in the spousal support analysis is to determine whether Shagufta remains entitled to spousal support, and if so, whether it is appropriate to set a future date for the termination of her entitlement and the payment of support. Since Shakeel seeks to terminate

spousal support effective May 2024, I will focus on the question of ongoing entitlement from that point onward. For the reasons that follow, I conclude that Shagufta has remained and continues to be entitled to spousal support, but that support should terminate effective April 30, 2026. As I discuss in further detail below in addressing the issue of quantum, I have also decided that the amount of spousal support should decrease to \$270.00 per month commencing August 1, 2024.

[302] As a preliminary issue in addressing Shagufta's entitlement to spousal support, it is necessary to address her counsel's submission that her entitlement has always been both compensatory and needs-based in nature, since the basis for her entitlement is an important underpinning to the determination of amount and duration of spousal support. There are some aspects of the parties' relationship background that are typically considered as indicia of a compensatory claim. Specifically, as I have discussed, Shagufta did not work after 1999, moved to the UAE because of Shakeel's employment in 2001 and continued to be out of the work force until the parties separated in 2011. However, Harper J. clearly found that Shagufta's entitlement was needs-based and not compensatory in nature as of the date of his judgment respecting the spousal support issues on November 25, 2014. On the unique facts of this case, I concur with Harper J.'s conclusion that Shagufta's entitlement was and continues to be based on her need rather than compensatory considerations, for the following reasons:

1. Although Shagufta claimed in Schedule "A" to her Motion to Change Final Order that Shakeel did not work during the first few years of their relationship, and that she financially supported him fully while he completed his degree, these claims were not borne out on the evidence. As I have indicated, Shakeel held down two part-time jobs and contributed equally to the household expenses while he completed his studies.
2. Although Shagufta did not work from 1999 until the parties moved to the UAE in 2003, I find that she did not assume more home management responsibilities than Shakeel or focus on supporting his needs and career advancement during that time. Rather, Shakeel supported her financially and emotionally while she addressed her mental health challenges following her mother's death in 2000, and when she went on an extended trip to Pakistan in 2001. Shakeel was left to attend to the management of the home and his daily needs on his own during that lengthy trip. In fact, as I have discussed, Shagufta spent extended periods of time in Pakistan every year prior to the move to the UAE to see her family, leaving Shakeel on his own to attend to the home and his daily needs.
3. Shakeel continued to support Shagufta financially while she completed her studies in Call Centre Operations, Business and Computer Information Technology at Centennial College from 2001 to 2003. I conclude that both parties attended equally to daily home management tasks during this period as well.
4. Following the parties' move to the UAE, Shagufta cared for Sabaa during periods when Shakeel was taking his courses, studying and writing examinations for his

Master's in Business Administration. However, I find that the parties' respective sacrifices and contributions for the sake of each other's educational endeavours during the relationship benefitted both of them equally in the long-term.

5. The work experience, skills and education that Shagufta acquired during the parties' relationship with the support of Shakeel provided her with a solid foundation upon which she could work towards self-sufficiency post-separation.
6. From the time of Sabaa's birth in 2004 until the parties' separation in 2011, Shagufta did not work, and the expectation was that she would provide consistent and reliable child-care for Sabaa so that Shakeel could progress in his career for the benefit of the family. However, I accept Shakeel's evidence that Shagufta was an extremely unreliable caregiver, that she often dropped Sabaa off at his workplace without warning, expecting him to care for the child, that he was regularly reprimanded by his employer about this issue and that he received many warnings that his position would be in jeopardy if he did not obtain reliable child-care. As I noted earlier in these Reasons, this problem reached a crisis level in 2010, when Shagufta left Sabaa with Shakeel in the UAE while she went on an extended trip. The unreliable nature of Shagufta's parenting was a liability for Shakeel professionally, and there is no evidence that he actually advanced in his career in terms of his roles and responsibilities during the family's time in the UAE. The parties had staff to assist them with home management duties. I am not satisfied that Shagufta assumed a disproportionate amount of household management duties. Furthermore, I accept Shakeel's evidence that he was Sabaa's primary caregiver before and after work and on days when he did not work.
7. Shagufta continued to travel to Canada and Pakistan for at least 5 months each year while the parties resided in the UAE, again leaving Shakeel on his own to attend to his needs and the management of the home. Although she took Sabaa with her apart from the trip in 2010, I accept Shakeel's evidence that his parents did much of the caregiving for Sabaa when Shagufta was in Canada.
8. Shagufta's unsubstantiated accusations against Shakeel at the end of the parties' marriage were extremely damaging to Shakeel's reputation and career and set him back professionally in a significant way. As I have discussed, he had to leave the UAE for fear of religious persecution and criminal prosecution, and he did not find comparably lucrative work for at least a year after returning to Canada.
9. Sabaa was in the primary care of Shakeel from January 29, 2011 until June 29, 2011 and in the shared care of both parties during the summer of 2011. Although Shagufta had primary care of Sabaa for approximately 11 months from September 2011 until August 2012, Sabaa has been in the primary care of Shakeel on a consistent basis since August 2012 and she continues to be dependent on him. As of the time of Harper J.'s spousal support judgment on November 25, 2014, any compensatory considerations arising from the care of Sabaa in favour of Shagufta

were offset by the fact that Shakeel had been her primary caregiver for two years and would be continuing in that role in the future.

10. Shakeel has consistently continued to make significant contributions and sacrifices for the benefit of Sabaa since 2012. Although Shagufta has maintained a relationship with Sabaa, their time together has been fairly limited, and Shagufta has continued to spend extended periods of time outside of the country.

[303] In regard to Shagufta's needs-based entitlement, I am satisfied that Shagufta has remained in need of spousal support since November 2014, even at the income levels that I have imputed to her since that time. Apart from the year 2020, which was an unusual period based on her receipt of both COVID-19 CERB benefits and non-taxable income replacement payments from her vehicle insurance provider, her highest imputed income is \$42,131.00 for the year 2022. She was 53 years of age at the time of separation, and based on her age and the amount of time that she had been out of the workforce by that point, it was reasonable to expect that she would require an extended period of time to re-establish herself professionally and work towards financial independence. The COVID-19 pandemic created general disincentives for changing employment roles, and the car accident that Shagufta claims to have experienced would have created additional challenges in her efforts to advance in her career and improve her financial situation. Having regard for the length of the parties' marriage and Shagufta's complete dependence on Shakeel during the latter years of their relationship, it is in my view reasonable that the duration of support entitlement take into consideration these unexpected difficulties. Shagufta is now 66 years old, and although she testified that she has no plans to retire, she realistically has a limited number of years to save and prepare financially for when she is no longer able to earn income. Her need must be assessed against the backdrop of this stark reality. While I have serious concerns about Shagufta's overall credibility respecting her financial circumstances, and it is therefore possible that she has savings and assets that she has not disclosed, I am nonetheless satisfied based on all of the evidence that she is of modest means. There is no evidence suggesting that she leads a lavish lifestyle that is incommensurate with the levels of income that I have imputed to her. Although she appears to have travelled to Pakistan frequently, she has family members in that country who she stays with, and this travel is consistent with what occurred during the marriage.

[304] In assessing Shagufta's need, and how long her spousal support entitlement should continue based on that need, I have considered the parties' standard of living during their relationship and the extent to which Shagufta should reasonably expect to benefit from post-separation increases in Shakeel's income. Addressing first the parties' standard of living during their relationship, I find that their financial circumstances were extremely challenging until 2003, and that they were quite modest at best from that point until their separation. As I have detailed earlier in these Reasons, Shakeel lost his job with General Motors in approximately 1998, and with Canada Sportswear in 2003. He filed for bankruptcy due to his financial difficulties in or around 1999, and the parties had to sell their home in Pickering and their condominium in Whitby due to their financial struggles. They moved to the UAE in 2003 in a desperate attempt to achieve a sense of financial stability in 2003. Shakeel worked hard and he was able to achieve a reasonable standard

of living for his family, but he was by no means a high income-earner at the time of the parties' separation. The parties lived comfortably but with very careful scrutiny in regard to their finances by the end of their relationship in January 2011. As previously noted, Shakeel only earned \$32,693.00 in 2011 because of the fallout of Shagufta's numerous accusations against him, and it took him until 2012 to achieve an income in Canada of \$80,381.00.

- [305] The evaluation of Shagufta's ongoing need and the appropriate duration of her spousal support entitlement based on that need also requires consideration of the extent if any that she should be entitled to benefit from Shakeel's post-separation income increases. This is important for determining whether her ongoing need should be evaluated as against the parties' standard of living during their relationship and at the time of separation, or also as against increases in Shakeel's standard of living following the separation. Neither party adduced evidence respecting Shakeel's income in the UAE as of the separation on January 29, 2011, but Shakeel testified that he did not achieve the same level of income until he started to work for D & H in 2012. He earned \$80,381.00 that year, and therefore I find that his income at the time of separation was in the range of \$80,000.00.
- [306] I have considered the factors outlined above that are relevant to the issue of post-separation income increases of the payor, and there are aspects of this case which support some sharing of the benefit of Shakeel's increases in income. These include Shagufta's age at the time of separation, her complete financial dependence on Shakeel during the last 12 years of their relationship, her ongoing need and the limited time that she now has to secure a reasonable financial foundation upon which to support herself into the future. However, there are several other considerations in this case that lead me to conclude that a full sharing of Shakeel's post-separation income increases is not appropriate or just. Rather, I have decided that Shagufta should be permitted to share in 20% of Shakeel's income increases since the date of separation. This conclusion is based largely on the lack of a compensatory aspect to Shagufta's spousal support entitlement. For the reasons discussed above, I am not satisfied that her efforts during the relationship contributed to Shakeel's post-separation professional success. As I have indicated, Shagufta's conduct during and at the end of the parties' relationship in fact created impediments to his professional reputation and advancement. I accept Shakeel's evidence that the experience and connections that he gained while in the UAE were not considered relevant for the purposes of his advancement upon his return to Canada, and that the role which he eventually obtained with the Toronto Dominion Bank was quite different than the positions that he held in the UAE. This evidence is supported by the fact that his income did not in fact begin to increase until 5 years after the separation, in 2016. Shakeel has had primary care of Sabaa since August 2012, and he has been supported in his efforts to advance professionally and financially by his parents and his current wife Ms. Habib, not Shagufta. Furthermore, on the facts of this case, the exercise of the court's discretion regarding the sharing of post-separation income increases must take into account Shakeel's new financial responsibilities towards his new spouse, his two children, his expected third child with Ms. Habib and his elderly and dependent parents. As I have discussed at great length, Shakeel is experiencing serious financial difficulties and stress which will only increase with the renewal of his mortgage at a much higher rate this year. I accept Shakeel's evidence that he has genuinely been

struggling to pay ongoing spousal support and meet the monthly financial needs of his new family and his parents.

[307] Based on the recent history of Shakeel's income increases, I estimate that his 2024 income will be in the range of \$118,000.00. This represents a \$38,000.00 increase from his estimated date of separation income of \$80,000.00. Allowing for Shagufta to benefit from 20% of that increase as part of the spousal support analysis (ie. \$7,600.00), this results in an income level of \$87,600.00 to Shakeel as compared to the \$41,696.00 that I have imputed to Shagufta for 2024. Accordingly, even with imputation of income to Shagufta, there continues to be a significant disparity in the parties' incomes. While this is not in my view a case in which Shagufta is entitled to permanent, lifelong spousal support, she does continue to have need having regard for all of the relevant contextual factors, and it is fair and just keeping in mind the spousal support objectives and factors that she be accorded a further period of time to improve and solidify her financial position and security.

[308] In deciding the issue of ongoing entitlement, I have also taken into consideration Shakeel's ability to pay having regard for his increased financial responsibilities towards his new family members and his parents. However, the reduction of spousal support to \$270.00 per month effective August 1, 2024 will be set-off against the \$270.00 per month that Shagufta will owe him for child support, resulting in a net increase in cashflow of \$616.00 per month for him. Shakeel has a pension through his employment, which is a significant asset for which he did not obtain a valuation and which he did not reference in his Financial Statements. Furthermore, a careful analysis of his pay statements from the Toronto Dominion Bank coupled with Shakeel's evidence at trial reveal that many of his deductions from his pay are for voluntary savings plans and optional supplementary benefits for him and his family. These items include:

1. A pension enhancement plan;
2. A future builder RSP for Shakeel;
3. A future builder RSP for Ms. Habib;
4. Optional spousal accident insurance;
5. Optional child life insurance;
6. Optional employee accident insurance;
7. Optional child accident insurance;
8. A voluntary future builder TFSA plan; and
9. A monthly charitable donation.

[309] These voluntary deductions from Shakeel's pay total approximately \$350.00 per month. Between this amount and the \$616.00 per month reduction of spousal support, Shakeel

could have an additional monthly cashflow of \$966.00 per month to cover his increased mortgage payments until spousal support is terminated.

- [310] All of the factors discussed above have informed my decision that spousal support should continue until April 30, 2026 and then terminate at that point. By that time, considering that Shagufta received the net sale proceeds from the Milton property in lieu of support for the post-separation period from February 2011 to December 2013, she will have effectively received support for almost 15.5 years for a needs-based claim. The lack of a compensatory element to Shagufta's entitlement, and the significant contributions and sacrifices that Shakeel has made for the benefit of Sabaa over the years, are particularly important factors underlying my decision. I have concluded that Shagufta should reasonably be expected to earn an income in the range of \$55,000.00 by that time. Having considered and balanced the objectives and factors relevant to spousal support and all of the evidence in this case, I find that the purposes of spousal support will have been satisfied and that Shagufta should be able to achieve a reasonable degree of self-sufficiency by April 2026. Using an estimate of \$120,000.00 for Shakeel's income for 2026 based on his annual income increases in recent years and taking into consideration 20% sharing of Shakeel's post-separation income increase, this results in an income figure for the spousal support analysis of \$88,000.00 for Shakeel and \$55,000.00 for Shagufta for her sole support. In addition, as I have noted, Shagufta received a lump sum payment from her car accident of at least \$20,500.00 which she can invest and draw from as needed in the future. By April 30, 2024, Sabaa is expected to have completed her four-year degree, and Shagufta's child support obligation will end unless Shakeel is able to prove ongoing entitlement. Even if Shagufta does not attain an income in the range of \$55,000.00 and has not attained financial independence, it is reasonable on the unique facts of this case to expect her to have adjusted her standard of living downward to a level commensurate with her own financial means or to find sources of financial support other than Shakeel. The facts of this case do not support a life-long spousal support award.
- [311] Shakeel's history of consistent spousal support payments and his ability to pay are additional factors that have guided my decision that Shagufta's entitlement should end as of April 30, 2026. As I discuss in further detail below in regard to Shagufta's claim for a retroactive and ongoing increase in spousal support, taking into consideration the income levels that I have imputed to Shagufta, the amount of \$886.00 per month in spousal support that Shakeel has been paying since April 2014 was actually higher than the low range which Harper J. concluded was appropriate in November 2014. From 2016 to 2019, the current amount of \$886.00 fell near the mid range. It was higher than the high range generated by the SSAG in 2020, 2023 and 2024, and it fell close to the high range in 2021 and 2022. As his final position at trial, Shakeel did not ask for a retroactive reduction of spousal support prior to May 1, 2024, but simply requested a termination of spousal support as of that date. Accordingly, Shagufta has benefited greatly from the support award that has been in effect since 2016, and this should have assisted her in planning for her financial independence and future retirement. By April 2026, Shakeel will have three young children from his current marriage, and it is reasonable having regard for all of the circumstances in this case that he be permitted to focus more on the needs of those children, including involving them in typical childhood activities and taking them on reasonably affordable family vacations.

He should also have additional financial flexibility to cover his parents' basic daily needs, having regard for the significant support that they provided to both parties and the child Sabaa throughout the years. Finally, as I discuss in further detail below, taking into consideration sharing of 20% of Shakeel's post-separation income increase and adjustments for Shakeel's other family responsibilities, the SSAG ranges further support the decision to terminate spousal support in April 2026.

B. Issue #2: Should Shagufta be Permitted to Advance a Claim for a Retroactive Increase in Spousal Support?

[312] I turn next to whether Shagufta should be allowed to advance her claim for a retroactive increase in spousal support effective January 2016. For the reasons that follow, I have concluded for several reasons that Shagufta's claim should be dismissed.

[313] The first basis for my decision regarding the retroactive spousal support claim is that a balancing of the four discretionary *D.B.S.* factors does not support a retroactive award. With respect to the delay factor, I find that Shagufta did not raise the question of a retroactive increase in spousal support until she sent a letter to Shakeel's former counsel dated May 24, 2022 in which she made a vague reference to the issue. That correspondence was in response to the letter from Shakeel's counsel dated March 30, 2022, in which he asked her to produce copies of her Income Tax Returns and Notices of Assessment or Reassessment for the years 2016 to 2021, and proof of year-to-date income for 2022. Shakeel's counsel also advised Shagufta of Shakeel's position that spousal support should be terminated. Shagufta did not comply with the request for financial disclosure, and instead asked that Shakeel produce his income information for the years 2015 to 2021, as she intended to "approach the court" to see why her spousal support remained the same over the past several years. Shagufta did not provide an understandable reason for the delay in raising this issue. Paragraph 2 of the November 25, 2014 order specifically stated that child support and spousal support may be adjusted annually, if appropriate, given the incomes of the parties, yet she did not make any requests of Shakeel to consider this issue. Shagufta claimed that she did not have the financial resources to do so, yet she did not require legal counsel to broach the issue with Shakeel. In any event, she did not provide any evidence as to whether she sought assistance through Legal Aid or other community Legal clinics or resources. Furthermore, she represented herself in the previous court proceedings and throughout most of the current court case, and she somehow managed to obtain legal assistance for the current trial. There was no evidence of intimidation or any form of coercion on the part of Shakeel in regard to the spousal support issues or any other matters. Although Shagufta claimed to have sustained injuries as a result of the car accident in early 2020, she did not adduce any medical evidence to establish that she was unable to address this issue due to any physical or cognitive impairments. As with the case of Shakeel's retroactive child support claim, I conclude that Shagufta in fact only decided to raise the issue of retroactive spousal support in response to Shakeel's expressed intention to seek a termination of spousal support. Shagufta did not even identify retroactive spousal support as an issue for trial at the trial scheduling conference before Bale J. on August 1, 2023.

- [314] Turning to Shakeel's conduct in relation to the spousal support issue, on the positive side, he has consistently paid the spousal support that was ordered on November 25, 2014 and was not in arrears as of the trial. I note that he did so even in 2015 when his income was only \$23,758.00, which was far below the income figure of \$80,000.00 upon which the November 25, 2014 spousal support award was based. On the other hand, however, he did not behave appropriately in relation to disclosure of his financial information. Paragraph 5 of the November 25, 2014 order required both parties to provide annual income disclosure by no later than December 25th each year, and Shakeel failed to do so. However, the significance of his failure to produce this disclosure must be considered in context. One-way disclosure on his part would not have been productive or helpful in addressing whether spousal support should be adjusted, as the income information of both parties would have been critical to this determination. Shagufta did not provide her income disclosure either, and even if she had produced her income tax documentation, this would not have been of any assistance whatsoever in assessing the situation. I have discussed at length her lack of credibility respecting her income and overall financial means, and it was only through several days of rigorous cross examination that Shakeel and the court were able to obtain somewhat of a true picture of her financial situation. For these reasons, as with Shakeel's claim for retroactive child support, I have not given significant weight to the misconduct factor in relation to disclosure in the analysis of Shagufta's retroactive spousal support claim.
- [315] I have also taken into consideration Shagufta's financial circumstances and her needs since 2016. I have found that Shagufta has continued to have financial need, but as I have discussed at length, much of that need has been attributable to her failure to take the necessary steps to improve her financial situation. I have imputed income to her on this basis. While I have attempted to gain an accurate picture of her overall financial affairs and status, her serious lack of credibility particularly with respect to financial matters raises a real sense of uncertainty as to whether she has other sources of income or financial resources that she has not disclosed. I have concluded that she remains in need of spousal support notwithstanding these concerns, but I have given limited weight to the issue of Shagufta's financial circumstances for the purposes of the retroactive spousal support analysis having regard for her clear, consistent and flagrant efforts to shield information about her true financial situation from Shakeel and this court. To give significant weight to this factor in these circumstances would reward her for her inexcusable behaviour in relation to her financial disclosure obligations.
- [316] I have reflected upon any hardship that an award of retroactive spousal support would occasion for Shakeel and his new family. I have described in detail the extent of Shakeel's financial difficulties and how they have reached a crisis level. While I have concluded that he can pay a reduced amount of spousal support of \$270.00 per month by making some adjustments to his expenses, this will be exceedingly challenging for him, and I have no difficulty finding that he is completely unable to manage any more financial burden. I find that any additional financial load on him will render him unable to meet his basic needs and those of his family. Furthermore, I am not satisfied that this concern could be addressed by way of a payment plan with respect to spousal support arrears that would accrue from a retroactive award. Quite simply, Shakeel is already at a breaking point as

things stand at this point, and any further financial burden will in my view bring down his financial house of cards completely.

- [317] I note that even if my assessment of the *D.B.S.* factors had supported allowing Shagufta to advance her retroactive spousal support claim, the claim would have nonetheless failed on the basis of the effective notice analysis. Effective notice in this situation required that Shagufta advise Shakeel of her claim, provide a general explanation of the grounds for it, and produce at minimum her income disclosure information referred to in section 21 of the *Guidelines* for the years 2016 and onward. Furthermore, given that Harper J. clearly indicated in his Reasons for Judgment dated November 25, 2014 that any review of spousal support was to assess the extent to which Shagufta was contributing to her own support, effective notice would require some basic details about her efforts to achieve self-sufficiency. As I have stated, she never provided her complete Income Tax Returns with required attachments, and did not provide the other information until serving her Response to Motion to Change in this proceeding in December 2022. Most of the very basic information in support of her claim was not obtained until cross examination at trial. Although she indicated during the settlement conference on March 27, 2023 that she was seeking a retroactive increase in spousal support, there is no evidence that she had provided any meaningful information at that point to explain her position. As a result of her serious disclosure deficiencies, Shakeel and this court were completely unable until the conclusion of Shagufta's cross examination at trial to obtain any sense of the grounds for her claim and whether they had any merit. For all of these reasons, effective notice did not occur until the trial. Based on my discussion of the *D.B.S.* factors above, there would have in my view been no grounds for pushing back the commencement date for retroactive relief.
- [318] Finally, I have considered whether there would have been any basis for granting a retroactive increase in spousal support from 2016 onward having regard for my findings respecting the parties' incomes and overall financial situations, and taking into account 20% of Shakeel's post-separation income increases from year to year as well as Shakeel's payment of Sabaa's cell phone expenses of approximately \$660 per year. Although the cell phone cost was not a section 7 expense, it was ordered by Harper J. for the benefit of Shagufta's relationship with Sabaa, and it should therefore be treated in the same manner as a section 7 expense for the purposes of the spousal support analysis. Harper J. concluded in his Reasons for Judgment dated November 25, 2014 that the low range for quantum of support generated by the SSAG was appropriate on the facts of the case at that time. My own view is that an award closer to the mid-range would have been more appropriate having regard for Shagufta's absence from the workforce for the last 12 years of the marriage, her complete financial dependence on Shakeel at the time of separation, her age of 53 at that time and her high level of need at the end of the marriage. The important point is that the amount of \$886.00 that Shakeel has been paying Shagufta pursuant to the November 25, 2014 order is higher than the mid range generated by the SSAG for the years 2016 onward, taking into account the income levels that I have imputed to Shagufta. I note that I have made the following adjustments to the DivorceMate calculations to determine the appropriate SSAG ranges for quantum:

1. First, Shagufta's monthly child support has been set consistently at \$270.00 per month notwithstanding my imputation of income to her from year to year, which would have increased her child support obligation if there had been an adjustment to child support. I have ensured that this *Table* child support override is taken into consideration for the purposes of the spousal support analysis.
2. Second, for each year, I have determined the difference between Shakeel's actual income and his income of \$80,000.00 at the time of separation to determine the post-separation increase amount. To ensure that the calculation includes the proper notional child support on Shakeel's side as part of the spousal support analysis, I have included his total income for each year, but then made a downward income adjustment in the amount of 80% of the post-separation income increase, which results in Shagufta benefitting from 20% of Shakeel's post-separation income increases for the purposes of the spousal support calculations.
3. I have indicated that section 7 expenses should not be apportioned in accordance with the *Guidelines*, based on my decision that Shagufta should not be required to contribute to the section 7 expenses for which Shakeel requested contribution.

[319] After making these adjustments, the quantum ranges generated by the SSAG for the years 2016 to 2023 are as follows:

2016 (see Schedule "C")

Low: \$852.00 Mid: \$878.00 High: \$1,003.00

2017 (see Schedule "D")

Low: \$757.00 Mid: \$884.00 High: \$1,010.00

2018 (see Schedule "E")

Low: \$731.00 Mid: \$853.00 High: \$974.00

2019 (see Schedule "F")

Low: \$743.00 Mid: \$866.00 High: \$990.00

2020 (see Schedule "G")

Low: \$542.00 Mid: \$633.00 High: \$723.00

2021 (see Schedule "H")

Low: \$685.00 Mid: \$799.00 High: \$913.00

2022 (see Schedule “I”)

Low: \$662.00 Mid: \$772.00 High: \$882.00

2023 (see Schedule “A”)

Low: \$620.00 Mid: \$724.00 High: \$827.00

2024 (see schedule “J”)

Assuming that Shakeel’s income continues to rise at the general rate of his increases in recent years, I have used an estimated income figure of \$118,000.00 for him for 2024. The ranges are as follows using that income:

Low: \$565.00 Mid: \$660.00 High: \$754.00

- [320] These calculations represent the best-case scenario for Shagufta, as they do not account for any adjustments for Shakeel’s new financial responsibilities towards his two children with Ms. Habib and his parents. If those factors had been taken into consideration, the numbers generated by the SSAG at each range would have been significantly lower. Accordingly, in my view Shagufta has gained a considerable financial advantage by virtue of the reasonable position that Shakeel has taken not to pursue a retroactive reduction of spousal support. Again, this is a factor that has informed my decision to order a step-down of spousal support as of August 1, 2024 and to terminate it altogether as of April 30, 2026.

C. Issue #3: What is the Appropriate Amount of Spousal Support as of 2024?

- [321] As I have indicated, Shakeel’s final position at trial was that spousal support should be terminated as of May 1, 2024. He did not seek a reduction of spousal support prior to that time. I have already addressed why I am not terminating spousal support until April 30, 2026, and this leaves the issue of the appropriate quantum of spousal support from May 1, 2024 onward.
- [322] Given that Shagufta is now 66 years of age, and in the interest of supporting Shagufta in formulating a reasonable financial plan for her eventual retirement, I am not reducing the current spousal support amount until August 1, 2024. I recognize that this results in Shagufta receiving more than the high range generated by the SSAG for the first half of 2024, without even considering Shakeel’s financial obligations to his two new children, his anticipated third child and his parents. However, this is in my view a fair and just result in the unique circumstances of this case, as it provides a financial cushion for Shagufta before spousal support is transitioned to a lower amount and then terminated.
- [323] Commencing August 1, 2024, an appropriate balancing of the objectives and factors relevant to spousal support and the other considerations that I have discussed above requires that the court consider Shakeel’s new financial responsibilities towards his two additional children and his parents. It also supports giving greater priority to Shakeel’s

pressing financial challenges, which will worsen when his mortgage renews this summer. During the transition period from August 1, 2024 until April 30, 2026 when spousal support will terminate, I am taking into consideration 50% of Shakeel's notional child support obligation for his two new children with Ms. Habib. I have made this adjustment in the DivorceMate calculation by inputting 1 child in the heading Additional Children From Prior Relationship, in the same manner as is done for children from a prior relationship. Using the heading Additional Child From New Relationship does not make the adjustment for notional child support on the payor's side of the calculation in the same manner, and it would be helpful if DivorceMate allowed an option to do so under that heading. I have not included the full notional amount of child support for this transition stage because of Shagufta's age, her ongoing need and the necessity of providing her with sufficient funds to plan for a termination of spousal support and her eventual exit from the workforce. I have also taken into account Shakeel's financial responsibilities towards his parents, as he is clearly having to subsidize their basic living expenses. For this transition period, I have included a Guidelines Decrease input in DivorceMate of \$1,200.00 annually, which would reflect a pretax income contribution of \$100.00 per month towards his parents' support. The after-tax amount would be much less. The reasons for this minimal amount are the same as those for considering only 50% of Shakeel's notional child support costs. Based on these adjustments, the quantum ranges generated by the SSAG are as follows (see Schedule "B"):

Low: \$230.00 Mid: \$269.00 High: \$307.00

- [324] For reasons already articulated above, I conclude that the mid range is appropriate in this case, and I am rounding the amount up to \$270.00 per month. This amount will be fully offset by the sum of \$270.00 per month that Shagufta is required to pay Shakeel for child support, such that no funds will flow to either party as of August 1, 2024.
- [325] Finally, regarding my decision to terminate spousal support as of April 30, 2026, it is not necessary to consider the SSAG ranges since my decision is based on considerations relevant to spousal support entitlement and when that should end in this case. However, the SSAG are a useful crosscheck in deciding to terminate spousal support, since results of 0 or low numbers for the quantum ranges may support the decision to terminate support. I have therefore done a rough "anticipatory" SSAG calculation for 2026 using an estimated income of \$120,000.00 for Shakeel and my conclusion that Shagufta should reasonably be able to attain an income of \$55,000.00 by that time. I conclude that it is reasonable by that point to include a notional child support amount on Shakeel's side of the calculation for two children, and to take into consideration a reasonable pre-tax amount of \$200.00 per month total for both of his parents for their support. I have also used the *Without Child Support* Formula, since Sabaa is expected to finish her first post-secondary degree by April 30, 2024 and her child support entitlement could end at that time. Based on these considerations, the SSAG generate outcomes of 0 at every range (see Schedule "K").
- [326] I emphasize that I have generated the anticipatory 2026 SSAG calculation as a rough tool only to guide my judicial discretion regarding the termination of spousal support. My decision does not turn on the outcomes of that calculation or the assumptions underlying

it. Rather, it is based on all of the other factors and considerations that I have discussed at length in these Reasons for Judgment. Accordingly, I underscore that if some or all of the assumptions underlying the calculation do not come to fruition, this should not be considered grounds for varying my order. Specifically, for the sake of utmost clarity, if Shagufta is unable to achieve an income level in the range of \$55,000.00 or to attain self-sufficiency by April 30, 2026, and even if child support for Sabaa continues, the expectation underlying my order is that Shagufta will need to adjust her standard of living to a level commensurate with her means or find a source of financial support other than Shakeel to meet her needs.

- [327] I am not making an order for annual income disclosure between the parties for several reasons. First, I have made a final order terminating spousal support as of April 30, 2026 and changes in the parties' respective incomes as reported in their income tax documents would not alter my conclusion that spousal support should terminate at that time. Second, with respect to child support, Shakeel has indicated that he does not intend to pursue an increase in the *Table* amount of child support. Finally, I have dismissed Shakeel's claim for contribution to Sabaa's ongoing post-secondary expenses, and therefore income disclosure is not required to address the parties' contributions to those costs moving forward.
- [328] To ensure that my order is drafted, issued and sent to the Family Responsibility Office as soon as possible so that no overpayments of spousal support are made to Shagufta after August 1, 2024, I am directing that court staff draft, issue and forward this order to the Family Responsibility Office forthwith.
- [329] My order allows the parties to request a costs hearing in this matter. In deciding whether to pursue costs, however, I strongly urge the parties to carefully consider the outcome of the case as compared to the positions that they took at the outset of this proceeding and at trial, and Rules 18 and 24 of the *Family Law Rules*.

PART 7: TERMS OF ORDER TO ISSUE

- [330] For the foregoing reasons, final order to go as follows:
1. The Applicant's claim for a retroactive increase in spousal support is dismissed.
 2. The Applicant, the Respondent and Sabaa Khan shall forthwith take all necessary steps to close out the Registered Education Savings Plan in the name of the Applicant with the National Bank of Canada, and to disburse the outstanding balance in the account to the Respondent. If they experience any difficulties carrying out this direction and require any further orders from the court to effect the disbursement of these funds to the Respondent, either party may address the issues by way of regular motion. Chappel J. is not seized of any such motion.
 3. Subject to paragraph 2, the Respondent's claim for contribution from the Applicant for historical and ongoing section 7 expenses respecting the child Sabaa Khan, born February 7, 2004 ("the child"), is dismissed.

4. Paragraph 1 of the final order dated November 25, 2014 is varied by substituting the paragraph in its entirety with the following:
 - a) The Applicant shall continue to pay the Respondent child support for the child Sabaa Khan, born February 7, 2004 (“Sabaa”) in the amount of \$270.00 per month, payable on the first day of each month.
 - b) The Respondent shall pay the Applicant spousal support in the amount of \$270.00 per month commencing August 1, 2024 and continuing on the first day of each month that follows.
 - c) Effective August 1, 2024, the Applicant’s obligation to pay the Respondent child support for Sabaa in the amount of \$270.00 per month shall be set off against the Respondent’s obligation to pay the Applicant spousal support in the amount of \$270.00 per month, with the result that no support funds shall flow to either party.
 - d) The Respondent’s obligation to pay the Applicant spousal support shall terminate on April 30, 2026.
5. Paragraphs 2, 5 and 7 of the final order dated November 25, 2014 are terminated.
6. Unless the support order herein is withdrawn from the Office of the Director, Family Responsibility Office, it shall be enforced by the Director, and amounts owing under the order shall be paid to the Director, who shall pay them to the person to whom they are owed.
7. This Order bears post-judgment interest at the rate of 7% per annum, effective from the date of this Order. Where there is a default in payment, the payment in default shall bear interest only from the date of default.
8. A Support Deduction Order shall issue. The parties shall complete Support Deduction Information Forms and submit them to the Family Responsibility Office within 2 business days of receiving a copy of the Reasons for Judgment in this matter.
9. The parties shall engage in meaningful discussions respecting the issue of costs of this proceeding. If they are unable to resolve costs, any party seeking costs shall by no later than August 9, 2024 submit a written request to the Trial Coordinator’s office to schedule a 2 hour costs hearing before me to address costs. If neither party submits a written request for a hearing date by August 9, 2024, there shall be no costs payable by either party. For the purposes of any costs hearing, the Respondent shall serve and file a Factum, Book of Authorities, Bill of Costs and any Offers to Settle by no later than 7 business days prior to the hearing, and the Applicant shall serve and file a Factum, Book of Authorities, Bill of Costs and any Offers to Settle by no later than 4 business days prior to the hearing.

10. Court staff are directed to draft, issue and forward this order to the parties and to the Family Responsibility Office forthwith, so that the Family Responsibility Office may make the necessary adjustment regarding spousal support payable by the Respondent and apply the set-off provided for in this order by August 1, 2024. Approval of the draft order as to form and content by the parties is dispensed with.

Chappel J.

Released: July 22, 2024

Please note: Schedules are available upon request to Hamilton.Family.Superior.Court@ontario.ca

CITATION: Khan v. Khan, 2024 ONSC 4045
COURT FILE NO. FC 1055/11
DATE: 2024-07-22

ONTARIO

SUPERIOR COURT OF JUSTICE

BETWEEN:

Shagufta Lorrie Khan

Applicant

– and –

Shakeel Ahmad Khan

Respondent

REASONS FOR JUDGMENT

Chappel J.

Released: July 22, 2024